Surya Roshni (SURYAROSNI)

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Call: May 2023

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SRL/23-24/09
May 02, 2023
The Secretary
The Stock Exchange, Mumbai
New Trading Ring, 14th Floor,
Rotunda Building , P.J.Towers ,
Dalal Street, Fort,
MUMBAI -400 001
Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai -400 051
NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call with respect to Financial Results for the fourth
quarter and financial year ended 3P1 March, 2023
Dear Sir,
This is with reference to the Company intimation dated 24th April, 2023 filed with the stock exchanges in tenns of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirement s) Regulation s, 2015 regarding the earning conference call to discuss the financial results for the fourth quarter and year ended 31st March, 2023 scheduled for Thursday, 27th April, 2023.
Further to the audio recording filed with the stock exchanges already on 27th April, 2023, we are enclosing the Transcript of the said Earnings Call.
The same is also being uploaded on the website of the Company under Financials in the Investor section.
This is for your infonnation and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMP ANY SECRET ARY
Enclosed: as above.
• Regd. Office : F rakash Nagar, Sankhol, Bahad,urgarh, Haryana -124507

“Surya Roshni Limited Q4 FY23 Earnings Conference
Call”

April 27, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 27th April 2023 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR

MR. TARUN BALDUA – EXECUTIVE DIRECTOR & CEO
OF STEEL OPERATIONS

MR. JITENDRA AGRAWAL - CEO, LIGHTING AND
CONSUMER DURABLE BUSINESS

MR. B. B. SINGAL – CFO AND COMPANY SECRETARY

Moderator : Ladies and gentlemen, good day and welcome to Surya Roshni Limited Q4 FY23 Earnings Conference Call. This conf erence call may contain forward -looking statements about the Company which are based on the beliefs , opinions and expectations of the Company as on date of this call. These statements are not the guarant ees of future per formance and involves risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need as sistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Raju Bista – Managing Director at Surya Roshni Limited . Thank you and over to you, sir.
Raju Bista : Thank you very much. Good evening everyone. On behalf of Surya Roshni Limited, once again I extend a warm welcome to everyone for joining us today in call.
On this call we are joined by Mr. T arun Baldua who is Executive Director and CEO of Steel Operations, Mr. Jitendra Agrawal – CEO Light ing and Consumer Durables Business and our CFO and Company Secretary Mr. B. B. Singal , along with SGA, our Investors Relation Advisor .
I hope everyone had an opportunity to go through the financial results , press release and Investor presentation which has been uploaded on the stock exchange as well as on our Company 's website .
The Company reported a new record topline and profitability for FY23 with the revenue almost touching ■8,000 crores mark. The Company continue s to stri de towards achieving its long -term goal and remains well positioned to continue the growth path for the future. During FY23, the Company continue s to invest in innovation and efficiency along with focus on technology, talent and infrastructure to remain well ahead of the curve. The Company has been judicious in the budgeting and capital allocation , resulting in a lean and healthy balance sheet and w e firmly believe that our growth will be sustainable with a comfortable working capital cycle and balance sheet position.
For the quarter , EBITDA and PAT grew by 64% and 88% respectively on the year -on-year basis. For FY23, the revenue was almost ■ 8,000 c rores as compared to ■7,731 crores, a growth of 3% year-on-year. EBITDA and PAT has gone up to ■ 620 crores and PAT is about ■ 336 crores as compared to ■449 crores of EBITDA and ■205 crores of PAT. The Company also witnessed a healthy improvement in gross margin due to stable input cost and improved product mix.
Over the past few year s, the Company has placed its emphasis on reducing the debt and completely repaid all long -term borrowings and with only ■404 crores of working capital debt remaining, the Company intend s to become debt -free by another one and half year to two years' time.

And now coming to Lighting and Consumer Durables, Q4 and FY23 revenue grew by 7% in Q4 and 16 % year-on-year respectively. The new -age product lin e such as LED lighting con tinue to grow at a healthy rate and professional lighting which is also an institution al sale reported a robust growth of 28% and 38% year-on-year for Q4 and FY23 respectively in terms of revenue.
As well as significant inflow of the order in hand, we are witnessing the multiple green shoots in the public as well as private CAPEX cycle. We firmly believe that our professional lighting will be one of the biggest beneficiaries of the improvement in the CAPEX cycle. The Company professional lighting continue s to build a strong order book and will continue to fill this order book aggressively in coming times as well. We are confident that the Company 's Consumer Durables

will be a key growth trigger for th e Company going forward . The Company is well positioned t o scale up this business driven by well established distribution network and Surya Roshni 's brand equity.
The gross margin has also improved due to operating leverage premium product stability in input

cost and improving market realization. There is a scop e to improve margin further. The CAPEX under the PLI scheme is ongoing as per the plan. This CAPEX will benefit the Company by lowering the cost and the Company also reduces its replacement cost, which stands at 4.5 7% only and last year it was 6.78%, so al most we saved like ■11 crores, ■12 crores annually. The Company is investing heavily in visibility enhancement through store excellence in house merchandising in store display and direct engagement with electrician s.

In FY24, the Company plans to double the advertisement spends, cost from the current level of ■20 crores, which will be in help to build brand visibility and increase the market share . With the Company plan to enhance the outreach program through various ATL and BTL campaigns , the Company will also strengthen the semi -urban and urban distribution network which is now one of the largest in the industry.

Now moving to the steel pipe industry , the Company topline was affected due to fall in global steel price during the quarter, however the Company reported the highest ever EBITDA per ton of ■9,868 per ton during Q4 FY23 compared to ■5,605 on year -on-year basis. The robust growth in realization were mainly driven by t he higher share of value -added products such as API coated , GI and export . As communica ted in the earlier earning call, the Company reported EBITDA per ton at ■6,496 for FY23 far exceeding the guidance of ■5,500 .

FY23 saw a robust growth in EBITDA level will serve as well as it will be bench mark for the Company 's future growth. With robust profitability growth, the board of director has recommended a final dividend of ■4 per equity share s on the paid-up equity capital of the year 22-23 subject to the appr oval of shareholder, the management remains committed to create wealth for their stakeholder, so total it would be 3 plus 4 which will be ■7 per share . Lastly, we remain confident about the opportunity that lies ahead of us. The Company is focusing on geographical expansion , innovation effic iency enhancement infrastructure and human capital to deliver the best class solution to our customer s.

Now I would now like to request our CFO, Mr. B. B. Singal to share his thought.

B. B. Singal : Thank you respected MD, sir and a very good evening to all the participants on the call . The Company reported a good set of numbers for Q4 as well as of financial year 23. For the quarter EBITDA grew by 64% and PAT grew by 88 % respectively on year -to-year basis . EBI TDA to ■254 crores and PAT to ■156 crores. For financial year 23, the revenue stood at ■7,997 crores compared to ■7,731 crores during FY22, a growth of 3% year -on-year basis. EBITDA and PAT stood at ■620 crores and ■336 crores , a growth of 38% and 64% year -on-year respectively.

In Lighting and Consumer Durables for the quarter, the revenue stood at ■431 crores a growth of 7% year -on-year basis . EBITDA and PBT stood at ■42 crores and ■35 crores, a growth of 23% and 36% year-on-year basis respectively. For FY23, the revenue stood at ■1,545 crores, a growth of 16% year -on-year basis. EBITDA and PBT stood at ■122 crores and ■90 crores, a growth of 15% and 25% respectively. Revenue growth for the quarter as well as the financial year was driven by value -added products such as LED lights, downlighters as well as professional lightings.

In the steel pipes and strips during Q4 current financial year FY23, the Company 's EBITDA and PBT grew 76% and 110% to ■212 crores and ■181 crores respe

ctively . EBITDA per metric ton stood at ■9,868 per metric ton compared to ■5,605 a robust growth of 76% year -on-year basis. For financial year 23, revenue grew by 1% year -on-year to ■6,452 crores while EBITDA and PBT grew by 45% and 80% year -on-year respectively . EBITDA per metric ton stood at ■6,496 compared to ■4,648 . The Company has reduced debts by ■176 crores in financial year 23 and continues to remain long -term debt free. Finance cost has reduced by 30% in FY23. Debt equity ratio reduced to 0.2 2 against as on 31st March 23 as compared to 0.37 as on 31st March 22 . The Company continue d to maintain a positive Cash Conversion Cycle. The working capital days stood at 60 days during Q4 financial year 23. Working capital days for Lighting and Consumer Durables stood at 53 days in Q4 financial year 23 compared to 60 days in Q3 financial year 23. While steel pipes and strips working capital days at 61 days in Q4 financial year 23 compared to 62 days in Q3 financial year 23. For Q4 financial year 2 3, ROC E improved by 16 .5% from 23.6% to 40.1% . ROE improved by 12.8% from 22% to 34.8% . Similarly for financial year 23, ROCE improved by 670 basis point from 16.2% to 22.9%. ROE improved by 560 basis point s from 14.1% to 19.7%. With this I conclude the presentation and we can now open the floor for further questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first que stion is from the line of Manan Poladia from MKP Securitie s. Please go ahead.

Manan Poladia : Sir my question is regarding the CAPEX announcement that you guys have just put out for the ■75 crores I think in M adhya Pradesh or I did not read exactly where Anjar district Kutch Gujarat ? So, I would like to understand what is the revenue potential that comes out of this

100,00 0 metric tons per annum ERW pipe plant ? What would be the peak revenue potential at 100% utilization?

Raju Bista : Thank you, this point was left from our side , this point was missed, so this investment of ■75 crores that is basically for ERW , API and water pipe and this plant will come up in existing Bhuj facility, so there will be ■75 crores of investments and in peak a turnover of ■600 crores will be generated and the main reason behind it is that today in India there is no other competitor besides one Company whose name I will not take , has the technology for making 24 inch ERW pipes and in API we are already doing well, so this API and our existing coating facility will also get its advantage and another big market is export market under which US, Canada and Middle East is a big market and keeping that in mind we have made our investments and third thing is that almost in all of our factories our capacity has reached that level , so on regular basis we try that on quarterly basis or at least in alternate quarter we do some investments . The main reason is that in the last 10 years we have done a lot of improvement in debt reduction , efficiency cost cutting and debottlenecking and its impact c an be seen in the balance sheet, but going forward now it is very important for us that in the next 2 to 3 years we do a CAPEX of ■300 crores to ■400 crores, so this is one of them and in a previo us board meeting and call we have told you in Hindupur we have started the facility process of GP line and GP pipe . It will be a very unique kind of investment and exclusive investment and a high margin product will be made from it .

Manan Poladia : So, I am aware about which Company you are talking and secondly , I would like to congratulate you on the fantastic set of result that you guys have put out. I genuinely appreciate the effort that you have taken in cleaning up the balance sheet and in doing CAP EX that is really showing on the numbers as well that is fantastic , sir also I have on

e more question for you we have discussed the demerger several times on the call and I know you usually don’t comment on it , but I would just like to know as has it been discu ssed by the board at all?

Raju Bista : See I will tell you; I will answer it in detail. This is a golden jubilee year of Surya Roshni , the Company has completed 50 years and we have a lot of aspirations and as I told you that we have made very serious CAPEX plan and we wish that this golden jubilee year along with the performance it should be a good year for the shareholders also and where as demerger is considered, I am also tied up because until and unless the board does not clear it I cannot communica te it with you.

Manan Poladia : I am completely aware, sir. My question is only based on fundamental fact.

Raju Bista : Serious discussions have been held on that and when we get approval from the board then I will be very happy that instead of sources , the Company’s Managing Director itself communicates with you.

Manan Poladia : Correct, sir. We would also like to hear that from you obviously and my question was only based on the fact that there were some rumors lying around the press today in the afternoon that I am sure you are aware of?

Raju Bista : Yes I also got that, but see what rumors are there in the market it does not affect us .

Manan Poladia : Sir I don’t expect you to comment on it. I completely understand. My question was based on the fundamental fact.

Raju Bista : But I am with you and this year the performance will also be very good and will be a good year for the shareholders as this is a golden jubilee year.

Manan Poladia : Thank you so much, sir and I really appreciate your answers to my questions.

Moderator : Thank you. Our next question is from the line of Bhavesh Chauhan from IDBI Capital . Please go ahead.

Bhavesh Chauhan : I would again like to congratulate you on stellar performance, margin performance in steel pipes division. Sir I would just like to understand that even in ours in product mix I can see that API spiral is giving you ■12,000 EBITDA per ton, but even black pipe is yielding you ■5,000 per ton is very surprising , I would like to know the management’s comment whether this kind of margins are sustainable?

Raju Bista : See it is like that you have asked a nice question because at one time before 1 to 1.5 years under section pipe, we used to get EBITDA of ■2,200 to ■2,500 , black pipe used to be ■ 3,500 to ■4,000 , so you have asked these things by going and seeing very deeply. I want to tell you that as we have said that overall, this year various factors were there in which you can see EBITDA margin improvement. There are 4 to 5 factors in which biggest factor is th at in America our export for API has started that is a very big reaso n, API which we supply in India to Oil and Gas in that margins have been quite good and besides this under shipping cost we have received much reduction, but surprisingly overall market realization has improved in steel pipe segment and we have seen this improvement from ■1,000 to ■1,500 in the market in the last 6 months and I will say that this is sustainable because the number s which we have achieved today for us that is a minimum benc hmark, but where as for the next full year I don't want to tell any specific numbers in today 's commentary because it is a little volatile because there are some issues in Europe, so I can definitely assure that at least in next 2 to 3 years you can see a growth in our CAGR 12 to 15 % basis and for Quarter1 numbers we can say that it will be significantly very good and not only this , Company 's aspiration is that before I used to say that in 25-26 balance sheet you will not see debt , but we are preponing that to one and a half years from today to next one and a half year , there will be no wor

king capital debt on the Company completely . As I said
it is a golden jubilee year where we don't have debt, can manage CAPEX easily then money is of promoter and shareholders.

Bhavesh Chauhan : You explained it very well, sir our volume growth of steel pipes has been very low as compared to our competitors, so what will be the guidance for it for the next 2 to 3 years?

Raju Bista : This year we have made 785,000 ton. Next year 's target which we have kept is close to 900,000 ton which is almost 13%, 13.5% of growth numbers. In market 2 types of products are sold , growth can come from low margin products very easily , but we hav e diverted our focus from

there, so ours is like that if we sell our goods 100,000 ton less it will be okay, but if we see substantial improvement in EBITDA margins then I think that business model is much better. Still between 12% and 14% volume growth will be minimum for the next year will be there . This year if you see trade in India whose market share is 65% in steel pipe in that our growth is 19%, but this time even though revenue is flat, but much growth in volume is not seen which you want to ask . Two main reasons are there for it , one is under export there is much substantial de-growth. In Europe and UK, we could only supply almost half of the material and I believe that this year it will improve, US market has opened for us in export and secondly in India the API which we have supplied although margins were better, but in comparison to previous year there was a 30% de -growth. Currently pipeline stock and our order booking is in good position , so I believe that export and API will do better growth and in domestic trade we are already doing it.

Bhavesh Chauhan : Lastly, sir I want to ask that as you said that for next year EBITDA margin you will not give the guidance, but we have set our benchmark very high in this quarter, so do we have to give a big range that the number will not go below 5,000 or 6,000 for next year ?

Raju Bista : No, as I told you that this year what we have achieved will be the minimum target for the next year, so if I say that in long term in FY25, ours is that we will sell 1-million -ton steel pipe and minimum of ■7,000 per ton of our EBITDA margin will be there and I told that in 2 to 3 years on CAGR basis 12% to 15% growth will be there and our aspiration is that as soon as possible instead of ■620 crores , we reach to the EBITDA of ■1,000 crores.

Moderator : Thank you. Our next question is from the line of Mr. Rahul Jain from Systematix . Please go ahead.

Rahul Jain : Congratulations on a good set of numbers, sir. The kind of performance that we have seen on the o perational front, are we working on the working capital side as well because as the inventories go up and the prices are a little bit high, so on the cash generation aspect , do we have a plan to bring it down from 61 days that you mentioned in the presentation to somewhere where the competitors are , so are we working on that direction as well? That is my first question.

Raju Bista : I would like to tell you that in the previous 10 years , substantially if we have improved ourselves then it is in working capital front . We have come to almost half level from 110 days working capital and very efficiently we are managing our working capital and in Q4 also you can see that little bit of working capital has increased because the cycle for steel was like that knowingly we have increased our quan tity, so nearly reduction of ■150 crores in working capital will be seen in Q1, so this working capital is very much in control and under lighting division if you see net working capital has reduced from 60 days and we have come to 53. So, in steel division NWC instead of 62 is 61 and little bit inventory is 44 days instead of 40 days and debtors are also 24 days instead o

f 26 days in Q4 .

Rahul Jain : Sir also you have mentioned about some PLI scheme that we have an opportunity and sir you are investing very substantially I think on the advertising also you mentioned in your call on the

lighting side , so what do you see the roadmap because we really hav en't done much on the lighting segment in the last five years the EBITDA is kind of flattish, so where do you think where the bottlenecking are to see some good growth coming in this side also?
Raju Bista : Overall for the previous 3 years the lighting division is not quite good , I would like to mention it. There are many factors for it, today ■25,000 crores lighting industry in which today also ■9,200 crores market share is with unorganized sector and of ■15,800 crores market share in which nearly ■10,000 crores trade segment B2C and the rest around 6,000 is institution al. If we compare it with industry then also 16% growth has been in topline . Sale of LED is almost ■1,000 crores. Today also we are selling conventional light because through it we can re ach to village to village , in that despite taking a little impact of de-growth still we are at 16% growth. With 11% market share today also in lighting industry leaving 2 companies , we are at third place and I believe that unorganized sector and with little bit imported material who does 100 -150 that brand will shift towards organized sector and a little bit in the LED segment now the maturity is seen in market and prices are also stable now , so I hope that we have done an EBITDA margin of ■122 crores which at one time we have crossed almost ■180 crores EBITDA also. So, my next target will be 10% of EBITDA margin and next we will be touching ■160 crores of EBITDA . In this due to ATL and BTL along with our reach, with us a big problem is that Surya Roshni used to be a bulb and tube light Company as a result premium product like we sell low margin products by taking that to the shop in which you get volume and other companies sell their premium product there, so we are working in this also from a long time , so you can see improvement in that because in premium product we are….
Rahul Jain : Regarding PLI can you tell something ?
Raju Bista : Regarding PLI, in 5 years we will make a small investment of ■25 crores. In 2 years ■10 crores investment has been made and we get paybacks in as many years as we invest , so mainly we are driving into innovation and do all the investments towards these smart lighting.
Moderator : Thank you. Our next question is from the line of Mr. Dhananjay Kumar Mi shra from Sunidhi Securities . Please go ahead.
Dhananjay Kumar Mishra : Congratulations on a very strong set of numbers . Last time before 1.5 years you gave a road map on lighting and electrical business of reaching ■2,500 crores within 3 years, so right now what is its vision? How we will reach ■2,500 crores?
Raju Bista : No, our vision is of ■3,250 crore instead of ■2,500 crore for the next 3 years and with a n EBITDA of ■450 crores , but the previous 3 years of COVID and in the industry the overall cycle that was there in the lighting industry due to that our 3 years got spoiled and I agree with that, so next ours is of ■ 2,500 crores for lighting and we will include one new product and its sales will be almost of ■500 crores, ■600 crores and doing so ■150 crores OEM sales we have taken

the target of ■3,250 crores in sales in 2026. For this we have to build up a team in the market s where we are weak and efficiency of sales force our CEO is already working very deeply on it.
Dhananjay Kumar Mishra : So, do we want to bring new team in lighting or in this segment?
Raju Bista : This is a continuous process otherwise we keep on doing investment on humans and I think that if he is good person even tho

ugh he is expensive , difference is clearly seen in the Company 's performance, so it is our continuous process and we keep doing that.
Dhananjay Kumar Mishra : And secondly, sir last time you also said that now you will be focused on this FY24 fully on Company and may be you will not keep your political aspirations from 2024, so what is the current status of it?
Raju Bista : I enjoy serving our country and it is my commitment towards the nation and my first commitment is towards the Company because I draw my salary from the Company and you just tell me if you see any effect on the results of the company because of this in the last four years I have been associated with the company . Everybody has a lot of time and if we manage it correctly then I think that how much work we are doing today, we can do muc h more than that , so I like to be among the public and work for them , so I haven't thought about contesting in the next election.
Dhananjay Kumar Mishra : Lastly, sir you told 1 million volume, your aspiration for next year and will do EBITDA margin of at least ■7,000 in steel pipe?

Raju Bista : Absolutely.
Dhananjay Kumar Mishra : Thank you, sir and all the best for your team .
Moderator : Thank you. Our next question is from the line of Mr. Manish Bhandari from Vallum . Please go ahead .
Manish Bhandari : Good evening Rajuji and the whole team and thank you for this electrifying performance. I have seen this Company for 5 years more than that , so what I see today is hard work of yours. So, I have 2 questions , your Bhuj plant which is an export -oriented plan t and you are doing more capacity expansion there , I thought that to save the logistic cost you will put the plant in

Maharashtra or anywhere else , so at least that will make you more competitive. And second question is that you told API pipes are going to America , so this is a tender business and may go in few days , the biggest boom which I see is in the Middle East . So, what would you like to say regarding exports ? And secondly , the plant location in the coming time, what would you like to say regarding t hat?

Raju Bista : As I told you , our 10 years were very good, but in that 10 years we ha ve not done any big investments, so serious CAPEX plan is with us because growth story of India is clearly visible and we have taken good projects in our hands because in the last board meeting one thing we have approved of almost ■75 crores , in this board meeting also we have done the same. Our presence is there in PAN India, we are not there in East, our working is going on regarding

Bombay and in fact our cold rolling business also demands little modernization, so today we have put all of these subjects in detail in board and few plans were also discussed in board for capacity improvement under few existing plants, but one thing board has approved for this 24 inch ERW mill, so hopefully by next board meeting we will be in a position to announce few more CAPEX plans , so we will do that on a regular basis because our capacity utilization has increased and now we don’t have any more choice s for growth . Second ly you asked about exports, whereas US API pipe is concerned that is not any tender business , the material is supplied regular ly through our stockist and as you said for Middle East there our market sh are is quiet good under non API and under oil and gas with this big size mill a good opportunity is there, so we are exploring all that , but geopolitical issues that are globally going on, we all know that for people buying gas is very important rather than buying pipes, so under this situation we came to see its impact last year , but I think that this year there should be a substantial improvement in that.

Manish Bhandari : Sir one small question, does the Surya brand is sold at premium in market as compared to ot

her
competitors?

Raju Bista : Are you asking for pipe or lighting?

Manish Bhandari : Yes in domestic for pipes .

Raju Bista : See it is like that different things go in different regions for example if I go to South then under South I use to get 5% to 12% premium in comparison to our competitors. Few particular regions are there like Jammu and Kashmir which are hilly area of India or some Madhya Pradesh area, so few markets are there where we get premium and galvanizing pipe overall is sold nation wide equal to the competition or at a premium of 1% or 2% , so everything has their own market specific or product specific , but we can assume that with Prakash Surya brand its worth increases and its respect is high to far flung farmers . And under export our co mpetitors who are supplying from India, so their market price which when they sell they have a simple calculation Surya minus $50, so we get an overall premium of $50 per ton in export market .

Moderator : Thank you. Our next question is from the lines of Nikhil Gada from Abakkus AMC . Please go ahead .

Nikhil Gada : Congrats on a very strong set of numbers . Sir specifically I have 2 questions . First of all , sir this DFT line in that how much is our EBITDA per metr ic ton? And at what utilization are we operating?

Tarun Baldua : Basically, you see in the section pipe , the normal section pipe EBITDA is almost ■4,500 to ■5,000, but in this we are getting almost ■2,500 EBITDA higher than the normal section pipe , so that is there. Number 2 is the capacity utilization has been in the last 11 months when we have started the production has been 25% overall for the year , so initial period it was lower now it has been increasing because at many other places we did the approvals and those are picking up very

fast, secondly we have received good order from the export market also on large DIA section pipe and that will also be increasing, so next year we are expecting the normal capacity utilization for DFT section pipe .

Raju Bista : Specifically what Tarunji said our CEO , EBITDA of section pipe margin is ■3,415 and its EBITDA margin is ■6,000 which is close to ■2,000 to ■2,500 then we get a premium of ■2,500 , but ■6,000 is less in this because to increase the capacity utilization we have given discount of ■1,000 to ■1,500 to increase our presence and capacity utilization is definitely in the coming times will increase because in big pipes any sto ckist by purchasing pipes and by stocking w ill not sell it to the consumer. It is proje ct oriented , so much of it depends on the project .

Nikhil Gada : Secondly, my question is on this quarter and overall, your full year ’s EBITDA per metric ton specifically. This number, which we have seen some 9,800 sort of a ton may be due to the product mix is little better and you also told that realization is also getting little better ■1,000, ■2,000 benefit has come in EBITDA, sir because there is improvement in trade , is there something because of inventory benefits which is not seen in numbers? Or it is all Company driven through product mix ?

Raju Bista : As I told you there are 4 , 5 reasons , one is API export is one factor , oil and gas pipe 's margin is another factor, overall there is improvement in margins of every product category and under Q4 almost ■30 crores , once steel prices from 70, 75 became 55 then increased a bit and its impact was there and our shipping cost has substantially reduced. Due to these 5 factors substantial improvement is seen in this EBITDA margin and to sustain at ■10,000 per ton EBITDA in today 's date is a very tough job, so we believe that last year we did ■6,500 is minimum, but our target will be close to ■7,000 for the future .

Nikhil Gada : Sir last question on pipes, sir this realization which you told like from ■1,000 or ■1,500 has increased in 6 months , is there

any specific reasons? Is it that there is some shortage in the good quality vendors like Surya may be others ? Any specific reasons why we have seen this improvement?

Raju Bista : See in this it is like that we have been little selective and worked for a specific market and product that is one factor, but I think publicly in concall I don't want to go in very detail but definitely there is improvement of ■1,000 to ■1,500 under that in every product category.

Moderator : Thank you. Our next question is from the line of Reshabh Sisodia with Sameeksha Capital . Please go ahead.

Reshabh Sisodia : Sir obviously you have answered on the EBITDA per ton guidance as well as the recent jump of that has happened, so as you mentioned that the ■10,000 per ton which we have done in this quarter that is not really sustainable number and you are targeting somewhere around 7,000 , so especially in the API and the spiral, the oil and gas pipe there we are doing close to 12,000, so

how do you foresee that going ahead the target of 7,000 which we are keeping will it be driven by majorly by API and spiral pipes or the DFT section?

Raju Bista : See what happens as I told I don't want to say on next year 's specific numbers the reason for it is that the market is very volatile and we would like that the numbers which ever we tell you is ours business experience till now based on market condition or on seeing every thing we can say one direction based number only rest specific is not there, but obviously the best which we have done will be our benchmark for the next time, so our effort will be definitely be there, but if you compare in industry then you can say extra ordinary number which is very difficult to sustain, so gradually we will go in that direction because our aspiration as I told when we have to do EBITDA of ■1,000 crores then we have to go for ■10,000 per ton, so for that there should be 24-inch mill, DFT should be there, for that US market should be there, for that expo rt should be there, so for that whatever should be done we are doing according to that .

Moderator : Thank you. Next question is from the line of Mr. Kuber from AnandRathi . Please go ahead .

Kuber : Congratulations on good set of numbers . Sir I have 2 questions, sir we see in segmental side that there is de -growth in the steel division in Y-o-Y level, so as you have said that global steel prices have fallen then what you think in Q4 what type o f scenario are you seeing ? And secondly the CAPEX of ■75 crores which we are going to do , so when will it reflects in our turnover ? And when peak capacity will come?

Raju Bista : See as I told you that in volume growth under Q1 you will see substantial improvement and steel prices are very uncertain , so today also it is very tough to predict full year 's number , but I believe that in the next 2 to 3 months or by the next concall I would be in a position to tell the specific.

Kuber : From when will revenue turnover will start of the Anjar plant?

Raju Bista : It will take about a year because the imported machine has to come from outside , so it will take one year at least, it will be ■500 crores , ■600 crores and already its market is there, so utilization will not be a factor once it comes. And there will be one biggest advantage that Surya will have of that because today we have spiral mill. We make spiral mill from 18 inch to 24 inch. When 18, 20, 22, 24-inch small pipes are made in big mill s then our product ivity remains one third , so due to that other advantage is that our spiral mills capacity will increase because when we make in this mill then in this when you do rolling of 18, 20, 22 and 24 then high productivity product will be there for this mill, then we will get advantage and synergies of that in spiral as well.

Kuber : Sir any new launches in steel and lighting divisi

ons ? Something that you see in next 1 year or 1, 2 or 3 quarters.

Raju Bista : As I said, every quarter making some investments is one of our serious plan and in golden jubilee year we want that our promoter and shareholders should get its advantage and we are working in that direction .

Moderator : Thank you. The next question is from the line Jatin Damania from Kotak Securi ties. Please go ahead.
Jatin Damania : Congrats on great sort of numbers. Sir in starting commentary you told that Q1 and FY24 will also be strong, sir we want to know that the benefit which we have received in the reduction of the freight cost and a benefit of the high realization, so month of April how was the start of the FY24 for us because you are saying in first quarter would be also stronger , so roughly can you tell that in April what would be the realization and what is the decline in the freight cost that we have seen?
Raju Bista : See overall as compared to last year Q1 in its comparison this year' s Q1 you can see substantial growth in volume and improvement in margins can be seen , but I don't think it would be right to say the specific number and rest full years number I think till then may be this volatility reduces and after that in the next concall may be I would be in the position that I may tell you some serious numbers .
Jatin Damania : Sir second question which I wanted to know that in the starting you told that you are looking for a serious CAPEX plan of ■300 crores to ■400 crores , so are we looking to increase the overall capacity when it will become 1.3 our new CAPEX which we announced after that are we looking to increase the capacity to 2 million ton or what is the roadmap going ahead, can you tell the roadmap?
Raju Bista : See immediate plan is that the setup for GP plant we are bringing in Bhuj and the DFT has come in Gwalior 25%, 30% capacity utilization is there and this 24 inch mill with all this we can reach to 1 million and our CAPEX of ■300 crores, ■350 crores taking all of them together we can say that in the next 4 to 5 years we can reach the level of nearly 1.5 million ton in steel pipe segments . There will be 2 sort of targets, one would be very immediate and another one be 4 to 5 years with a long -term view .

Jatin Damania : And what will be the focus in lighting?

Raju Bista : Lighting is fully focused means Indian market is not small, in terms of population we have surpassed China , issue is that instead of us government started to sell the product and due to all that reasons some difficulties came in lighting industry, so we have no shortage of capacity. This ■25 crores investment which we are doing in PLI as I said that we have full capacity, so we are making more investments in innovation, R&D and new product launching in technology front . We are ready, but the market is not conducive but still I will appreciate our team for 16% growth which Surya Roshni has done which is against the industry single digit growth and this numbers tell you that and I think in that also 3, 4 years cycle is completed so perhaps there will be some rise in market comes . We have said that trade is a segment under which this year also we have made a good growth , but if you see our data with our competitor then you will find that this professional luminary or institution sale in which margins are also good that in comparis on to our trade is almost one third , but almost rest of the competition under both businesses equal turnover is there. In that w e are far behind although we have started very late, others were there

in that business in early 90's, so our focus has been there and last year we have made a growth of nearly 40% in professional luminaries, so I think that is one area and rest in consumer durable and fan ap pliance

s we have done a growth of 25% that is one new segment , so in the coming times we are thinking of addition of few more products .
Moderator : Thank you. The last question is from the line of Mr. Vivek Gautam with GS Investment . Please go ahead.
Vivek Gautam : First of all, fantastic numbers in the best in the sector and industr y it seems. I wanted to ask what are we doing that is much better than previous years ? What has been our learning due to which we are able to give such good numbers and under your leadership and sir in future will it be sustainable? That is the first question. Second question is on India , in India Modiji's many schemes are going on PNG and CNG suppl y, in North -East we hear about Indradhanush pipeline and some emphasis is going on oil exploration under the leadership of Mr. Puri so can we see the better opportunities for us in India sir ?
Raju Bista : So, I can tell only one answer for coming of good numbers that we are doing better from others and 24 hours our team is seriously thinking that how can we do improve and secondly I would like to say that the drive that we started 10 years ago that at low cost we have to make high quality product, so we are successfully doing on that. Some times I am surprised when we were

giving 14% replacement cost and today it is 4.5% and in comparison to 14% if I see then I am saving ■30 crores annually in one LED product itself and secondly you told that government thrust is there, let me tell you that under one district ■3,000 crores to ■3,500 crores pipe are being installed under Har Ghar Jal scheme . A small state like Meghalaya whose population is 27 lakhs there ■3,500 crores ‘Har Ghar Jal’ projects are installed , so say it a small state or say big district of India , investment of several lakh crores rupees is there in it and in this GI pipes are also going, PVC pipes are also going in this , its demand through trade segment and through distributor can been seen and in oil and gas sector India’s thrust is there that today the cost involved in transportation and which is a nation crime in itself so we have to remove that and drive of directly providing the gas pipeline to the homes due to that companies like Surya because 4 to 5 companies do that work and due to that companies like Surya will definitely get the advantage. So, I feel that pipe is now not just a commodity, pipe is now to a n extent has become engineering , so according to that numbers are coming from the market.
Moderator : Thank you. Due to time constraints that was the last question.

Raju Bista : Lastly, I will just like to say one thing and thank you very much to all the investors, shareholders and I come before you and our team comes, we commit and go then it is compulsory for us to do that number and you motivate us and come in front of you with good numbers and for that we are very much excited . See you again after the next board meeting. Thank you very much.

Moderator : Thank you. On behalf of Surya Roshni Limited, that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

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SRL/23-24/44
November 7, 2023
The Secretary
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New Trading Ring, 14th Floor,
Rotunda Building, P.J.Towers ,
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MUMBAI -400 001
Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call with respect to Financial Results for the 2nd
quarter ended 30th September, 2023.
Dear Sir,
This is with reference to the Company intimation dated 20th October, 2023 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the earning conference call to discuss the financial results for the second quarter of the financial year ended 30th September, 2023 scheduled for Thursday, 2nd November, 2023 at 4:30 P.M, (1ST).
Further to the audio recording filed with the stock exchanges already on 2nd November, 2023, we are enclosing the Transcript of the said Earnings Call.
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMPANY SECRETARY
Enclosed: as above.
• Regd. Office: Prakash Nagar, Sankhol, Bahadurgarh , Haryana -124507

“Surya Roshni Limited Q2 and H1 FY24 Earnings
Conference Call ”

November 02, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 2nd November 2023 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. TARUN BALDUA – ED & CEO STEEL OPERATIONS
MR. JITENDRA AGRAWAL – CEO LIGHTING AND
CONSUMER DURABLES
MR. B. B. SINGAL – CFO AND COMPANY SECRETARY

Moderator : Ladies and gentlemen, good day and welcome to the Surya Roshni Limited Q2 and H1 FY24 Earnings Conference Call.
This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Raju Bista – Managing Director at Surya Roshni Limited . Thank you and over to you, sir.
Raju Bista : Namaskar, good evening. On behalf of Surya Roshni Limited I extend a very warm welcome to everyone for joining us today.
Before starting the call today, I would like to take this opportunity to wish everyone a very Happy Diwali.
On this call we are joined by Mr. Tarun Baldua – CEO, Steel Operations; Mr. Jitendra Agrawal – CEO, Lighting and Consumer Durable; our Investor Relations Advisor SGA and our CFO and Company Secretary – Mr. B. B. Singal.
I hope everyone had an opportunity to go through the financial results, press release and investor presentation which has been uploaded on the stock exchanges as well as on our Company's website.
Surya Roshni is celebrating its Golden Jubilee year in FY23 -24 marking 50 years of excellence in steel pipes, electrical appliances and consumer durable industry. Surya Ro shni products are trusted by millions of consumers in India and around the world and the Company has a very strong presence in global market with export to over 50 countries. As Surya Roshni celebrates its Golden Jubilee year, the Company is poised to ente r a very new phase of growth and development. The Company has a very strong foundation, a very clear vision and a talented team to execute its plans. I am confident that Surya Roshni will continue to achieve new heights in years to come. On this special oc casion I would like to thank all of our stakeholders, employees, customers and partners for their continued support over the years. To reward the shareholders on our Golden Jubilee, Board of Directors has approved an interim dividend at 50% on the paid - up value.
And now moving onto the highlights of the quarter:

Due to favorable volume growth in steel pipe and value -added goods in lighting and consumer durable segment, the firm reported better profitability on a year -over-year basis despite a marginal fall in revenue. Due to the successful implementation of backward integration strategies and favorable volume growth, the Company witnessed a notable improvement in its EBITDA which increased by 6% to reach ■139 crores. Furthermore, the Company achieved a comme ndable EBITDA margin of 7.3% for the quarter Company as a whole.
Over the past few years, the Company has placed its emphasis on reducing the debt. Even during H1 FY24, in the last 6 months, the debt reduced by almost ■190 crores and the debt -to-equity ratio stood at 0.11 as of 30th September 2023. With this the Company intends to become debt free by next year.
And coming to lighting and consumer durables, the segment reported a revenue of ■ 377 crores in Q2 FY24, which is almost similar to the corresponding period last year. This was achieved despite the shift in festival seasons from Q2 to Q3 in the current financial year as compared to the previous year where the Company recorded revenue relat ed to festive season in Q2 FY23 as well. Both Q2 FY24 and H1 FY24 have demonstrated enh

anced profitability aligning with the management previously communica ted expected (to be read as 'expectations') as highlighted in

their commentary during preceding quar ters.
Despite observing favorable volume growth even in lighting segment, but we experienced price reduction in the range of about 15% to 20% on year -on-year basis and 10% to 15% during H1 FY24 resulting in flattish revenue performance, but our Company has consistently demonstrated a proactive approach to backward integration leveraging our investments in PLI program. This strategic move has not only enhanced our competitiveness within the market, but also has resulted in improved operating profitability at an EBITDA margin level to 9.3% for Q2 FY24.
The professional lighting segment reported 20% growth in Q2 and 23% in H1. Robust expansion of professional lighting segment can be primarily attributed to the concurrent growth observed in both private as well as government related investments.
Consumer lighting has also experienced decent volume growth. The consumer lighting segment has exhibited robust growth in various categories such as LED, LED Batten, Downlighters, Decorative lighting and other Solar light ing with impressive double digit volume growth expansion.
Within the consumer durable segments certain segments have exhibited robust growth. The strong growth in this subcategory was also aided by the successful introduction of the 12 innovative fan model s and 16 consumer appliances products in FY24 Q2.
PVC pipe witnessed an 11% growth in Q2. During the upcoming quarters, our Company will continue to strategically introduce a diverse range of very innovative products within the

Lightning Consumer Durable b usiness segments and this forthcoming product launches are expected to contribute significantly to our overall growth and market presence.
We are hopeful of achieving double -digit revenue growth for whole FY24 on the back of better H2 FY24. In terms of pr ofitability, we hope to achieve our target that we have outlined in our previous commentaries.
Our strategic focus remains on bolstering our market presence and brand recognition through intensified investment in advertising and marketing. This effort aims to augment our market share and enhance the visibility of our brands. Additionally, we are committed to fortifying our dealer and distributor network by implementing a range of engaging initiatives.
Based on our analysis, it is anticipated that our Lighting and Consumer Durables segment will exhibit a very positive performance in H2 FY24 and FY25 provided that all sectors of the Indian economy maintain their current growth trajectories.
Now moving on to the steel pipe business, the segment has experi enced a good volume growth of about 12% which was overshadowed by the downward pricing pressure ranging from 10% to 15% across different grades of steel during H1 FY24. On a full -year basis we continue to anticipate a 12% to 13% volume growth. Our optimism stands on the back of a strong order book of about almost ■800 crores especially from Oil and Gas segments for API pipe as well as the potential for growth in the domestic market as well, which we believe will help mitigate any potential shortfalls we may encounter in the exports market.
Within API pipes, the line pipe business has experienced a deceleration in order due to the upcoming general elections. The other key business sector for API pipes order is from City Gas Distribution sector which has demon strated commendable growth and has a potential (to be read as 'positive') outlook. We expect a very positive business momentum for GI pipes to persist throughout the fiscal years 24 and 25.
And lastly, we remain confident about the opportunities that lie a head of us. The Company is focusing on geographical expansion, innovation, efficiency enhancement, infrastructure an

d
human capital to deliver the best class solution to our customers.
And now I would like to request our CFO, Mr. B. B. Singal to share his thoughts.
B. B. Singal : Thank you respected MD, sir, and a very good evening to all the participants on the call.
For the quarter, despite a marginal decline in revenue, the EBITDA and PAT grew by 6% and 12% on a year -on-year basis to ■139 crores and ■76 crores, respectively. For the first half of Financial Year '24, revenue was ■3,791 crores as compared to ■3,824 crores. EBITDA and PAT stood at ■255 crores and ■135 crores as compared to ■202 crores and ■90 crores, respectively.
The increase in the operati ng performance can be attributed to the PLI scheme, backward integration and the increase in demand for value added products.

In Lighting and Consumer Durables, for the quarter the revenue stood at ■377 crores as against ■383 crores. EBITDA and PBT stood a t ■35 crores and ■28 crores registering a growth of 14% and 21% respectively. For the half year, revenue stood at ■751 crores as against ■718 crores, a

growth of 5% on year -on-year basis. EBITDA and PBT stood at ■68 crores and ■54 crores (to be read as ■54 crores) a growth of 30% and 46% respectively.
In the Steel pipes and Strips, during the 2nd Quarter Financial Year ‘24, the Company’s revenue stood at ■1,539 crores, while the EBITDA witnessed a growth of 3% year -on-year basis with an EBITDA per metric to n of ■5,104 per metric ton. PBT for the quarter grew by 11% to ■76 crores.
For H1 Financial Year ‘24 revenue stood at ■3,042 crores while EBITDA and PBT grew by 25% and 55% year -on-year basis to ■187 crores and ■131 crores, respectively.
As of 30th Septemb er 23, the Company has reduced debt by ■190 crores and continues to remain long-term debt free. Debt equity was reduced to 0.11x as on 30th September 23.
As on 30th September 23, the net working capital days stood at 65 days, inventory days stood at 52 day s, debtor days stood at 32 days and creditor days stood at 19 days.
As on 30th September 23, ROCE improved by 439 basis points and stood at 20.2% as compared to 15.8% in the last quarter. ROE stood at 15.57% as compared to 12.49% as on 30th June 23, a grow th of 308 basis points.
With this I conclude the presentation and we can now open the floor for further question and answer.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Jatin Damania from SVAN Investments Managers . Please go ahead.
Jatin Damania : Sir just wanted to understand that for the steel pipes, you said, that you have in volume terms, we have grown by almost 10% to 15%, but because of the lower realization there was a he dge.
So I want to understand is there any one -off or inventory loss that we have taken during the quarter due to which EBITDA per ton has come down? Sir, how can one look at the operating performance going here for the next couple of quarters?
Raju Bista : Under steel division there is an impact of ■400, ■500 ton in this quarter, but as I said there is a growth of 12% in volume and we believe that we will maintain a volume growth of 12%, 13% throughout this entire year. But particularly in this quarter the Q 2 of FY23,steel prices were lower by ■3,000 per ton. And if I see in comparison to Q1 versus Q2, then steel prices are down by ■1,000 per ton.
Jatin Damania : Sir have we taken any inventory loss in this quarter, or we are properly hedged in terms of the raw materials?
Raju Bista : Yes, we have taken an EBITDA per ton loss of ■400 to ■500 per ton.

Jatin Damania : Means the current EBITDA per ton of ■5,100 will be near ■5,500 or ■5,600?
Raju Bista : And as I have said earlier in my commentary generally in Q3 and Q4 due to festival and agriculture, so we are in the same line which

we have given in our commentary. It is true that this time due to the shifting of Diwali and revenue being equal, I can say that we are little below from what was our expectation, but we will cover that under Q3, Q4.
Jatin Damania : It is great that the second half will be strong for us, what is the status of the expansion of steel pipes which we were doing of 1 million ton to 1.2 million ton? And till when that plant capacity will come?
Raju Bista : Actually, we are doing 3 investments in our factory ’s, NCR - Bahadurgarh in which investments of ■40 crores for Cold Rolling is in execution stage and land acquisition process at Hind upur with investment for LDP and GP worth ■75 crores is complete. It took some time because we had to buy land from the government and purchasing of rest other equipment is in process and we are making third investment in LDP at B huj Anjar in Gujarat. The technical team is working on it, we can say the purchase of technology and machines are in the final stage. NCR of Bahadurgarh will take 9 months and the remaining 2 projects will take almost 1 year to complete.
Jatin Damania : Sir as you told that we are almost closer to a debt -free or debt -to-equity 0.1. So when I see our cashflow, then we are generating EBITDA ■400 crores and if we would generate another ■400 crores next year, so what is our capital allocation policy? Can you give us any idea and has the Board decided on any dividend distribution policy to reward your shareholders? Like in this quarter you have announced of ■2.5 dividend for celebrating our 50 years, but how shall we look going ahead, how shall we look forward to capital allocation and the dividend distribution policy?
Raju Bista : You said it well, I have told this many times that whatever cash we will generate, annually we will spend half of it on CAPEX and whatever is left over is shareholders money.
Jatin Dam ania: Last question on the steel pipe, like last time you told that probably we will reach to a 10% EBITDA margin, and we are closer to that, so is there any further increment one can expect from steel or can we assume 10% margin on a steady state -run rate basis going forward?
Raju Bista: Are you asking about lighting?
Jatin Damania : Yes, sir for lighting.
Raju Bista : Last time I said that we will be on 10%, so in Q3 it will be above 11% and Q4 will be also same,

so we will surpass double digit which was ou r commitment and I feel that we will land between 10% to 11%. And in Lighting Division it is like that we are changing product mix, our focus has shifted on higher value items. And besides Tier -2 and Tier -3, we are reaching towards Tier -1 cities. And acros s PAN India level our electricians and retailers meets are being organized. As I told in my commentary that in Lighting 10% to 15% price erosion has been seen, that means

overall competition has also reduced the prices. Despite that, there is improvement i n our margins because we have done backward integration and secondly under purchase we went to the advanced stage and did negotiation, and third biggest role is that we have paid a lot of attention towards innovation. Due to all of these reasons, we saw im provement in margins, despite such a price fall.

Jatin Damania : Thank you, sir and wishing the entire team of Surya Roshni a very happy Diwali.

Raju Bista : One more thing in Lighting Division we are seeing flat revenue, but if we add that price erosion then there is a 17% to 18% growth in volume.

Moderator : Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.

Shweta Dikshit : Sir can you give some indication of the volume outlook in the second half for steel segment? And what was the capacity utilization this quarter? And what are you setting in the coming quarter?

Raju Bista : As you asked regarding volume, in H2 FY24, the volu me will be around 5 lakh ton for the next 2 quarters and capacity utilization is about 78% to 80%, in some plant it is more and in some plant it is less, but on an average it is 78% to 80%. If we talk about the volume for the whole year, then we will be li ttle more than 9 lakhs (to be read as 9 lakhs ton).

Shweta Dikshit : Any view on the volumes next year, considering your capacity expansion?

Raju Bista : Next year, we will do 1 million (to be read as 1 million tons) plus.

Moderator : Next question is from th e lines of Rucheeta Kadge from Iwealth. Please go ahead.

Rucheeta Kadge : Sir basically my question was, currently how much is value -added, as a percentage of your total mix? And in the second half, like for the full year are we expecting what we should do around a 6,500 EBITDA per ton, so how do we see the sales mix changing in the second half which would help us to get that kind of EBITDA per ton, so right now these are the 2 questions?

Raju Bista : So, right now our value -added is around 35% and in Q3, Q4 contribution from this segment will be around 40%, 42%. And last year our EBITDA per ton was ■6,500 and we have said that this year, instead of ■6,500 our EBITDA per ton, it will be near ■5,500 per ton to ■6,000 per ton throughout the year.

Rucheeta Kadge : And sir you expect this going ahead also for this to sustain or you expect to improve going ahead?

Raju Bista : We will both sustain and improve it, because as I told we are gradually increasing our value - added product in both Steel and Lighting. And doing some special product in an oriented manner,

so I think we will not only sustain but we will also see an improvement in that. And if you see the last 10 years track record, then you will see that despite the ups and down in the industry, Surya Roshni has b een stable and recording a reasonable growth.

Rucheeta Kadge : And sir if you could just mention how has the trend been of this value -added over the last 5 years? Has this improved or it has been stagnant? And what do we expect going ahead?

Raju Bista : If I talk about the last 5, 6 years from 10% -12%, the contribution of value -added products has reached to 35%. We have shifted our full focus. So, in the coming times, gradually our immediate target is to increase the contribution from value -added products to 50% and in which margins are little better.

Rucheeta Kadge : And this you aim to achieve by which year?

Raju Bista : I think next to next year , we will come to the level of 50% and precisely I was seeing, that we had started in FY18 -19 with 9%, which now stands at 35%.

Moderator : Thank you. The next question is from the lines of Kuber Chauhan from Anand Rathi. Please go ahead.

Kuber Chauhan : Sir I have couple of questions over here, like you told that we are seeing more growth in Lighting Division compared to Steel division, so are we saying that our primary focus would be on Lighting Division from now because there is a little shake out in steel prices? Are we saying that?

Raju Bista : No, our focus is equal on both places, because we have exclusive 2 diffe rent teams. I am a common man otherwise from CEO down to the level below, there are 2 different teams, they

have their own different visions, and our focus is on both segments and both segments are also doing good.
Kuber Chauhan : And how you are saying ste el prices like second half of FY24, so what will be the outlook on that? And how we are witnessing it like how is it, is it stable or are we witnessing some more correction?
Raju Bista : There is not much scope and not much volatile either, if we talk about 3, 4 months. In India HR coils rate is around ■57,500. There is a scope for correction of about ■1,000, ■1,500 in future or in next 1 or 2 months. So I am saying this from the perspective for the coming 3, 4 months only, as it is very difficult to predict

the future.
Kuber Chauhan : So, you are saying that same numbers will be there in Q3 in terms of steel division we can say that?
Raju Bista : No, in Q3 we will get better results from this in terms of volumes and improvements will also be seen in margins in per ton EBITDA.

Kuber Chauhan : And even in Lighting Division as Diwali is coming, so how we are witnessing that? Are we witnessing uptick there also?
Raju Bista : Under Lighting Division, as Diwali season has shifted in this quarter means under Q3, so we expect the EBITDA margins to increase from 9.3% to 11% plus in Q3 in Lighting Division.
Kuber Chauhan : 19%?
Raju Bista : No, 11% plus percent EBITDA margin is expected in Lighting Division.
Moderator : Thank you. The next question is from the lines of Shreya ns from SVAN Investment Managers. Please go ahead.
Shreyans : Sir I just want to understand what will be our CAPEX guidance for FY24 and FY25?
Raju Bista : So, FY24 which is the current year, we have taken approval for ■200 crores from the board and for next year our requirement will be ■100 crores. sSo adding both these years, CAPEX will be around ■300 crores, ■325 crores in FY24 and FY25.
Shreyans : And sir wanted to understand that our debt of ■200 crores, ■225 crores will be repaid this year or will be the re in FY25?
Raju Bista : ■200 crores are left and our stock level is at highest level, so precisely I will not say that in H2 it will be fully completed, but by the H1 of next year FY25 we will definitely be debt free.
Because precisely our balance debt is around ■200 crores.
Shreyans : Sir just wanted an outlook for October in Steel segment, how is our volume and EBITDA per ton ramp up going on? And just if you could give us some understanding on that?
Raju Bista : No, currently the result a pending, but Octo ber was good, whether it was Lighting or Steel division. And as I have told, Q3, Q4 is anyways in case of Surya Roshni whether it be Lighting segment or Steel division. Historically, if you see our past results, in comparison to H1, H2 is substantially in better position.
Shreyans : And sir in starting you told that capital allocation our policy is 50% towards CAPEX and 50% towards dividend, so the guidance which we are giving of ■300 crores towards CAPEX for this year and next year combined, then it gets reduced?
Raju Bista : No, I have given in combined, sometimes ■100 crores will be less, sometimes ■100 crores will be more. But precisely it is not possible that I will spend ■200 crores, that is not the case. But if I say in general terms, spend around hal f on CAPEX on a regular basis. So, I am telling this on an expected line. Suppose that tomorrow we have to set up a new factory, then in that single factory ■200 crores investment will have to be made. So it depends, in some year it will be less, in some y ear it will be more. And this year, in 3, 4 projects which we have got approved from

the board, there was delay due to some reasons, that is why I think in FY25 we will be able to do capex of around ■100 crores, ■125 crores.
Shreyans : And sir I wanted to u nderstand in Lighting, how much will be the contribution of Pipes in this?
Raju Bista : In CAPEX?
Shreyans : No, what will be the contribution of PVC pipes in our revenue in Lighting segment?
Raju Bista : Our revenue from Lighting for the whole year will be a round ■1,600 crores to ■1,625 crore , and from that around ■90 crore to ■100 crore will be from PVC pipes.
Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.
Saket Kapoor : Namaskar, Bistaji . As you mentioned, historically our H1 is lower compared to H2. And if we compare last year’s H1 to current year H1, then there is a significant growth. And if I am right then last year, we have

gained significant inventory in H2. We got significantly hig her EBITDA
per ton for Steel business, which is not so high this year. If I am not wrong, it was ■9,000 plus.
Correct me if I am wrong. If all these things are taken in consideration, then do you see us
coming close to last year's number, because the inven tory gain which we got last year, we are
not expected to get this time. Is it correct to assume like this, sir? Please correct me.
Raju Bista : H2 of FY24 and FY25 will be almost in the similar lines and as I told substantially good numbers
came in Q4 of l ast year and that is why at the start while giving Q1 guidance, we had said, that
in comparison to ■6,500 EBITDA per ton, we will achieve ■6,000 EBITDA per ton. So it is
expected in similar line, it could be less by ■100, ■200 EBITDA per ton and only time will tell
this.
Moderator : Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please
go ahead.
Shweta Dikshit : If you can throw some light on your capacity expansion of 200 KTPA, in that what will be the
value -added pro duct portfolio?
Raju Bista : Are you asking regarding CAPEX, what will be our focus on investment on value -added?
Shweta Dikshit : Yes, it is an expansion of full 200 KTPA ?
Raju Bista : In that almost ■150 crores of CAPEX is being invested in value added and ■40 crores, ■50 crores
we are doing in Cold Rolling.
Moderator : Thank you . The next question is from the lines of Rucheeta Kadge from Iwealth. Please go
ahead.

Rucheeta Kadge : So, just one more question. On this value addition, so, sir for every one percen t value addition
how much does an EBITDA per ton improve, if you can give a ballpark number?
Raju Bista : This depends on a product -to-product and precisely it is not easy to tell the exact numbers, but
still it depends a lot on the product -to-product and p roduct mix.
Rucheeta Kadge : Sir because right now when you are at 35%, we are expecting around ■5,500 to ■6,000 EBITDA
per ton and you are saying by FY25, this mix would become 50%, like APL Apollo Tube just
for comparison, sir they are 60% something is th ere value -added and they make around ■6,000
EBITDA per ton, so can we go to that on a sustainable basis? Just for my understanding?
Raju Bista : I can talk about myself, but if you compare it to your peers, apple -to-apple if you see segment
wise, then I thi nk in comparison to our peer group you will find our EBITDA per ton better. So,
from this it reflects that what is the percentage contribution from value added products.
Rucheeta Kadge : This value added would be your API and your GI pipes basically?
Raju B ista: Yes, API, galvanized and export market too. There can be many definitions of value added, so
much is dependent on that.
Moderator : Thank you . The next question is from the lines of Miraj Shah from Arihant. Please go ahead.
Miraj Shah : Sir only 2 ques tions. First one is as you have highlighted CAPEX, 3 different CAPEX that we
are planning plants with timeline, sir what will be its total revenue potential keeping in mind the
current prices only? And secondly, currently what will be the contribution of o ur export sales in
Steel Pipes business? Just these 2 questions.
Raju Bista : Our CAPEX which will be of ■200 crores, Itscontribution will be near to 20% that is it will be
near 1.75 lakhs ton to 2 lakhs tons . And specially you asked regarding exports, so our
contribution from exports segment is 18% precisely.
Miraj Shah : Currently 18% of Steel only or total sales?
Raju Bista : Steel.
Miraj Shah : And from the CAPEX which we are doing, in value terms how much add itional revenue can be
done?
Raju Bista : As I said near ■1,000 crores, that is 20% will be its impact.
Moderator : Thank you . The next question is from the line of Yogesh Mittal from Investore. Please go ahead,
sir.

Yogesh Mittal : I wanted to ask a question regarding the factors you serve mainly in the Steel pipes like if you
can just categorize the top 3 sectors or top 4 sectors like Structural steel or like Agricultural pipes
or like that? So, if you can give the top 3 or top 4 users, the segments?
Raju Bi sta: Our biggest segment is Trade and Distribution which contributes about 55%. It basically
constitutes of agricultural and structural pipes. The contribution of our PSU and API is around
16%. And Cold Rolling which we give to automobile ancillaries, and automobile companies
contribute almost 10% and export's contribution is almost 18% -19%.
Yogesh Mittal : The raw materials which are used for this are mainly the HR coils or do you have other raw
materials also?

Raju Bista : We have 2 raw materials; one is HR coil, and another is zinc, that's it
Yogesh Mittal : Sir just wanted to understand, like it was being alluded by so many callers in the call, when you are talking about the raw material, which is HR coils price reduction or the overall the final product price reduction in the market because of which the EBITDA has been reduced. So wanted to understand what is the pricing power in case the raw material prices reduce with the Surya and other competitors in the market?
Raju Bista : We don't manufacture HR coi ls. We make only make pipes. So if HR coils prices are reduced, then we have to pass it on and if it increases then we get the increased price. At the time of increasing and decreasing prices, all the engineering is that, during decreasing times keep less stock and during increasing time, keep more stock, so that we get an advantage.
Yogesh Mittal : Sir I just wanted to understand, it is not clear why this EBITDA per ton reduced?
Raju Bista : If we see our EBITDA per ton from H1 then it is slightly better onl y and if we compare it with FY23 then also our per ton EBITDA is better only and if you see for the whole year then also per ton EBITDA will be around ■6,000. And regarding HR coil, it is not very volatile this year. I mean there is a littl e bit volatility , which is always there.
Yogesh Mittal : Sir 55% which is your Trade and Distribution sector, mainly your off takers - in that what is the outlook in the market right now? The dealer talks or the discussions which you are having - how is the outlook?
Raju B ista: The overall outlook is good. Bharat's outlook is good, and demand is good. Depending upon the price it goes one month up or down, otherwise throughout in our 50 years history it has been our strength and will continue to be. And in many states we get credit and premium and even today in many states, Prakash pipes is the first choice of farmers for agricultural use and for customers.
Yogesh Mittal : One of the last things which I want to ask, Sir when we talk about the product, is there competition in t he product in terms of this new CPVC pipes are coming. Is there any competition in any targeted market?

Raju Bista : In the market there is competition on each and every product. And I say that if there is competition or challenge in the market, then only o ne is able to perform well, so competition is everywhere. Today if you look under Lighting, the maximum competition is in Lighting because this Lighting industry has not matured yet, after LED came. Today also I am not able to understand that the product w hich I am introducing will last for a year or before that only I will have to switch to a new product. The main reason is that the in Lighting industry more than 50% of market share is with the unorganized sector, who brought imported material under CKD an d SKD and used screwdriver technology and made it and sold it in market. So this is a phase in Lighting industry and in fact for the last 3, 4 years it has been very tough. And similarly

competition is there under Steel Division also, But my experience of so many years in Steel Division is that generally our preference is to sell our goods through dealer network. There a lot depends on our 50 years track record, on our relationship basis and our quality. Our major chunk is from exports also - there as soon as we get the money in advance from the stockiest, or we get LC and then we dispatch the material. And there is a segment - project and API, where competition is there, but despite that the margins are much better.
Yogesh Mittal : Sir I was specifically ask ing about the CPVC pipes, like in some segments the product itself, not about the competitor, in terms of the product being competing with this? Please tell regarding that also.
Raju Bista : In this we have a small business, and we don't make a huge investm ent in that every quarter that is why I never mention it. However , in thus business also, we have doubled our capacity in one year.
Yogesh Mittal : Sir, what I was asking is like your Pipes which are used in agriculture or any other segments like agricultural pipes and plumbing whatever in that, is there any competition with CPVC or is it used for specific use only?
Raju Bista : Our plumbing segment has almost shifted to PVC, because with steel pipes a plumber can fixe one bathroom per day, but with PVC pipes he can fix 3 to 4 bathrooms.
Yogesh Mittal : So, there is no competition in your existing steel pipes product segment? That was I was trying to ask?
Raju Bista : In that, there is no risk due to PVC plastic, because our segment cannot be catered P VC, at least till now no such technology is there.
Moderator : Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer : Congratulations, sir on a good set of numbers. Sir my question is that as y ou have told that we will do almost 9 lakh ton under Pipe segment roughly in FY24 and in Lighting will do double

digit growth. So I want to know that is there any number in your mind for FY25 like how many lakhs ton you want to do in FY25? And in Lighting what growth can come?
Raju Bista : As I told regarding steel if I say for next year FY25 then our volume will be 1 million plus in Steel segment and under Lighting division, although earlier also I felt that there should not be more price erosion. I don’t t hink there is much scope left now and in Lighting division if we see for the past 5 years in terms of volume growth we have been growing regularly around 15% to 20%, despite of all the hurdles. So, I feel that in FY25 we will make 15% growth despite some price erosion. And in the Lighting division, there is a scope for improvements in margins. At one time, we were at 14% when CFL was peak. Now in the same direction we are moving forward, gradually with new products, with new technology and with a new produc t mix.
Vignesh Iyer : You have given the CAPEX plans for next 2 years. So you will have significant cash flow after considering the CAPEX. So sir, have you thought about doing buy back or anything like that - because investor has to bear higher taxes on div idend side of upto30%?
Raju Bista : See I have given a rough calculation, but you assume that whatever CAPEX is done, besides that whatever is there it is for shareholders, but it will not be a form of dividend. I can say that it will be there, it is our fi rm commitment. We regularly increase and pay some dividends every year, but still no such firm decision has been taken by the board, so I don’t think it would be right to comment on that. So, hopefully by the next Q3 or Q4 there will be some clarity on it, But you are right that from ■1,500 crore CAPEX by doing growth in volumes, we have reached this level, so I think the future is good. We have to do more CAPEX and have to expand in more geographical locations and

by changing our product mix I see much mor e potential in our valuation.
Vignesh Iyer : You are correct, sir we are seeing that from 2, 3 quarters your performance is improving and as an investor I want to share that if you think of separating your Lighting division, then the Company can get a good valuation - means the valuation which you are getting in market from the Lighting business, the entire Company is not getting that much. So I think that from that side also, value creation can be made for investors. This is just my thinking which I wanted to share with you.
Raju Bista : Many have suggested this and as you are our investors and our promoters are investors only, so we have also informed our board and your suggestion is in our mind. But that will happen when the decision is taken. But besides t hat, we work regularly on creating value for the shareholders, because it is our shareholders who have kept us as the MD, Directors in the board and it is our duty towards you and we are doing it sincerely and will continue to do so in the future also.
Moderator : Thank you. Ladies and gentlemen, we take that as the last question and now I hand the conference over to Mr. Bharat Bhushan Singal – CFO and Company Secretary for closing comments.

Bharat Bhushan Singal : Thank you everyone for joining us today o n this earning call. We appreciate your interest in Surya Roshni Limited. I sincerely once again thank to our MD and the CEO for sparing their valuable time and addressing queries raised by the participants who attended the call. I would also like to take this opportunity to wish everyone on this call a very Happy Diwali from the entire Surya Roshni family. For any further queries kindly contact SGA, our Investor Relation Advisor. Thank you once again.
Moderator : On behalf of Surya Roshni Limited that concl udes this conference. Thank you for joining us and you may now disconnect your lines.
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Call: Feb 2024

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February 14, 2024
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Scrip Code: 500336 The Manager (Listing Department)
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Bandra Kurla Complex, Bandra (E)
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call with respect to Financial Results for the Quarter
ended 31st December, 2023.
Dear Sir,
This is with reference to the Company intimation dated I st February, 2024 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the earning conference call to discuss the financial results for the quarter ended 31st December, 2023 scheduled for Thursday, 8th February, 2024 at 4:00 P.M, (1ST).
Further to the audio recording filed with the stock exchanges already on 8th February, 2024, we are enclosing the Transcript of the said Earnings Call.
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMP ANY SECRETARY
Enclosed: as above.
• Regd. Office: Prakash Nagar, Sankhol, Bahadurgarh, Haryana -124507

"Surya Roshni L imited
Q3 FY '2 4 Earnings Conference Call"
February 0 8, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 8th February 2024 will prevail.

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MR. NARESH SINGHAL - EXECUTIVE DIRECTOR ,
STEEL OPERATION S
MR. GAURAV JAIN – COO, STEEL OPERATIONS
MR. JITENDRA AGRAWAL – CEO , LIGHTING &
CONSUMER DURABLE
MR. B. B. SINGAL – CFO AND COMPANY SECRETARY

Surya Roshni Limited
Februar y 08, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to Surya Roshni Limited Q3 FY '24 Earnings Conference Call. This conference call may contain certain forward -looking statements about the company, which are based on beliefs, opinions and expectation of the company as on date of this call. These statements are not the gu arantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raju Bista , Managing Director o f Surya Roshni Limited. Thank you, and over to you, sir.

Raju Bista: Hi, everyone. Thank you. Good evening once again with the Q3 FY earning call. And on behalf of Surya Roshni Limited, I extend a warm welcome to everyone for joining us today.

On this call, we are joined by Mr. Naresh Singhal, Executive Director, Steel operation s. Mr. Gaurav Jain, Chief Operating Officer, Steel operations; Mr. Jitendra Agrawal, CEO, Lighting & Consumer Durable; and our CFO and Company Secretary, Mr. B. B. Singal ; and SGA, our Investor Relations Advis or.

I hope everyone had an opportunity to go through the financial results, press release and investor presentation, which have been uploaded on the stock exchange as well as on our company website.

Moving on to the highlights for the Q3 FY earnings, the company revenue experienced a slight dip on account of slowdown of demand on basically high value -added products in steel pipes business and flattish growth in Lighting & Consumer Durable segment. Despite the decrease -- slight decrease in revenue, the company managed to sustain its operating profit margin on account of substantial improvement in the operating margin mainly in the Lighting & Consumer Durables business and the company recorded an EBITDA margins of 8.2% for the quarter, up by 87 basis points as compared to 7.3% for Q2 FY '24.

Over the past few years, the company has placed it emphasi s on reducing , focus on reducing the debt. During 9 months of FY '24, the debt reduced by another ■168 crores. And the debt -to-equity ratio is at 0.12 as on 31st December 2023. Lighting & Consumer Durable business is now completely debt -free. In the segment there is no long term and no working capital borrowing as on date. We become totally debt -free company in like Q4 FY '24, which means one year ahead of our target.

Now coming to the Lighting & Consumer Durable, the segment recorded a revenue of ■403 crores in FY '24 Q3, up by 2% as compared to the same period last year . The Professional Lighting business witnessed higher doub le-digit growth while the consumer lighting business had a modest single -digit growth in Consumer Durables and appliances segment witnessed almost a flattish kind of growth. Strong growth in volume, along with a better mix towards

higher -margin product s and cost saving from backward integration driven by PLI (production -linked incentive), contributed to a significant improvement in operating profitability. And also the gas price has also added to it, because the gas prices has come down significantly.

EBITDA for Q3 FY '24 was up by 38% to ■38 crores as compared to ■27 crores in the same quarter of FY '23. EBITDA margin for Q3 stood at 9.3%, up by 244 basis points as against 6.9% in Q3 of FY '23.

In Professional Lighting, we undertook a few big and important projects like G20 events and facade lighting of Atal Setu etc. We also recently won major order of like ■75 crores for LED p

ublic street lighting and maintenance work in the state of Orissa. We have been witnessing robust growth in infrastructure lighting, facade lighting and other industrial lighting projects.

For the Consumer Durables segment, overall sales has been subdued due to muted consumer demands. However, the premium category of consumer durables products category has reported decent growth. Fan a s category is currently seeing unique challenges due to regulatory interruptions such as implementation of mandatory star labelling requirements. However, the market acceptability of star labelling trend is finding good traction and we plan to continue launching new products of star category.

So adding to it, we also conducted over 150 engagements with dealer s in this Q3 quarter, thereby engaging with almost 10,000 of top retailer s -- retail outlet in different parts of our country. Also similarly, we keep engaging with prominent electricians.

So now moving on to the Steel and Strip business, there was a slight decline in the top line

growth, primarily due to the slowdown in demand of high value added, mainly the spiral part in pipe segment . However , this wa s partially offset by improved sales in all other categories of pipes . There was also 23% growth in export in Q3 as compared to the same quarter last year. Overall, the steel pipe segment, witness a volume degrowth of about 2.5% only in Q3 FY '24, and over all 9-month growth is about 7%.
We have a strong in -hand order book of about ■600 crores for mainly oil and gas segment.
Sequentially, there was an improvement in steel prices, EBITDA per ton for the quarter stood at ■6,156 per ton, achieving a growth of 2 1% from Q2 FY '24, which means previous quarter. And that was, I think, ■5,104 .
We are the first Indian company to manufacture 0.5” (inch) pipe to 140 ” (inches) pipe (minimum to maximum).
We have recently received EPD (environmental product declarations) certification s for all products, which is mandatory requirement for the customer s mainly in export market . We are expecting robust order from Saudi and the Middle East and Canada markets in future.
We have also ordered new spiral pipe unit at our Gwalior plant facility, and we manufacture pipe up to 140” (inches) diameter, earlier, it was 104” (inches) only at Anjar plant . We further plan to add new coating plant in Anjar, Gujarat. So we are also currently in process to modernize

our cold rolling plant at Bahadurgarh facility, which will be completed in next H2 FY '25. And the other ongoing project s will be complete d as per the schedule . This would result in substantial fall, reducing cost of production as well as improving the qua lity of our product.
Lastly, we remain confident about the opportunit ies that lie ahead of us . The company is focusing on geographical expansion , innovation and efficien cy enhancement, infrastructure and human capital to deliver the best world -class soluti ons to our customers.
Now I would like to request our CFO, Mr. B.B. Singal to share his thoughts on financial parts.
B.B. Singal: Thank you respected MD sir. A very good evening to all participants on the call.
For the quarter, the revenue was ■1,938 crores as compared to ■2,021 crores. Q3 FY '24 EBITDA and PAT stood at ■158 crores and ■90 crores as compared to ■164 crores and ■90 crores, respectively, for the same period last year.
For 9 months of this financial year, the revenue was ■5,729 crores as compared to ■5,845 crores.
EBITDA stood at ■414 crores, up 13% as compared to ■366 crores in 9 months of financial year '23. And PAT stood at ■225 crores, up by 25% as compared to ■180 crores.
The increase in operating performance can be at tributed to the PLI scheme, backward integration and the increased demand for value -added products.
In Lighting & Consumer Durables for the quarter, the revenue at ■4

03 crores as against ■396
crores, registering a modest growth of 2%. EBITDA and PBT stood at ■38 crores and ■30 crores, registering a growth of 38% and 56%, respectively. For the 9 months, the revenue stood ■1,154 crores as against ■1,114 crores, a growth of 4% year -on-year basis. EBITDA and PBT stood at ■106 crores and ■83 crores, a growth of 33% and 50%, respectively.
In the Steel Pipe and Strips during Q3 FY '24, the revenue was ■1,536 crores as compared to ■1,626 crores. Similarly, EBITDA /MT stood at ■6,156 compared to ■6,733 year -on-year basis and ■5,104 in Q2 FY24 . PBT stood at ■91 crores as against ■104 crores last year.
For 9 months FY '24, the revenue stood at ■4,577 crores as compared to ■4,731 crores. Similarly, EBITDA /MT stood at ■5,224 crores compared to ■5,190 on year-on-year basis, while EBITDA and PBT grew by 8% and 18% on year-on-year basis to ■308 crores and ■222 crores, respectively.
Improved capacity utilization, working capital optimization and cost rationalization has further reduced the debt by ■168 crores . As of 31st December '23, the debt -to-equity ratio stood at 0.12x.
As on 31st December '23, ROCE improved by 271 basis points and stood at 22.91% as compared to 20.20% as of 30 September '23.
Return on equity, ROE, stood at 17.88% as compared to 15.57% as on 30 September '23, registering a growth of 231 basis points. As on 31st December '23, the net working capital days

stood at 70 days. Inventory days stood at 50 days , debtor days stood at 36 days and creditor days stood at 16 days.
With this, I conclude the presentation, and we can now open the floor for further questions and answers.

Moderator: The first question is from the line of Jatin Damania from Svan Investment Managers.
Jatin Damania: Congrats for a good set of numbers compared to the industry peers. So , I just wanted to understand in your opening remarks, you highlighted that the volume growth was only 2% in the quarter, while there was a decline in the value -added products. But at the same time, we had seen a sharp jump in the EBITDA per ton as compared to what peers have reported. So what has driven the sharp improvement in our performance ?
Raju Bista: Yes. Jatin ji, thank you very much. There are two categories of high value added pr oducts. One is ERW segment and second is Spiral segment . There is growth in ERW , but there was 38% de - growth in spiral segment . That is the main reason and because of that, there is less growth in revenue because in the last quarter, there was good volume.
Overall, we have improved our EBITDA per ton according to our last time guidelines. We have maintained it and export have made a big contribution in this quarter. We have made a 25% growth in export in this quarter.
Jatin Damania: Sir, can you tell us the volume of export and how much will be the EBITDA /Ton in that?
Raju Bista: In the overall percentage of exports, 18 % to 20% of steel segment revenue comes from export . For EBITDA /Ton I won't be specific , but in comparison to domestic it is better at ■9000 -10000 per ton of EBITDA . So, if you see the overall it is ■6,100 EBITDA per ton, but for export , realization is in the range of ■9000 -10,000 EBITDA per ton.
Jatin Damania: So, if we see an export growth of 25% and definitely there will be a slowdown i n Q4 as well. So, can we expect that there will be a slowdown in Q4? Or will EBITDA per ton continue to remain the same and there is a higher chance of improvement?
Raju Bista: First of all, the country is very big. And our population and demography is our strength. And there are some global disturbances, whether it is in the name of COVID or in the name of Ukraine or Russia.
But still, because we are in business, it is our job to find our way. So, in the coming time, I can assure you that (even though the re were very good numbers in the fou

rth quarter last year) we
will try to keep our EBITDA per ton better than what you saw in Q3. And overall, we gave guidance in the last year's call that EBITDA per ton will be around ■5500 -5600 on an annual basis.

So, EBITDA margins will be around ■6,000-6,500 because we have already entered in the month of February. So, there will be growth in EBITDA. There will be a growth of 10% in volume terms in Q4 quarter. And we are targeting EBITDA of around ■6500.
Jatin Dam ania: And next year, we are giving guidance of 1 million ton volume, right?
Raju Bista: I will tell you about next year. Because two things are going to happen next year. Firstly, some of our capacity has been enhanced. Some projects have already been completed. Some are in the process. So, I expect that we will grow 15% in the steel division .
And in the lighting division, it is a good thing that this year we have made 20% of our revenue make part of the pricing . There is good growth in volume. Despite that, we have not yet gone to de-growth. So, we are getting a big advantage of that. So, next year we expect more than 15% growth in the lighting division. So, I think our company could will achieve size of ■9500 -10,000 crore range in next year.
I have just touched on this slightly also. We are becoming debt-free one year in advance. And as of today, we have a loan of ■25 crores left. So, I am not able to announce debt -free, which will be easily repaid in this quarter. So, we will not have any term loan or working capital loan. And despite so much capex, despite growth in turnover and revenue , we were able to manage it well.
Jatin Damania: But sir, if we see that we are almost at debt free. We have a debt of ■25 crores, which will be debt-free in this quarter. The lighting business will also make a revenue of about ■1,700 crores - ■1,800 crores next year. So, there is a volume growth in the steel business. But sir, if we look at the valuation, then because of the conglomerate business, we are getting a lower multiple, despite the fact that our EBITDA per ton is better than other peers. The lighti ng business is improving and there is a debt -free status. The valuation is still attractive . But if both the companies are not getting the valuation together, then is the board thinking about demerger?
Raju Bista: Sir, after the demerger, you will not have any interest. So, you yourself know that Surya Roshni is available at very attractive price today. See, as long as no board doesn’t take this decision, as a managing director, I cannot make any announcement in the concall .
But I think the board will defi nitely think about it at the appropriate time. Our first priority was that there was a lot of debt at one time. So, we did it successfully. Now, we are generating more funds than what we need to do the project s. So, obviously, we would like the shareholder to get an advantage from the dividend and other corporate actions.

Jatin Damania: No, sir, that is true. But sir, if we look at the valuation, we talked about it at the beginning of the year, because of the golden jubilee year, there will be a huge reward for the shareholders. But we have just given a n interim dividend of ■2.50. So, I am just thinking that if you are looking at it according to the board, or according to the MD, if the demerger happens, then for the value unlocking, it is a good suggestion to the board in terms of rewarding the shareholders.

Raju Bista: We have also discussed this with the board. It is not right to say this until it is concrete. But you are absolutely right. It is clear that value creation can be done. So, where there is a bottleneck .

Jatin Damania: Thank you, sir. All the best. I will come back in a few.

Moderator: Thank you. Next question is from the line of V

ikash Singh from PhillipCapital. Please go ahead.

Vikash Singh: Good afternoon, sir. Sir, I have a question aligning to the previous participants. You said that your spiral volume was almost 36% down. But that is your best margin business. So, I am still not able to understand that even in quarter -on-quarter, we have made more than ■1,000 EBITDA per ton. What is the m ain reason for that? The best product's volume has fallen.

Raju Bista: No, the thing is that we have two categories in oil and gas. One is the spiral segment and the other is the ERW segment. In the ERW segment, we have growth. We also had growth in the export segment. That is why we got a substantial advantage in Spiral in the last quarter. That is why our EBITDA/ton went beyond ■6,500. So, we had a degrowth this time. Otherwise, we had an advantage of in making EBITDA/Ton from ■5,000 to ■6,000 from the previous quarter because of ERW, API oil and gas segment and export segment.

Vikash Singh: And sir, what do you see as your sustainable level EBITDA per ton? According to your product mix, what should be your sustainable EBITDA per ton?

Raju Bista: Sir, w e have come from ■5,500 to ■6,000 range in term of EBITDA per ton . We have created that kind of segment.

Vikash Singh: Okay, sir. Sir, my second question is that in the non -API grade ERW segment, almost all our competitors are increasing their capacity sig nificantly. But we have not yet announced any big lump sum capacity. Now, when the debt issues are largely resolved, do we have to see that we will also increase our capacity by half or one million tons? How do you see this segment?

Raju Bista: We are incr easing our capacity by 20% in all existing facilities. And we will bring a new project in the western part of India. But the discussion at board level has not been completed yet. The board has told us to do some more work. So, we will further add on a new project in the western part of India. And because of that, our capacity will be improved substantial ly. So, that is in our plan. As I told you, we have to work on growth and capacity enhancement and work for shareholder. The work of the bank is done.

Vikas h Singh: Okay, sir. Sir, moving forward, if the work of the bank is done, how will you distribute your cash? Suppose if you are earning ■100, h ow much will you put in the capex? How much will you return to the shareholder as a dividend? Do you have any tho ughts on this?

Raju Bista: We will do capex according to the roadmap for the next 2 -3 years. Because we have not done capex for a long time, for almost 10 years. We have not done any big capex. We have done small ones as an ongoing process. In case of volume growth , we will also need to increase the working capital.

We will try to give maximum benefits to the shareholder s. Because your money is invested in the company and if the company does well , then , you should get the reward. That is why I am here.

Vikash Singh: Yes, sir. Sir, just one last question. Sir, if you talk about capacity enhancement in the western part of India, which product categories are we looking at?

Raju Bista: In the steel pipe segment, our focus will be on export and API business. Because the government has achieved the target of 10,000 km. But many times more capacity has to be installed in India. And the government has emphasized on the physical infrastructure of beyond ■11 lakh crores. The trickle -down effect will be seen by all the segments and industries. Even the tea and samosas vendors will get the benefits. In the last 10 years, the government has invested more than ■44 lakh crores in capex. When people were distributing printing machines and cash due to COVID -19, the Indian government was trying to enhance the physical infrastructure.

Because of that, we can see the strength of our economy. Our exports are increasin

g. Make in
India and manufacturing in India is increasing . The advantage of PLI is being seen . Because of that, the living standard in our Tier 1 city is gradually coming to Tier 2 and Tier 3 cities . Whether it is a new house, highway, airport or any other infrastructure project.
So, this will be in our focus range. Oil and gas , infrastructure projects and lightin g is also connected with it. Our team is working on lighting. We are working on a new product introduction s. Hopefully, we will be able to share it with the shareholders by th e next board meeting.
Moderator: Thank you. Next question is from the line of Man ish Bhandari from Val lum Capital Advisors. Please go ahead.
Manish Bhandari: Hello. Good evening. Sir, my question is about exports. Congratulations, I have seen your company getting debt -free. It has been your wish list for a long time. Sir, my question i s about the export business. You have been a big exporter to the Middle East since the beginning . Do you have a concrete strategy , where our export percentage can be substantially increased? There has been a big construction boom in the Middle East. Have you made any strategy for that?
Do we see any visibility for the next 2 years? Because export also runs on the order book. So, if you can share the order book also of the export.
Raju Bista: So, in the Middle East, Saudi Arabia is a highly potential area. Followed by Egypt. As you said, we are the number 1 strong country in the Middle East. Similarly, in Europ e and Canada, our market share has improved substantially. Also, Australia and New Zealand. So, our focus is on these 4 areas. So contribution comes equally from all these 4 areas. So, mainly, we are focusing on Egypt and these countries. They have special products, API and all.
In Saudi, we have infrastructure projects . In construction, we have Europe and UK. Similarly, our fire -fighting segment , construction and fencing segment is in Australia and New Zealand. In

Canada, we have approved many product ran ges of DFT. So, it is a new area for us. Because we did not have the structure pipe facility for mnaufacturng DFT pipes .
Canada is also improving. So, I think there is a lot of potential in export. And we have been working for many years. Surya is a big n ame. I have been an MD for 12 -13 years. But I don't remember if we have ever given a claim of ■1 to anyone. But we take a lot of precautions from quality front and service front to other things like documentation.
And even in payment terms. All of our supply goes either on advance payment or LC payment .
Manish Bhandari: My second question is related to the 2 expansions which you spoke about. Not into the western region but the other 2 expansions. Can you tell us in detail about the ir product ranges? Now, t he expansions which you are going to do in the western region. Will you only do high margin products? Has there been any change in the strategy?
Raju Bista: Number 1 will look new to you. First, I am talking about cold rolling. We have not done anything in cold rolling facility for the last 10 years. And we have a capacity of 1, 00,000 tons for cold rolling. 90,000 to 1,00,000 tons annually. So, we are investin g ■60 crores in it. We have already worked on the plant and machinery. So, it is an investment of ■60 crores. But our volume capacity will increase from 8,000 tons to 12,000 tons with an investment of ■60 crores. And we were gradually getting out of qualit y due to lack of investment. Basically, in the automobile segment, fan and other industries. So, we had to do this. Because, the plant is still running and generating cash. So, with a small investment, we are getting a good capacity. And our quality will a lso improve. Overall, there will be an improvement in cost due to this. And we believe that within 2 to 2.5 years, the payback w

ill also come out. The capacity is increasing there.
Secondly, in Gwalior, till now we used to make only round pipes and sectio n structural pipes. We have seen that there are many orders of water pipes all over the country. And we have also got an single order for water pipe of 15,000 tons. So, in mid -India , to cater from Anja r, becomes a big cost issue . So, with an investment of ■20 crores to ■22 crores, we have installed a spiral plant there.
That will be mainly for the water pipe segment only. So, similarly, we have made an investment for a coating plant. We have made a modification. Earlier, the size was small. Now, we have almost doubled it. So, for this ■100 crores to ■125 crores investment is still in the process.
With this, our overall capacity will increase in all three units . And a new mill is coming to the Hindupur plant. And in Ba hadurgarh, we will have another mill of 2.5 to 8 inches , in which an investment of ■15 crores to ■20 crores will be made. So, with an investment of ■150 crores, I think our capacity will increase by 2 lakhs (about 25%) . And we will do a substantial greenfield project i n the western side of India. Hopefully, we will announce it in the next meeting.
Manish Bhandari: So, Rajuji, substantial means an investment of ■200 crores to ■300 crores? Sizable?
Raju Bista: Yes, ■250 crores to ■300 crores.

Manish Bhandari: So, that will be a big benefit for your logistic cost. Because you must be supplying to markets in the western region from Badurgarh and Hindupur ?
Raju Bista: No, that is also there. Secondly, 2 lakh tons, that is, annually 25 lakh tons of market was out o f our reach . You are not able to cater that. Today, we sell 1,000 tons to 2,000 tons of goods from Bahadurgarh, and we sell it at no loss, no profit. Because the logistic cost is so high.
So, when we are present there , we will have a bigger market, in Mahara shtra and the surrounding areas . And from there, you can reach right up to the border of Karnataka. And export is also feasible from there. And import and export feasibility for API also becomes better location from there. So, we are planning that.
Manish Bhandari: My last question, Raju ji, that today our products, excluding the government tender business, which business we sell at premium, and how much premium?
Raju Bista: Government, we don't do anything government. Whatever is there, our material goes to PSUs.
And apart from that, the premium segment, even in the export, means galvanizing itself is premium. But apart from that, even in the export, about 20% of our material we sell goes with value addition. Because their value addition is in dollars, in o ur case, it happens in rupees. So, we also get better margins in that, and there is also an advantage for our customer.
And number two, our overall GI is there . And in a market where there is no competition, we get an advantage in that. So, you know the oi l and gas segment, it requires a special product for it has a high requirement of engineering and capability. So, that is our segment. So, large dia, API, export, and galvanizing, we are still number one in India. And in many states, our price difference is 8% to15% in comparison to competition.
Manish Bhandari: 10% in a business like Pipe, isn't it too high? I mean, taking 8% -10% premium versus competition is too high a number?
Raju Bista: Yes, it is. I can show it to you physically. We have worked hard f or that. We have reached that stage after 40 years. And 10 -12 years ago, it was about 17%-18% and we are still in the range of 10% -15%.
Manish Bhandari: Thank you. Thank you to the whole team. Thank you Rajuji.
Moderator: Thank you. Next question is from t he line of Naveen Baid from Nuvama Asset Management. Please go ahead.
Naveen Baid: Thank you. Actually, my question has been answered. Thank you.
Mod

erator: Thank you. Next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Like, sir, in the ERW segment, you are having 80% of the sales. Who are you competing with these other peers in this particular segment?
Raju Bista: Will you please repeat it again?

Sanjay Nandi: Yes. In the ERW segment, who are our main peers that we are competing with?
Raju Bista: So, there is APL Apollo, there is Jindal, there is Tata to some extent. So, there are 4 -5 companies that do good volumes.
Sanjay Nandi: Right. So, what kind of EBITDA margin differential do we have compared to its peers? Like, Maharashtra Seamless also posted some good numbers on EBITDA/ton front in this quarter in the ERW segment. And like what you have mentioned in the call, like we are having some de - growth in the volume front, also the steel segment also not doing well . So, where we are lagging, sir, exactly compared to our peers?
Raju Bista: Maharashtra Seamless are altogether in different segments. They are in the seamless pipe, and we are in the ERW and spiral segments. So, they are more export based, so there is no comparison with them. But if you compare it with the peers whose names I have mentioned, then it is substantially better than that. We arelike 20% higher in terms of EBITDA/ton , particular ly if I talk about Q3.
Sanjay Nandi: Sir, how much will be EBITDA per ton in the ERW segment?
Raju Bista: In the ERW segment , we have around ■6,000, and ■6,100 in this quarter as well. And in the competition, you will see, the range is between ■4,500 to ■5,000.
Sanjay Nandi: Okay, sir. Thank you, sir.
Raju Bista: And one specific thing you asked, in our pipe segment, because in cold rolling, our EBITDA ton margins are very low. So, if I remove that segment, then even today, we have ■6,800 per ton on the pi pe segment only.
Sanjay Nandi: So, sir, how much will be the cold rolling segment in our total ERW space?
Raju Bista: It has a capacity of around 90,000 ton annually. So, it has a contribution of around 11% in

revenue.
Sanjay Nandi: So, in the ERW space, it has a contribution of 11% in cold rolling, right?
Raju Bista: Yes. In our total 100% steel segment, it has a contribution of 11% in cold rolling strip segment. In this as well, to improve the margins, we are doing some quality upgradation and expansion.
Sanjay Nandi: Okay. What kind of guidance can we presume in the coming years, like on a long -term basis, like in the ERW segment?
Raju Bista: See, overall, as I said, hopefully, this year…
Sanjay Nandi: We are talking about ■6,000 per ton, right? This is for the entire company, not for the ERW segment as a whole?

Raju Bista: So, the company as a whole, we will have a revenue of around ■7,800 to ■8,000 crores , in this financial year. And EBITDA , for the company as a whole will remain in the range of ■600 cr ores to ■610 crores . And next year, we believe, as I said earlier, that there will be a growth of 14% - 15% in the steel division, and a growth of more than 15% in the lighting division, which can be seen in the consumer segment.
So, this year, if we are in the range of around ■8,000 crores, we will be in the range of ■7,800 to ■8,000 crores . So, hopefully, next year, we will be in the range of ■9,500 crores .
Sanjay Nandi: Sir, what kind of margins can we expect in the lighting business?
Raju Bista: So, in lighting, it's good that you asked about lighting. In lighting, the last 3 -4 years have been very difficult because of the new category, and the unorganized sector was very strong. The product kept changing frequently, the price erosion kept happeni ng, and the screwdriver technology was very strong instead of engineering and R&D innovation.
So, as a result, I think the lighting in

dustry faced a lot of difficulties. But still, I can tell you with confidence that our performance was better than the com petition. We reduced our scheme by 20% and made it a part of the pricing.
Despite that, we have maintained our revenue. In the last 9 months, there was a growth of 4 -5% in revenue. And if you look at the volume, you will see a growth of 25%. In terms of ma rgins, last year on annual basis it was 7.9%, meaning 8% on an annual basis. And in Q1 this year , we had 8.33% which improved in Q2 at 9.21%. In Q3, the quarter we are discussing now, it remained at 9.33%. And in Q4, because it is a higher -sell and a goo d quarter, it will remain above 10%. So, on an annual basis, where it was 7.8% before, it will improve to 9.5%. And next year, we expect a 15% growth, and 20% EBITDA improvement in the lighting sector.
Sanjay Nandi: Sir, in the lighting space, it is such dynamic place, where everyone wants a new variety. S o how comfortable you are in like keeping pace with that kind of technological change, which is going to happen.?
Raju Bista: Lighting and clothing business are the same. You need something new every day. We have 3 advantages. Our manufacturing capability is our strength. We don't make it from the outside and put our label it on. So, when we do more manufacturing in -house, we don't have to give the margins to others.
Secondly, our strength is R&D and innov ation. Because we have the volume, we get a substantial advantage in raw materials due to the scale. So, as I said, the country is big, the competition is high, but despite that, we have been performing continuously for the past 50 years. This is the track record of Surya Roshni.
Sanjay Nandi: Sir, what kinds of products are you thinking of exporting to the Middle East countries? What kind of lighting will we export ?

Raju Bista: We don't focus too much on export in the lighting sector. Because we know that if China is exporting, and if it gets free movement, then exporting there is a waste of time. Our domestic market is also very big. India has a market of ■30,000 crores in light ing. So, our focus is on domestic. And in our capacity , we have some such materials which we can manufacture more . So, for some good companies we sell by branding, which would be about 3%-4% of the overall revenue on an annual basis.
Sanjay Nandi: Much cle ar, sir. Thank you for answering all the questions. I'll come back to you.
Moderator: Next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.
Shweta Dikshit: Congratulations, sir. And a good set of numbers. And thank you fo r the opportunity. Sir, I wanted to understand export share as a proportion of sales. How is that? You are saying that you targeting in Canada, Australia, New Zealand and you are also focusing on new segments. So is

this proportion expected to change in th e next two years? Are you targeting a growth? And the second follow -up regarding the exports is , I think I missed EBITDA per ton number for the exports. How much is that? If you could give me a ballpark number?

Raju Bista: So, as you said, our export share is about 19%-20% right now a part of our overall revenue. So, I think our export segment will increase to around 24% -25%. And in EBITDA, the contribution of export market is good. Because you need a lot of approvals and a lot of certification s. And the ex porters prefer to buy quality products at a better price, for which Surya Roshni is known. So, our range is ■7,000-12,000 in different markets. So, on an average, EBITDA per ton is ■9,000-10,000 for the overall export quantity.

Shweta Dixit: Okay, thank you, sir.

Moderator: Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. B.B. Singal for closing comments.

B.B. Singal: Thank you for joining us today

on this evening's call. We appreciate your interest in Sur ya Roshni Limited. I sincerely, once again, thank you our MD sir, Executive Director and the CEOs for sharing their valuable time and addressing queries raised by the participants who attended the call. For any further queries, if any, contact SGA, our Inv estor Relations Advisor. Thank you, good evening. Thank you very much.

Moderator: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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SRL/24-25/09
May 20, 2024
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call with respect to Financial Results for the Quarter and Year ended 31st March, 2024.
Dear Sir,
This is with reference to the Company intimation dated 10th May, 2024 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the earning conference call to discuss the financial results for the quarter and year ended 3151 March, 2024 scheduled for Wednesday, 15th May, 2024 at 12:00 Noon (IST).
Further to the audio recording filed with the stock exchanges already on 15th May, 2024, we are enclosing the Transcript of the said Earnings Call.
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BB SINGAL
CFO & COMP ANY SECRETARY
Enclosed: as above.
• Regd. Office : Prakash Nagar, Sankhol, Bahadurgarh , Haryana -124507
Page 1 of 14

"Surya Roshni L imited
Q4 FY '2 4 Earnings Conference Call"
May 15, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 15th May 2024 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR

MR. NARESH SINGHAL -- EXECUTIVE DIRECTOR ,
STEEL OPERATION

MR. GAURAV JAIN -- CHIEF OPERATING OFFICER –
STEEL OPERATIONS

MR. JITENDRA AGRAWAL – CHIEF EXECUTIVE
OFFICER , LIGHTING &

CONSUMER DURABLES

MR. B. B. SINGAL – CHIEF FINANCIAL OFFICER
AND COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day and welcome to Surya Roshn i Limited Q4 FY '24 Earning Conference Call . This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that ar e difficult to predict.

As a reminder, all participants' lines will be in the l isten -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Raju Bista, Managing Director of Surya Roshn i Limited. Thank you and over to you, sir.

Raju Bista: Thank you , Good afternoon. Namaskar. On behalf of Surya Roshni Limited, I extend a very warm welcome to everyone for joining us today. On this call, we are joined by Mr. Naresh Singhal, Executive Director, Steel Operation. Mr. Gaurav Jain, C OO, Steel Op erations; Mr. Jitendra Agrawal, CEO, Lighting & Consumer Durables; and our CFO and Company Secretary, Mr. B. B. Singal; and SGA, our Investor Relations Advisor.

And I hope everyone had an opportunity to go through the financial results which were published yesterday. Moving on to the overall financial performance highlights, the company's performance in FY '24 has been commendable considering the few challenges we faced in both our Steel and Lighting Division verticals. Our strategic focus on efficiency and cost optimization allow ed us to make substantial progress.

We have a strong conviction that the very few challenges currently faced by both the business verticals were only temporary and we are anticipating a period of consistent growth in both the business segments going forward. And the EBITDA for FY '24 stood a t ■586 crores , demonstrating good operation al performance. The little dip in our operating margin were primarily due to challenges in the Steel Pipe business, mostly on account of price fall, which was offset with improved margins in our Lighting and Co nsumer Durable segment.

Our proactive measures in capacity utilization, working capital optimization and cost rationalization has been vital in supporting our financial performance. These efforts reflect in our steady PAT , which stood at ■330 crores , closely aligned with last year's performance. We achieved a major milestone by becoming a zero -debt company, having successfully reduced our debt by ■400 crores in FY '24 .

Our commitment to financial prudence alongside our operational strategies has helped maintaining a healthy cash surplus of about ■65 crores. We have declared a final dividend of ■2.5 per share, demonstrating our ongoing commitment to delivering share holders' value. This is in addition to the interim dividend of ■2.5 per share already, which was disbursed.

Now coming to Lighting and Consumer Durable s, despite facing substantial price erosion in the Consumer Lighting business, our annual revenue reco rded a growth of nearly about 2% and now stands at ■1,572 crore s in FY '24 . EBITDA growth for Q4 FY '24 and FY '24 was up by

5% and 23% to ■45 crores and ■150 crores respectively, as compared to the same period last year. EBITDA margin for Q4 FY '24 and FY '24 stood at 10.66% and 9.57% respectively, as against 9.84% and 7.92% in Q4 FY '23 and FY '23. Significant growth in sales volume along with a favourable product mix towards higher margin product and cost saving from backward integration contr ibuted to a robust operating profit.

Infrastructure and industrial projects have driven our professional lighting

segment to high -teens
growth in Q4 FY '24 and over 20% in FY '24 . The vertical of LED segment like LED battens and downlighter have also witnessed healthy growth in FY '24 .

In Financial Year 2024, the fan business experienced significant growth in mid -teens range while the appliances segment also witnessed a robust growth of about 20%. With our strong foundation and strategic market expansion initiat ives along with ongoing investment in technology and

product development, we are well positioned to capitalise on this opportunity ensuring continued growth.
Moving to the Steel Pipes and Strips business, in the fourth qua rter of FY '24 , the steel pipe segment achieved its highest ever quarterly volume of 2.36 lakh tons. It experienced a volume growth of 6% in FY '24 and 4% in Q4 FY '24 despite a temporary slowdown in the B2B business mainly due to the general elections. Ex port also experienced a healthy volume growth of about more than 12% in FY '24 . Despite a notable decrease in steel prices during Q4 FY '24 , the overall sales revenue experienced only a minor decline.
We have successfully navigated the challenges posed by declining steel prices and other factors that has impacted the industry at large. Our focus on value -added products which made up 45% of our total sales also played a crucial role in sustaining our revenue stream.
Despite the industry headwinds, our revenue remained resilient, experienced only a minor decline in closing the quarter at ■1,665 crores . This resilience is a testament to our diversified product mix and our strategic market positioning, which includes significant contribution from both the API pipe and our robust export operations. Even our galvanized pipe segment also witnesse d a healthy d omestic demand in Q4 FY '24 . Exports constitute d about 18% sales of our total volume in FY '24 . Additionally, our focus on value -added products which made up almost 45% of our total sales played a crucial role in sustaining our revenue.
The EBITDA per ton for Q4 FY '24 was ■5,877 as compared to ■6,156 in Q3 FY '24 and ■9,868 per ton in Q4 FY '23. For FY '24 EBITDA per ton stood at ■5,401 as compared to ■6,496 in last fiscal year. This decrease can be largely attributed to the decreased sales of some mainly API spiral pipe business and the other part was mainly in loss of inventory in Q4 FY '24 .
We have a strong order book of about ■800 crore as on 3 1 March 2024 which includes the oil & gas sector and export business. We are currently in the process of expanding our operational capacity in order to meet the expected increase in market demand.
Our goal is to increase our monthly production capacity by almo st 15,000 ton s per month and by the end of June '24 our 8 -inch pipe capacity addition will commence operation s at Badurgarh plant. Roughly 50,000 ton per year would be the capacity . And a spiral plant with an annual

capacity of about 60,000 ton is scheduled to be commissioned at our Gwalior location in the same year by the end of Q2 FY25. This plant will be mainly used for the upcoming water projects. We will have a net increased capacity of about 36,000 ton per annum after our new coal rolling pipe facility at Badurgarh becomes operational in Q3 FY '25.
The steel market is showing a sign of improvement as the steel price has begun to slightly rise or you can say stable since mid -April and this will revive demand across our product categories and we are optimistic about continued growth in our steel pipe s segment given the government highlighting emphasis on infrastructure development.
For FY '25 we are projecting a total volume growth of about 15% in our steel pipe business. This grow th will be supported by our strategic expansion s and our ongoing commitment to delivering higher quality innovati ve products. And this was from my part, now I will request

our CFO Mr.
B. B. Singal to share his thoughts on the other financial parts.
B. B. Singal: Thank you respected MD sir and a very good afternoon to all the participants on the call. For the quarter the revenue was ■2080 crores as compared to ■2,151 crores For Q4 FY '24 EBITDA and PAT stood at ■173 crore s and ■104 crore s as compared to ■254 crore s and ■156 crore s respectively for the same period last year.
For FY'24 the revenue was ■7809 crore s as compared to ■7,997 crore s. EBITDA stood at ■586 crore s as compared to ■620 crores in FY '23 and P AT stood at ■329 crore s as compared to ■336 crores .
For the lighting and consumer durables for this quarter the revenue stood at ■418 crores as against ■431 crores EBITDA and PBT stood at ■45 crore s and ■36 crore s registering a growth of 5% each. For the full year the revenue stood at ■1,572 crore s as against ■1,545 crores a growth of 2% year -on-year basis . EBITDA and PBT stood at ■150 crores and ■122 crores a growth of 23% and 32% respectively . The incre ase in operating performance in this segment can be attributed to the PLI scheme , backward integration and the increased demand for value -added products .
For the steel pipe and strips segment during Q4 FY'24 the revenue was ■1,665 crore s as compared to ■1,721 crore s Similarly, EBITDA per metric ton stood at ■5,877 as compared to ■6,156 in Q3 FY '24 and ■9,868 in Q4 FY '23. PBT stood at ■103 crores as against ■181 crores last year .
For FY '24 the revenue stood at ■6,242 crores as compared to ■6,452 crores . Similarly, EBITDA per metric ton stood at ■5,401 as compared to ■6,496 year -on-year basis . While EBITDA and PBT stood at ■436 crore s and ■325 crore s respectively . Improved capacity utilization , working

capital optimization and cost rationalization enabled us to become a debt -free company , as we repaid our total debt of ■400 crore s in FY'24.
As on 31st March 24 ROCE stood at 21.14% and ROE stood at 16.33% . As on 31st March 24 the net working capital days stood at 59 days , inventory days stood at 48 days , debtor days stood at 31 days and creditor days stood at 21 days .

With this I conclude the presentation and we can now open the floor for further questions and answers .
Moderator: Thank you . We will now begin the question and answer session . The first question is from the line of Jatin Damani a from S VAN Investment . Please go ahead .
Jatin Damania: Good afternoon sir and thank you for the opportunity . First of all, congrats on achieving the zero debt and increasing the payout . In your initial remarks you indicated that the decline in EBITDA per ton in steel pipe is largely attributed to a lower volume of API sales . So can you help us understand what was the over all contribution of the API sales in Q4 vis-à-vis the last quarter Q3?
Raju Bista: Okay, anything else?
Jatin Damania: The second question is basically broader on the industry . Now when we compare our numbers with the one of our largest competitors or the largest player in the industry . So if you look on the raw material front we are quite competitive as compared to what they are , but when we come to our employees and the other expenses we are probably at the lower end in terms of the efficiencies . So, what are the steps as a company we are taking to improve that efficiencies when we compare it to a larger player in the industry ?
Raju Bista: Good, thank you . There are two questions but I would like to elaborate and answer them so that other people have similar questions in their minds . First of all the overall outcome , as you said , we are debt free - whether working capital or term loan - we have zero debt . In fact we are cash surplus and this was our commitment that we were supposed to fulfil next year and we completed it a year ago .
Second, as far as EBITDA is concerned , there

was a substantial EBITDA per ton in steel pipe
in FY23. In the first quarter of FY24 , I had said that our first target is to maintain the EBITDA - so somehow against ■619 crores last year, we have been successful by reaching ■586 crores .
And the questions you asked how much EBITDA per ton was reduced and what was the fluctuation in API . The overall API spiral in which the EBITDA per ton is around 15,000 ton - in that segment a total of 32% degrowth was registered .
Mainly because due to the general election s, in last 5 -6 months no PSU tender s were awarded and I am hopeful that from Q1 itself, as soon as the election s are over , we will start getting the order s, which we will maintain .
Second ly I would like to tell you one more thing that , last year in Q4 there was a trend of price increase and in that we got a substantial around ■40 crores, ■50 crores inventory gain because of higher prices .
But this time , the decrease in steel prices is around ■3000 per ton and that is around ■250 crores impact in revenue for the whole year and in zinc prices are down by ■70,000 per ton and its contribution is around 60 crores . And with slowdown government sales impact what I had said earlier is around ■300crore. So our revenue was impacted by the total of ■610 crores because of three reasons . And as far as profit is concerned , HR coil impact is around ■45 crores and API

pipe degrowth impact was around ■20 crores to ■25 crores . So in th is way there is an impact of ■60 crores, ■65 crores . And I think that in the coming time we will recover and surpass that. But I would like to tell you one interesting thing i n the last 3 years in FY21 -22 our EBITDA percentage was 5.8% , then in FY 22-23 it was 7.74% & then in FY 23-24 it is 7.5% meaning the EBITDA for the whole company from ■450 crores it reached ■619 crores and then ■586 crores.
Even in steel division , you will see our per ton EBITDA has increased from ■4,648 to around ■5,500 per ton and you will be surpr ised that 5 years ago our per ton EBITDA was ■3,250 - means in the last 4 years our CAGR is almost double. I n the same way in lighting division EBITDA percentage was 8% and th is year it has increased to 9.5% and I would like to assure you that in coming days you will see better results.
You also said that when it comes to raw material we are very c ompetitive as compared to peers .
We accept that our operation cost is more mainly because we are operating at 80%, 85% level.

There is no volum e growth because of which all the cost gets added in the operation and annually it keeps So that’s why we have come with a mega plan . In the next 2 years we will d o a capex of ■500 because company is cash rich and cash generation is happening . And either we have to do capex or we have to reward the shareholder s - only these two options are there , as we don’t to have pay any debt to pay the bank

So in the coming 2 years we will do capex of ■500 crores in which our capacity will increase from 1.2 million to 2 million . Capex of ■100 crores is already under process which will be completed by Q2 in which capacity will be enhan ced by 15,000 tons and annually by 1.8 lakh tons. Them some projects are at next stage and at early stage in which Hindupur and Bhuj we are investing ■150 crores for manu facturing large dia pipe 24 inch LDP pipe . In this too the annual capacity will get enhanced by 1.8 lakh tons .

And third majorly we have already got approval from board for ■50 crores for land acquisition . In Maharashtra we are coming with a new capex of to about ■200 crores to ■225 crores for plant and machinery expenses . And in this way we are having ■500 capex plan over the next 2 years and capacity will increase 2 million and you will automatically see operation cost will be come less.

Jatin Damania: Thank you for your detailed an

swer. If I see your cash flows then in next 2 years number it is around ■800 crores to ■1,000 crores cash flow and against it we are doing capex of only ■500 crores, so should we believe that our payout ratio will increase - as you have indicated that if we do not do capex we will reward the shareholders ? So, is there any indication that payout ratio will increase in coming time s?

Raju Bista: It will increase because we can’t give money to third party. This is a shareholder company either we will invest in company or shareholder will get the benefit . And as far as I know this year we have taken a very aggressive target for 15% growth in volume and our EBITDA it will be around ■690 crores to ■700 crores and in the next 2 years it will be around ■1400 crores . See some growth will be there , then there will be working capital involvement and new additional capex will also require further working capital . So whatever will be there will be for the shareholders.

Jatin Damania: ■690 to ■700 crores EBITDA which you have said for FY25 it is including the lighting business?

Raju Bista: Yes lighting and steel division. In lighting division as you must have seen that we have said that from 8% we will increase to wards 10% in Q4 . We had EBITDA percentage of 10.55% and in next year we will have full year EBITDA of 10.5%, with Q1 starting from 9.5 percentage. So, ■180 crores to ■190 crores of EBITDA in absolute term it will be of lighting vertical and around ■500 crores to ■525 crores EBITDA will be from steel pipe business division . And we have a thinking and we have a plan also for around ■5,400 to ■5,500 per ton - because volume growth is also very aggressive around 17%, 18% and in revenue there will be a 15% growth. So, maintain EBITDA per ton at ■5,400 to ■ 5,500.

Jatin Damania: Thank you. I have two, three questions, but I will come back in queue.

Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.

Shweta Dikshit: Two questions from my side. First ques tion is that the re was decline in API spiral pipes . Now this is something which happened in previous quarter too in API segment , unlike many other products which witnessed growth, but spiral pipe this was a decline last quarter also. So, general election i mpact we can understand it has come in the fourth quarter, but how is the outlook now, how can we see this segment moving forward this is the first question.

Second is that the expansion which are planning to increase capacity from 1.2 million to 2 millio n ton - where is the focus going to be in terms of end user segment? Meaning how much is your focus on value addition or if you can give a number what is your target as to what your value added products share will be there in sales in 2 years, 3 years ?

Raju Bista : So the first one, as you said, the degrowth in API, because there was a general election year throughout, so it had a little impact in Q3 and also in Q4. Largely, generally, it happens that the investments in PSU are 5 -year investments and at t he time of general elections, the system slows down. So it is already in the pipeline, and as I told you, we already have an order of ■800 crores in hand, which is going to be materialized in the coming quarter. So that is one, and we believe that.

And look, we also have a capacity constraint. In the last 5 years, our entire focus was to somehow become debt-free because whenever we used to sit in the concall , the investor used to ask, what will you do about this debt of yours? Because 5 years ago, there was a debt of ■1200 crores. Today, the company is cash surplus. So that was our target , and I mean, we did a good job to become debt and in the last 5 years, the market also supported us a lot.

But in these 5 years, we focused on doing small investments,

we did not do any big investments.
So in the next 2 years, we will do the capex of 500 crores, and our focus in all the product categories that I have listed, 70% is our focus on value -added products, whether it is API, whether it is large die pipe, and 30% capex in like cold rolling and like in Badrugarh we are investing in water pipe vertical .

Overall, like we had a plan earlier, 50% of our target revenue is from value -added products, and I think we will achieve it immediately. And in the new capex of ■500 crores, 70% of the entire investment is on value -added products, that is, high margin products. So moving forward, we will surpass the ratio of 50%, that is our focus area. And at the same time, value -added products will constitute 7 5% of our profits .
Shweta Dikshit: Okay, thank you, sir. And one more thing, like coming in this quarter, in Q1, what will be your expectation in terms of EBITDA per ton? Since steel price has increased in the last 1 -2 months, but is it sustainable at this lev el?
Raju Bista: It is an upward trend, and the growth in volume is also good . And the trend we are seeing, so in steel, EBITDA per ton will be around ■6,000 -■6,200 per ton and in the lighting division, as I said, EBITDA margin will be around 9.5% in lighting. So in the lighting division, the positive sign is that EBITDA percentage is increasing. Last year, there was almost 30% price erosion and we redesigned some schemes and did net price , due to which the growth in revenue is n ot very good, but EBITDA percentage and overall EBITDA in absolute terms has also increased, from ■100 crores to ■122 crores to ■150 crores, and our target for next year is around ■190 crores.
Shweta Dikshit: Yes, ■190 crores for FY25?
Raju Bista: Yes, for lighting division.
Shweta Dikshit: Okay, thank you so much, sir.
Moderator: Thank you. The next question is from the line of Dishant Rakesh Jain, from Quasar Capital . Please go ahead.
Dishant Jain: Am I audible ?
Raju Bista Yes, yes .
Dishant Jain Namaskar, sir. My question is that in the industry, the other players are planning plants in Dubai, and we are already exporting in the South and Middle East, so can affect our EBITDA per ton because the impact it may have on our realisation, if the supply increases from there?
Raju Bista: Sir, I believe that any company or individual should play on their own strength. Why should I look at the balance sheet of others and follow that? And this has its own if and buts. Look, by having a unit outside India , you see, my material reaches from here to Dub ai in USD 12 per ton – which is almost one -third the price it takes to transport my material from Bangalore, because I am sitting at the port. And delivery happens within three days.
I cannot t ell you what will happen in the future, but for immediate future , we believe that there is a lot of trouble in having plants abroad and the operation cost is very high. And we have seen that when we are sitting inside the port, it does not make much differ ence at which shore we are sitting in. For import and export, it should be a favourable destination. That is why we have made such a big investment in Bhuj, and we are making further investments in it.

So, it does not matter to us whether they are sitting in Europe or in Dubai. And we are increasing our capex in port -based plants. It in Bombay too will have t he port facility. So, it does not make much difference. And the second thing is that, like in foreign countries, mainly in export or value -added produc ts, you need very robust brands. And we have invested a lot in brands over the past 50 years, whether it is related quality, service, or relationships. Because in value -added products or export, the products are not sold only at the price point.
So

, we have made a lot of investments in that too. And everyone has their own thoughts. And our plan so far is that considering the atmosphere in India, the potential, the growth of the future, that is why the domestic plant is more favourable for us. So, Surya R oshni is such a company that we buy the HR Coil from Japan and make the pipe again and sell it to Japan again . So, from Japan to America, Canada, New Zealand and Australia, we are exporting products - in almost 40-50 countries.
Dishant Jain: Okay, sir. An d sir, my second question was fundamentally that the steel manufacturing companies in India, if they undertake forward integration and come to this pipe segment, will it become a threat for the industry or will it have an impact?

Raju Bista: See, our stren gth is the pipe. And I can't compete with Tata and JSW by making HR Coil. And we don't deal in the lower quality steel. That's why we get premium, that's why our value -added product sells more, that's why we are number one in export, that's why we are numb er one in API. So, what's in it Is that you need an heavy investment of ■15,000 crores if you want to make high-quality HR Coil . So, we haven't thought about that level yet. And there is no issue of availability in the pipe.
Today, in India, whether it's South, East or North, every place it is readily available. And today, Tata, JSW or ArcelorMittal, they are almost doubling their capacity. And as I said, we are sitting in the export base or port, so we always have the option of import, if there is a variation of more than 1 ,000 rupees per ton, then we also explor e import markets. So, so far, we have only thought only about the pipe. We haven't thought about HR Coil or raw material yet.
Dishant Jain: No, sir, my question was a little behind. Let's say, I was asking, there are three companies, let's say Tata, JSW, ArcelorMittal. If the same company enters the pipe segment, there will be a supply chain extension for them, right? If they do forward integration and enter the pipe bu siness, can they become a threat to the industry?
Raju Bista: No, no, Tata is already in the pipe segment. But they don't have a lot of focus area on it, as far as I know. And some of them, those who are going to make HR Coil, I will not take their name, are also quitting the pipe business . And those who are interested like JSW pipe, they are also exploring after Bhushan takeover. . In the second category, which is called Baby Coil or involves little low grade quality steel, we do not deal in it today also and will not do it in the future either.
Moderator: Thank you. The next question is from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh : Sir, I wanted to know that we are increasing our capacity from 1.2 million tons to 2 millio n tons , in with higher value addition. So, in the new product mix that we will have , what will be the range of EBITDA per ton, if you can tell us that?
Raju Bista: So, I will tell you the ratio of product mix in the steel division. The total overall contribution of our trade, which is sent through distribution in India, is around 54%. The actual user is around 5%. And the API, whether it is SPIRAL or ERW, which we se ll to PSUs is around 12%. And the contribution of cold rolling is around 12%. And the export contribution is around 17%. So, this is 100%. And as I told you, 45% contribution is from our value -added products. And that is our focus area.
Vikas Singh : So, sir, this will be 60% after two years.
Raju Bista: As you asked by product category, what is EBITDA per ton? In the galvanized pipe, it is around ■6500 per ton. In the API, it is around ■11,000 to ■12,000 per ton EBITDA. It depends from order to order. It can be around ■15,000 or ■10,000 also. In the black pipe, the contribution is around ■4,500 per ton. In the se

ction, it is around ■2,000 per ton. And cold rolling it is also around ■1,500. So, in cold rolling, we are inves ting about ■40-50 crores. In that, there will be an improvement to around ■1,500 per ton EBITDA. By doing this, we get ■5,400 , ■5,500 per ton EBITDA jointly.
Vikas Singh : Yes, sir. Actually, my question was a little different. I was asking that this ■5,400, once the new capex becomes operational in which the value addition capacity is more, how does it look s on a like-to-like basis? Will it reach back to 6,500 or 7,000? What are we expecting?
Raju Bista: The new capacity that we are planning, its contribution will be around ■7,500 to ■8,000 per ton. So, our target on an average will be around ■6,500 , ■7,000 EBITDA per ton as a whole in the steel segment.
Vikas Singh : Understood, sir. Sir, my second question is in the lighting division. According to our current capacities, what can be our peak revenue level in the lighting division?
Raju Bista: In the lighting division, we expect substantial growth. The reason is that in the last four, five years, this business has been very unstable. Since the introduction of LED, we have not seen any maturity in the business. As a result, the product changes every day, the size changes, the length changes, its CRI value changes, its colour changes. So, it has become a very fancy type of business. And mainly the reason for this is that people are not investing in plants and machinery. And they are importing from somewhere and selling, some are developing local vendors and making them. Because of this, the marke t is not understanding anything. And even today, more than 50% of the market is with the unorganized sector. So, gradually, there is a change in it because in the organized sector and unorganized, the price variation was around 50% -100%. Now, our price ero sion has increased so much that there is no variation anymore. That price variation is now around 15%, 20%, 25%.

And there are more quality issues in it. So, I believe that even last year, if I compare product -to-product, volume -to-volume, there was a growth of more than 20%. And as I said, with price erosion, we saw that over a period of time, around 25 %-30% became part of our scheme. The free schemes and other things. So, we net priced it and made it equal to altogether. So, I believe that for 20% of the regular growth, there won't be a ny problem in the lighting division.
And another good thing is that within lighting, our quality replacement cost used to be 12%. Gradually, it has increased to 3%. So, our quality is A1 and growth will be around 20%.
And we are also entering into some new segments. But we couldn't introduce it in this board meeting. Hopefully, we will present it in Q2 in front of the board and add some new product categories with lighting. We have around 200,000 retail outlets and there are many common products that our distributors deal with . So, we are working on some more product categories.
Vikas Singh : Understood, sir. Good luck for the future. Thank you.
Moderator: The next question is from the line of Am ey from Banyan Capital. Pl ease go ahead.
Amey: Thanks for the opportunity. Sir, there was a data keeping question. If I see the presentation of Q4, EBITDA is ■128 crores and EBITDA per ton is ■5,877. So, sir, if I reverse calculate, the volume is ■2,17,000 per ton. And you reported ■2,36,000 tons.
Raju Bista: EBITDA per ton is net of rejection. So, you must be adding it to the grand total.
Amey: Okay. And, sir, just one more question …
Raju Bista: If you see in FY ‘22- ‘23, EBITDA per ton is calculated on net basis only .
Amey: Okay, got it. And, sir, just one more question. Sir, what is the update on the demerger of consumer durable business?
Raju Bista: If there is a demerger, it will be for both the businesses. But there is no decision yet. And this is such a big decision. Whenever it will be, we will inform you automatically. And whenever it will be, it will be asked to you.
Amey: Okay. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants in the conference, please limit your questions to one per participant. Should you have a follow -up question, we will request you to rejoin the queue.
Thank you. The next question is from the line of Nite sh Dutt from Burman Capital. Please go ahead.
Nitesh Dutt : Hi. Thank you, sir, for the opportunity. My question is, sir, in the steel pipe division, every company is aggressively expanding its capacity, whether it is APL Apollo, JBL, other companies, you as well.

So, can there be any scenario of overcapacity in the coming 3 -4 years and a price war kind of scenario? And, related to this, sir, the secondary steel segment, do you think that segment will maintain its own market or can primary steel HR coil b ased players like you gain a share from them?
Raju Bista: So, good question. First of all, I believe that the capacity that is being enhanced, or we are doing it, or other players are doing it, I don't think there is an overcapacity situation at least in India. Because we have a population of 144 crores, and the Indian government itself is doing a capex of ■10,00000 crores every year.
So, I believe that there is a lot of opportunity and potential for another 20 -25 years for India. So, that is number one . Because of our demography, and today, if we live in Bombay, Delhi, we could feel the infrastructure looks overcrowded. But, if we go out of the cities, there is still a lot of potential in India. And, in all of this, I am seeing that there is a lot of dem and for steel and cement. So, this is it.
And, secondly, we have also ensured that there is no such situation. Because, as one of the relevant point you said , you must have seen that there is no difference in the technology of making pipes over the last 100 years. So, there are no frequent changes in technology, like in the lighting division. Secondly, by doing a little capex, the revenue or turnover is quite high. So, a lot of people think that this business is very good, and with a little money, it can become a high turnover company. This also remains in people's minds. And it is easy. Buy HR co il, slit it, roll it, weld it from the top, pack it, and dispatch it. So, this is it.
So, that is why we have tried to keep ourselves a little separate in the la st 10 years. And that is why we are focusing more on value -added products. Where it is more difficult to make pipes, where a little engineering or technology is needed, where there is a little more capex, whether it

is export, PSU, or the oil and gas secto r, we have focused on that. And we get a good premium in galvanized pipes because our good brand value. So, that is it.
And one more thing you said, lastly, the secondary sales, the secondary steel segment, it fluctuates. All these secondary producers, whe n the price, once the gap between primary steel and secondary steel comes below ■5000, all these shops close. And, whenever, after four, six months, the gap increases to more than ■8000 , then the shops open. So, this is a problem because of this. But , in this, the market that is catered is a limited market, where there is a light pipe, there is a light steel, which you mainly supply in the section square, it still goes there because they do not need that much strength of steel.
So, that is one thing. And, gradually, we also saw is that the market is shifting towards organized steel, the market has shifted substantially. And, I would say, as compared to us most of our peers, they have done a better job in this. And, that shift is also visible. And the segment in which

we
are dealing today, as I told you, there is ■12,000 per ton EBITDA in API, there is ■6,500 , ■7,000 in galvanizing, in the segment where there is competition, there is also ■2,000 per ton EBITDA.
So, that is why our focus is more on value -added products and engineering side.

Moderator: Thank you. The next question is from the line of Kaushik Dhani from Ab ans Group. Please go ahead.
Kaushik Dhani: I wanted to know that you said that you will increase capex by ■500 crores for the next two years, right? So, this particular capex, means, so, your current capacity is 1.2 million. How much will it be?
Raju Bista : It will be 2 million tons. It will be 20 lakh tons.
Kaushik Dhani: So, is it 1.29 right now or how much will it be in FY '25?
Raju Bista : The thing is, our total capacity is increasing by 15,000 tons. So, our capacity in year will be 1.8 lakh tons. But the thing is, it will not be fully achiev ed because the operations will start in Q2 and Q3. So, we will get around 40% benefit in terms of revenue in this year.
Kaushik Dhani: Okay. And we are thinking of increasing it from FY '26 to 2 million tons, right?
Raju Bista : Yes.
Kaushik Dhani: And you said that you are expecting 15 % to 18% volume growth for FY '25 and similar for FY '26.
Raju Bista : Yes.
Kaushik Dhani: And earlier, I heard that you said that you are expecting an EBITDA of ■5,400 to ■5,500 for this year. And you said ■6,500 to ■7,000. Is it for FY '26 or is it for the long term?
Raju Bista : No, it is for the long term because we will have to look at two things here. Because we have to undertake capex, we will have to commission the plant and we will have to sell material goods .
So, it is for the long term. It is our target for the next three years.
Kaushik Dhani: And this ■500 crores is for steel, right?
Raju Bista : Yes, it is for steel.
Kaushik Dhani: There is no capex for lighting, right?
Raju Bista : For lighting, we have a fixed investment of ■25 crores in a year. And we had also invested ■25 crores in PLI. And the first instalment, we also received a repayment from the government.
Around ■2 crores. So, that is there and I am saying ■25 crores because we are entering into a new product categor ies. So, in the next three years, there will be an investment of ■100 crores in the lighting division.
Kaushik Dhani: Got it. And finally, will the asset turnover of ■500 crores be the same as it is currently?
Raju Bista : Yes, it will be the same.
Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital. Please go ahead.

Miraj : Most of my questions have been answered. I just need a few clarifications. Firstly, you said that you have acquired a land of ■50 crores. Is it in Maharashtra? Where it has been done ? And secondly, in the starting questions , you said that you have seen a 32% degrowth due to the election impact . So, I just want to reconfirm what I heard correctly. So, this degrowth is only for API grade pipes?
Raju Bista : There are two categories in API. One is ERW segment and the other is spiral. Mainly, in spiral, there is a large dia pipe deal. It is normally for pipes with higher than 18 inches in size. So, there is a degrowth in that. And the rest, ERW is almost flat within our overall API. And what was the second question?

Miraj : The land of ■50 crores is under process.
Raju Bista : It is in under process. It is in Maharashtra. I don't think we will disclose the location now. But it is in Maharashtra. It is an hour and a half away from the airport.
Miraj : No worries. Thank you so much. All the best for the future.
Moderator: Thank you. Due to time constraint, that will be the last question for the day. I now hand the conference over to Mr. B.B. Singal for closing comments. Over to you,

sir.
B.B. Singal: Thank you everyone for joining us today on this earnings call. We apprecia te your interest in Surya Roshni Limited. I sincerely once again thank our managing director, executive director and the CEOs for sparing their valuable time and addressing queries raised by participants who attended the call. For any further queries, kindly contact SGA, our investor relations advisor.
Thanks once again.
Moderator: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Aug 2024

An IS,1SO 9001, An 1s:1sO14001
& IS: 18001 Company SURYA ROSHNI LIMITED
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SRL/24-25/21
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The Secretary The Manager (Listing Department)
The Stock Exchange, Mumbai
New Trading Ring, 14th Floor,
Rotunda Building, P.J.Towers ,
Dalal Street, Fort,
MUMBAI -400 001
Scrip Code: 500336 The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
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NSE Symbol: SURY AROSNl
Sub: Transcript of Earnings Call for the Quarter ended 30th June, 2024
Dear Sir,
This is with reference to the Company intimation dated 1st August, 2024 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 regarding the earning conference call to discuss the Un Audited financial results and operational performance for the quarter ended 30th June, 2024 scheduled for Friday, 09th August, 2024 at 4:00 P.M (1ST).
Further to the audio recording filed with the stock exchanges already on 09th August, 2024, we are enclosing the Transcript of the said Earnings Call.
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMPANY SECRETARY
Enclosed: as above.
• Regd. Office : Pra-<asn Nagar, San~ro , ~ .. maJurgarn, haryana -12450-

“Surya Roshni L imited
Q1 FY '2 5 Earnings Conference Call”
August 09, 202 4
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 9th August 2024 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR

MR. NARESH SINGHAL – EXECUTIVE DIRECTOR ,
STEEL OPERATION

MR. JITENDRA AGRAWAL – CHIEF EXECUTIVE
OFFICER , LIGHTING &
CONSUMER DURABLES

MR. B. B. SINGAL – CHIEF FINANCIAL OFFICER AND
COMPANY SECRETARY

Surya Roshni Limited
August 09, 2024

Moderator: Ladies and gentlemen, good day and welcome to Surya Roshn i Limited Q1 FY25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarant ees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand t he conference over to Mr. Raju B ista, Managing Director of Surya Roshn i Limited. Thank you and over to you, sir.
Raju Bista: Thank you. Good afternoon, everyone. On behalf of Surya Roshn i Limited, I once again extend a very warm welcome to everyone for joining us today.
On this call, we are joined by Mr. Naresh Singhal, Executive Director Steel Operations, Mr. Jitendra Ag rawal, CEO of Lighting and Consumer Durable and our CFO and Company Secretary, Mr. Bharat Bhushan Singal and SGA, our Investor Relations Advisor. I hope everyone had an opportunity to go through the financial results which was published today.
Moving on to the overall financial performance highlights, we are pleased to report a healthy operating performance for Q1 FY25 despite the slowdown due to general election, some few 8%-9% price erosion on steel parts . But our continued focus on value -added product in steel pipe segment and offering innovative product in the lighting and consumer durable - we have been able to give a very healthy kind of EBITDA margins improvement.
EBITDA for Q1 FY25 incre ased significantly by 36% year -on-year to ■159 crores from ■116 crores in the previous year. EBITDA margins improved by 217 basis points reaching to 8.37% compared to 6.2% in Q1 FY24. This improvement underscores our ability to optimize cost and improve profitability even in a challenging market environment.
We are proud to state that Surya Roshni Limited is a zero -debt company with a cash surplus of ■160 crores as of the end of Q1 FY25. This strong financial position provides us with the flexibility to invest in growth opportunities and navigate any market challenges.
Coming down to the lighting and consumer durable , we achieved a revenue growth of 3% despite the challenges of price erosion in the consumer lighting segment, which was about 9% in Q1 FY25. High capacity utilization at our manufacturing plants has positivel y driven EBITDA through better operational efficiency.
We have introduced new and improved products across various segments to meet the growing consumer preference for energy efficient, high quality and aesthetically pleasing products.
The professional l ighting segment showed an impressive 18% growth driven by strong performance in infrastructure and industrial projects. In professional lighting, we are also

focused on indoor and solar lighting to capitalize on growth opportunities. We have also launched higher performance street lights offering a smart value proposition with a lower cost of ownership.
The appliances segment witnessed a 15% volume growth. Our fan business recorded an exceptional 43% volume growth due to increased distribution channels and introduction of energy efficient products.
We have entered into a very new product segment of Mono Block Residential Pumps via launch of ‘Surya Water Pumps ’ in the month of July itself. The market size for such pumps is around ■1,000 crores in India and it is growing fast driven by ‘Har Ghar Jal Yojana ’ scheme of Governme

nt of India.
We anticipate a revenue growth of 12 %-15% for FY25 driven by the rising aspiration of consumers and Government focus on infrastructure and industrial capital e xpenditure. Our target is to achieve an EBITDA of ■180 crores for lighting business for the financial year by focusing on higher margins product, cost management and leveraging the benefit of PLI scheme.
Now, moving on to the steel pipe and strip divis ion. The steel pipe segment demonstrated commendable resilience and adaptability in Q1 FY25. Despite a slowdown in Government projects due to general election and steel pipe erosion, we have witnessed a 7% volume growth in steel segment.
Value -added produ cts such as API spiral and galvanizing pipe s constitute d about 46% of our total revenue in Q1 FY25. This focus has helped us mitigate the impact of price erosion in steel

prices.
We have a good order book of approximately ■600-■700 crores as of 30th June 2024, primarily from the oil and gas sectors.
We have commenced trial run for the 8 -inch pipe, leading to the capacity addition of 50,000 tons per year at Bahadurgarh facility, with commercial operation set to start very soon. The modernization of coal rolling plant at Bahadurgarh is expected to commence operation in Q3 FY25. The spiral pipe plant at the Gwalior facility, with an annual capacity of 60,000 tons, is on track to begin operations by December 24.
All these expansion s will enable us to increase our production capacity by around 15,000 tons per month from the last quarter of FY25. So looking ahead, we anticipate robust growth across our pipe segment in the coming quarter s, supported by the Indian government's significant infrastructure initiatives. The stabilization of steel prices at the current level s and the government's increase emphasis on infrastructure development bode well for our future prospects.
We expect 12 %-15% volume growth in steel pipe segment too for FY25. Our focus on strategic capacity expansion and technological advancements positions us well to meet the increasing market demand, particularly in the water infrastructure and energy sectors .

In conclusion, we remain dedicated to driving growth, expanding our capabilities and maintaining our leadership in the market.
And now, I will request our CFO, Mr. B .B. Singhal, to share his thoughts.
B.B. Singal: Thank you, respected MD, sir. And a ve ry good afternoon to all the participants on the call.
For the quarter, the revenue was ■1,893 crores as compared to ■1,875 crores . Q1 FY25 EBITDA and P AT stood at ■159 crores and ■92 crores up by 36% and 56% as compared to ■116 crores and ■59 crores respectively for the same period last year. Significant improvement in EBITDA in Q1 FY25 was on account of sharp spurt in EBITDA /ton of our Steel P ipe and Strips business and steady uptake i n operating performance of our L ighting and Consumer Durable s segment.
In Lighting and Consumer Durables, for the quarter, the revenues stood at ■385 crores as against ■375 in Q1 FY '24. EBITDA and PBT stood at ■35 crores and ■26 crores, registering a growth of 5% and 1%, respectively.
In the Steel Pipes and Strips, during Q1 FY '25, the revenue was ■1,509 crores as compared to ■1,503 crores. Similarly, EBITDA /MT stood at ■6,065, a jump of 38%, as compared to ■4,388 in Q1 of FY '24. PBT stood at ■97 crores, up by 76% as ag ainst ■55 crores last year.
Improved capacity utilization, working capital optimization and cost rationalization enabled us to become a zero -debt company, and have cash surplus of ■156 crores in Q1 of FY '25. As on 30th June '24, ROCE stood at 22.93% and ROE stood at 16.71%. As on 30th June '24, the net working capital days stood at 67 days, inventory days stood at 51 days, debtor days stood at 38 days and creditor days stood at 23 days.
With this, I conclude the presentation, and we ca

n now open the floor for further questions and answers.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.
Aditya Pal: Thank you. Sir, congr atulations on the good set of numbers. So, we have witnessed very strong improvement in our gross margins. So, if I were to attribute between the Steel Pipe segment and the Lighting and Consumer Durable segment, can you give some commentary on that?
Raju Bista: The overall margins have improved. And as I mentioned in my commentary, our entire focus is on higher value -added products. And similarly, in the Lighting segment we focus on the new product categor ies. In that too, most of the products are from that involve engineering - so that's why the overall margins are improving.
For example, if I talk about the steel segment, if we sell the normal ERW pipe, the gross margin is around ■4,500 to ■5,000 per ton. But in higher value -added products, the EBIT DA margin is around ■10,000 to ■10,500 per ton. So, gradually, our focus is on the same. And even in the capex expansion of ■500 crores that we are undertaking , about 75% of the same is focused on higher value -added products. So, that is one.

Similarly, on the L ighting divisio n, the demand for conventional l ighting is very low. We are also shifting our market from there and mostly moving towards smart lighting. And our focus is

on solar and say specific scientific products or tailor -made produc ts.
And similarly, there is a very large market size, in which we still see a lot of opportunity in that segment, is that of professional lighting. The consumer products like bulb, tube light, batten, are used for homes. But commercial and industrial prod ucts have usage in the kind of new highways that are constructed today and infrastructure projects like airports, modernization of railway stations, and Amrut Yojana . All of them are catered by the professional lighting segment. Earlier, professional lighting used to be a small part of our overall lighting segment. Now, we are gradually increasing it.
So, basically, this was the area. And I also believe that the numbers that we had thought of when I did the last commentary, or when I was sitting in t he previous earning call, we have come close to achieving that . In fact, there is more improvement.
We still have a little problem in two places. During the entire year, we had price erosion of 29% in the lighting segment. And in the last quarter, in the last three months, the price erosion was around 9%. And similarly, in the steel division, the price has corrected by around 8% over the last three to four months,. Somehow, when the price goes down and erosion occurs, it has a slight impact on our gross ma rgins as well, even if it is ■400 or ■500 per ton.
Aditya Pal: Sir, when we look at FY25, we have achieved Gross Margin of 24%. So, going forward, can we see it touching to 25% on a steady state quarterly basis or will 25% be a little more?
Raju Bista : No, we will do at least 24%. In fact i t will also improve because this was quarter one and due to the general election there was a slowdown in projects. So, in the remaining quarter s, our gross margin will improve.
Aditya Pal: Understood. And s ir, just o ne last question before I come back in the queue. How much of ■500 crores capex you will spend in FY25 and how much capacity will be used by you in this year?
Raju Bista: Overall, as I told you about cold rolling and 8 -inch E RW pipe in Bahadurgarh , these two capex projects will enhance our capacity by 50,000 tons per annum. But both these capex projects will commence operations from Q3. I mean one project of a pipe in commencing from August, but its full fledge impact will also come in Q3 only. Similarly, the

spiral plant capex project in
Gwalior Facility will enable us to increase volume by around 60,000 ton s per annum capacity in which we are incurring investment of ■30 crores . This capex project will also start from Q3. So these three capex projects have an investment of ■100 crores , for which the p roduction will start from the third quarter.
Apart from that, out of the remaining ■400 crores of capex project, we will undertake capex of about ■150 crores to ■200 crores in this year and in next year the capex will be around ■200 crores. So in totality , we will undertake capex of ■250 crores to ■300 crores in this year and the balance capex of ■200 crores will happen in FY26 . And due to this , our overall capacity will increase from 12 lakh ton s to 19 lakh ton s. And in this too, as I told previously, our focus is more on higher margin products. So we are moving forward in that direction.

Aditya Pal: So this revenue will grow from Q3 onwards because these big plants will be commercialized only then, correct?
Raju Bista: Yes.
Aditya Pal: Understood. T hank you so much, sir. And wishing you and the te am all the very best.
Raju Bista : Thank you.
Moderator : Thank you. Th e next questio n is from the line of Naveen Baid from Nu vama Asset Management. Please go ahead.
Naveen Baid : Yes. Thank you for the opportunity, sir. I just want to confirm that of the ■300 crores capex that you have outlined for this year, ■100 crores is for those two plants that you said, t he remaining ■200 crores where is it targeted?
Raju Bista: So as I told you in detail , ■100 crores is for a spiral unit in Gwalior a nd some modifications in cold rolling was well as an 8-inch mill in Bahadurgarh . Apart from this we have three big projects , once is in Hindupur which is a plant near Bangalore , where we plan to set up a large - dia pipe unit. Its involves capex of around ■75 crores a nd because of this the capacity will increase by 1 lakh tons annually. Similarly in Anjar also we wil l set up a LDP pipe unit, which will also involve capex of around ■75 crores a nd similar capacity will also increase there.
So for third capex, the land acquisition work is almost completed in Maharashtra . A new unit is coming near Bombay which will involve capex of around ■250 crores.
Naveen Baid: And this is for next year, the Maharashtra project?
Raju Bista: The impact of all these three capex will come i n the balance sheet in FY26 only, b ut for the remaining ■100 crores of capex, its impact will be seen from Q3 onwards in the balance sheet.
Naveen Baid: And th ere is no capex in the LCD division l ighting and consumer division?
Raju Bista: In lighting, our capacity is enough a nd in PLI we have invested around ■25 crores. Next year we

will not need any more capex . And this is also our strength that we have converted a lot of our capacity of CFL and batten tube lights to smart lighting and LED lighting and ramped up our production. So if you look ahead, after our investment in steel , our capacity is increasing by almost 50%. There is not much capex and the cash generation in the company is good. So, I would say that overall it is a good thing for the investors. In short, it is beneficial for them.
Naveen Baid: And this ■500 crores of capex is going to be funded entirely from internal accruals?
Raju Bista: Yes, interna l accruals b ecause we already have a cash surplus of ■160 crores. So are keep ing the money in the bank as FD.
Naveen Baid: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Jatin Damania from SVAN Investments. Please go ahead.
Jatin Damania: Thank you for the opportunity and congrats on a good set of numbers. Sir, when you are doing a capex of ■500 crores , somewhere at

the end of 2026 apart from Maharashtra , our capacity which is around 1.2 million ton currently will become how much?
Raju Bista: That will be around 19 lakh tons. Maharashtra has a ca pacity of around 3.5 lakh tons .
Jatin Damania: Maharashtra has a capacity of 3.5 lakh to ns. So, it will be around 15.5 lakh tons?
Raju Bista: Yes.
Jatin Damania: So in FY26 the benefit should come in FY27?
Raju Bista: Yes.
Jatin Damania: And Maharashtra by when it will get ramp up?
Raju Bista: In FY26 Q3 and Q4 because it is a Greenfield project and the technology is imported from abroad . So in FY26 it should be commercialised around Q3 and Q4.
Jatin Damania: In your opening remarks you said that you have incr eased the value -added capacity b ecause of which our EBITDA per ton on steel busin ess has come close to ■6,000 and we have an order book of ■600 crores which is largely oil and gas. So do we believe that this ■6,000 will remain continued given the current decline in the steel prices?
Raju Bista: This will remain. There is no impact of price erosion in this. Secondly we already generate 46% of total sales in value -added products which is a higher margin product. So after all this capacity our value -added p roduct's capacity is about 70% t hat is our target. And when I talk about value -added products, the difference ■5,000 versus ■10,000. So overall the contribution of 46% of these products will increase to 70%. So gradually this ■6,000 pe r ton EBITDA will go up to ■6,500, ■7,500, ■8,000 in the coming time.
Jatin Damania: In FY25 If we assume ■6,000 and as far as you said you are seeing in steel business a volume growth of 12 to 15 throughout the year. So you can get an EBITDA of ■525 crores , ■550 and in lighting it is ■180 crores . So are we assuming that we are seeing as a company an EBITDA of ■720 crores, ■750 crores for the full year?
Raju Bista: Our ta rget for this year is around ■675 crores to ■700 crores on an annual basis a nd there has been a slight concern over the last two, three months about the impact of price erosion. How long will it last? I feel that steel prices are at t heir lowest level in the last 4 years, 5 years. So, that is one reason. Secondly, globally there is a slight uncertainty in these days in which freight charges have increased by almost 4 times.
So there are a few challenges, but we feel that India's growth story is intact and the focus of the government on c apital expenditure is as it is a nd because of this I feel that it will not have such

an impact on India. Despite this, we expect to generate an EBITDA of ■675 crores to ■700 crores on an annual basis.
Jatin Damania: ■675 crores to ■700 crores and we will do more than that next year. So if we look at the 2 -year capex or EBITDA g eneration , we have an EBITDA of ■1400 crores to ■1500 crores over next 2 years and we are doing ■500 crores for capex . So incremental cash flows will remain in our book to a large extent. It will probably not be rewarding to shareholders because the return ratios will be reduced and t he cash will remain in the book?
Raju Bista: No, what will we do by k eeping the cash in the company. We will return it to shareholders and you keep calculating how much add -on is there in every quarter , but don't worr y. What will we do with that money by generating cash? That is the money of the shareholder whether it is the promoter or you people. That is your money, t hat is your investment return.
Jatin Damania: So we can expect that in the coming time this quarter -on-quarter dividend will also increase?

Raju Bista: Absolutely i t will definitely increase. And we will also keep your words in the board that we should get interim dividend and overall dividend should be good for the year.

Jatin Damania: Sir, in the lighti ng business, we said that there is an EBITDA of ■180 cro

res. Can there be any risk in that? Because definitely, the general lighting price which you said is correct . And all the other players are also saying. So, more or less, is this ■180 crores acceptable or can there be some risk here?

Raju Bista: Our Surya Roshni's lighting business is a risk -free business. Take out our track record of the last 5 years and compare it with the peers. There was so much volatility in the market. Despite that, whet her it is COVID, whether it is price erosion it should have had a bigger impact on us because the sales of our conventional products were the highest for us and Philips. Our stake was high. Despite that in the last 5 years, we have made continuous improvem ents. I am also happy to say that in Q1, our EBITDA margin was 9% which will increase to 10.10% in the entire year.

Jatin Damania: Great Sir. Sir, one last question. As you said, the steel price erosion can have an impact. If we see in Q2, the price has co me down from ■4 to ■5. So, we have a high cost inventory somewhere. Is it that we will have to take inventory loss in our books in Q2?

Raju Bista: We will have to take something because our business model like export, oil and gas segment, some spiral these are our fixed price products. We will get help in the margins. Some of the regular trade products that we sell will have an impact on price erosion.

Jatin Damania: So, how much inventory will be in our book? High cost inventory?

Raju Bista: We have an inventory of around 90,000 tons to 1,00,000 tons at any moment. In that, about 40% of trade and other segments are their material. So, around 40,000 tons.

Jatin Damania: So, the correction at 40,000 tons will have an impact.

Raju Bista: Yes, but there will be some improvement in 60,000 tons.

Jatin Damania: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix Group . Please go ahead.

Shweta Dikshit: Sir, will you highlight the thin gs that you had said that from the fourth quarter there will be incremental volume of 50,000 tons? Can you repeat that? Which projects will be commissioned incrementally?

Raju Bista: I told you that in the Bahadurgarh unit there is a cold rolling and a ERW mill. By combining both, the quant ity an annual basis will improve by 50,000 tons . Similarly, on an annual basis capacity enhancement by 60,000 tons is taking place - a spiral plant is being built in Gwalior . In these two facilities that facility will come in Q3 for operation. So, the full impact of 1,10,000 tons will be seen next year but from Q3 it will have an impact of 1,10,000 tons.

Moderator: Thank you. The next question is from the line of Anand Mundra from Soar Wealth . Please go ahead.

Anand Mundra : Sir, Namaskar. Sir, you talked about giving dividend. Bu Now, the rules are changing from 1st October and tax will be more on buyback. So before that, if you think that is appropriate, you can propose.

Because sir, you have already made a lot of b uy-back. And after the rule of 1st October doing buy-back will not be good for the investor and the promoter itself both. This is my request to you, sir. Second sir, can I get the break up of balance sheet in both the business in lighting and within lighting also in consumer durable, how many debtor days, inventory days and separate steel business. What will happen to that, both are different business structures, so to analyze both, we need a different set of parameters.

Raju Bi sta: Can you repeat this question?

Anand Mundra : Sir, how much d ebtors and inventory are there in both the business segments? In lighting and steel. And within lighting also, you have two lighting and conventional , so I will consider that as one group . And if consumer is durable?

Raju Bista: In lighting, we have an inventory of 97 days. Sorry, 87 days. In steel division

, 41 days. So, if we see the whole company, it is 50 days.

Anand Mundra : Okay. And sir, debtors?

Raju Bista: Debtors have 80 days in lightin g business because as I told you professional lighting payment is different from trade. In trade, if it is 30 days and then in professional lighting it could two months, three months, in some case it can be four months also . Because of th is lighting has debtor days of 80 days. In steel division debtor days are at 27. Company as a whole it comes to 38 days.

Anand Mundra : Okay. Sir, there was one more request. You gave the answer last time that the board will decide on the demerger of the business separately. What is your thought on whether the demerger should be done or not?

Raju Bista: A strong case is being made. I fully agree with you. Both the business segments are performing well. Earlier our team was very common. Now our exclusive team with its own CEO is operating their business. If we see, both our segments are working separately. But this call is such that this board has to decide and I hope that at the right time the board will take a decision about it.

Anand Mundra : Okay, understood sir. And sir, in consumer business, you have launched many products like fan is very big segment , consumer durabil e kitchen appliances. This is a huge opportunity and you are debt free also. How much do you manufacture in-house and how much do you outsource ?

Raju Bista: Our strength is our 2 lakh outlets. The electrical outlets in the country, 80% of them are electrical outlets. Surya is a brand and we already have enter y in the electrical outlet. So, when we launch any product related to electrical, we feel that we perfor m well in it. And that is why gradually we introduced appliances, kitchen appliances, fan division in product category. Gradually, when we started getting our mastery and volume, we started thinking about making in -house products. So, we enhanced our capacity in -house.

This time also I had said that in this quarter also we have introduced a Monoblock Pump it is a household pump, we have introduced whose market size overall is ■1,000 crores in India . And since last we introduced from this month only , we have 9 months in hand. We will reach ■100 crores sales within 2 years. This year we will get revenue of ■25 crore s, from there n ext year ■50 crores -■60 crores and in the third year, we will reach ■100 crores revenue. That is 10% of the overall market size . Similarly, our people are working on wire and MCB . So, we have not taken permission from the board yet. But our team is working on the product segment at a very advanced stage. So, this is a plus point for us. Because you already have presence and reach in the electrical outlet. And that dealer sells other electrical products of other companies other than our product category. So, naturally, they get an additional benefit from the overall turnover, discount, and work with Surya. And th ey also get an advantage.

Anand Mundra : Sir, will you manufacture the Surya Power Pump yourself or will you get it made from somewhere else?

Raju Bista: We are outsourcing now. And our policy is absolutely fixed in this. We launch any product category, first we develop a vendor. If the vendor is already a t a benchmark or is working with a company of our level. So, we validate and do a quality team inspection. Then we make the product in front of us and sell it in the market for some time. And as soon as we feel that we have reached a certain volume level.

Because a little scale is required for manufacturing. As soon as that volume and scale comes, then we start manufacturing. So, I think even today in the lighting category, around 75% to 80% of our in -house manufacturing is our strength. Our buying power is also good. Our engineering side is also very strong. As a result, the LED pro

duct that used to give 13% replacement in the

market. And most of the time it was an outsourced product. Today it has redu ced to 3%. And its impact is that we save around ■25 crores to ■30 crores annually.

Anand Mundra : And sir, will this mobile pump be sold on the same channel where your other appliances are sold?

Raju Bista: Yes, it is sold on the same channel.

Anand Mundra : And sir, how much gross block do you have in the appliances company , in the fixed assets ?

Raju Bista: No, we don't have any investment in this.

Anand Mundra : Sir you are doing manufacturing, right?

Raju Bista: Not in appliances No, most of the prod ucts in the appliances are outsourced. We have just started in-house manufacturing of our fan segment. We have an investment of ■25 crores via PLI. So, for the next year, in lighting we will not be required to invest more than ■5 crores, as we already invested ■20 crores via PLI.

Anand Mundra : And sir, what is the channel medium of the sales of the lighting and consumer division of ■1700 -■1800 crores? What is the channel medium? Is all is sold to via the medium of dealer s? Or is there any online or modern trade?

Raju Bista: No. I will tell you a little segment -wise about the lighting division.

Anand Mundra : Sir, add appliances to the lighting division.

Raju Bista: The overall distribution is 70% of the overall light ing division through the channel. In which

there is consumer lighting and about 18% are fan and appliances. The remaining 47% is consumer lighting. And the remaining B2B is 27%. Basically, the professional lighting that I was talking about is about 27%. An d export is about 3%. So, in this way, 70%, 27% is B2B and export is about 3% - that's how it becomes 100%.
Anand Mundra : Sir, you have not explored the channel of modern trade and online yet. Like D -Mart…
Raju Bista: It is there, but it is not that big. It is like a token. Because many times we have a little problem in it. If we give the same product category through online modern trade , then it has a negative impact on the trade channels. So, thus we have to do new packaging, new products, new wattage. So, it is a token size only . It is not that big. So, we get money by giving 30 days credit through our trade. Our focus is more on that.
Anand Mundra : Sir, can you give a little break -up of your 27% B2B? What type of projects are they?
Raju Bista: See, in 27%, we have about 23% that goes directly through the channel. But it goes to these projects. In the big projects, commercial projects, airport, railwayit goes through distribution, through the channel. We do not sell directly. And B2G, our government supp ly was around 2% last year. There is nothing this year. We do not have a big focus directly.

We do branding for a couple of companies. Because we have over overcapacity capacity of certain components. And we sell some components to some companies in India . It is around 5%. So, thus all this comes around 27%.
Anand Mundra : Sir, one last question. It has been seen that consumer business with size, EBITDA margin increases. So, your experience would be that if ■1700 crores becomes ■2500 crores, then EBITDA margin can increase a lot. Will it increase?
Raju Bista: It will increase. In the last five years, we have been very tough in the lighting division. The unorganized sector was very dominant. Good companies came and disappeared. But despite that, in such a volatility, we have been able to survive. Because we focused on our core strength , optimizing the cost, & enhancing the capacity. And then giving the same products in the market, which meets the needs of the consumer.
And our sales come around 54 %-55% from tier -3 cities. Our focus is on tier -2 and tier -3 cities from the beginning. And because o

f this, our sales also come more. So out of the o verall 10%
EBITDA margin , 12.5%. comes from trade There are two-three products in it. Like the fan, which has just been launched. Although, the margin of the fan is also a little less. So, EBITDA margin is around 5 -5.5%. We are new to appliances. So, we keep the price 2 %-3% lower than others. Because we are new to that category. The EBITDA margin comes around 8.5% . And in the OEM sales, which I was telling you, which contributes 5% as a component, or do some branding for others. In that, the margin is always on the lower side, around 5%. Otherwise, the EBITDA margin is around 12.5%. And going forward, our focus area is still the same. And the market has also stabilized.
Now, the market segment has shifted towards the organized from the unorganized. The players who are serious in real lighting, I think they should get more opportunities.
Anand Mundra : Thank you, sir.
Raju Bista: Thank you.
Moderator: Thank you. T he next question is from the line of Raj Mehta, from Raj Mehta Associates. Please go ahead.
Raj Mehta: Thank you, sir, for giving m e the opportunity. Sir, I have two -three questions. In the current year, you had given projections, that according to what you are thinking, EBITDA margin, EBITDA in totality, you had told. And from next year, many of your capacity enhancements will be live, for which will be benefited in the full year. So, next year onwards, w hat is your target in the steel business and in the consumer business? In both the businesses, LED and consumer business, what are your projections for the future? How are you expecting to grow? That was my first question.
Raju Bista: I heard it. Should I say it now or is there anything else?
Raj Mehta: No, you tell me first. I will ask the next question later.

Raju Bista: Yes. In the next two years, EBITDA margin for lighting will be 12%. Originally, when we used to deal only in CFL, EBITDA marign used to be around 13 %-14% seven -eight years ago . But due to a lot of changes, we went back to 8%. Now, gradually we have come to 10% over the last two years. So, EBITDA margin will be 12% in the ligh ting division. And in the next two years,

the steel division will be around ■7,000 per ton. Now, it is at the level of ■6,000, ■6,500 and ■7,000. But our ultimate target is that after the full -fledged product comes, our EBITDA /ton should be around ■8,000.
Raj Mehta: So, in total, your EBITDA growth can be more than 20% for the next 2 years?
Raju Bista: Yes, it can be. In Q1, we will see growth around 36%.
Raj Mehta: Okay. In Q1, even in the last year quarter, we will compare it with the March quarter. So, our margin was a little down. But that is due to elections ….
Raju Bista: So, in our business Q3-Q4 is the peak season time. And this is the lean period. So, it is beneficial to compare apple-to-apple. Because at this time, the days are long, so the lights burn less for hours. The second thing is t hat it rains. Now, it has started raining since July. So, now the sales will increase because the bulbs will burst due to the rain. Then the sales will increase. So, our market dynamic is a little different.
Raj Mehta: Sir, my second question is that durin g the elections, the government capex was halted. And the private capex is also not increasing so fast. So, in the future outlook, about the on-ground situation, can you see the revival of the private capex. If the government capex slows down, then we will get a growth engine from the private capex. In steel business ?
Raju Bista: Is this question for the MP or the MD? No. It is like this. Look, India's overall economy is at the level of growth. We have been seeing this for many yea rs. As a result, our budget of ■15 lakh crores has increased to ■50 lakh crores today. And the second is that India has the

fastest growing
economy.
Third, we had a very big strength, 140 lakh crores Indians. And more than 20 crores people have come above the poverty line. And the government is also doing a capital expenditure of ■11.1 lakh crores. In the last 4 years, I think there will be an investment of ■45 lakh crores. And it is also visible. And I don't think that only the Indian government w ill do all the work in India.
And the Indian government, whether it is by reducing corporate tax or by making the process of foreign investment more transparent and fast, and a dedicated team works on it, the foreign investment that comes, then the governm ent has its own. Because when the government of any country invests, when the government spends capital, then it becomes a very big thing for the economy. And India is also encouraging private partnership. That's why you...
Raj Mehta: On this basis, our do mestic...
Raju Bista: If there is export, import should be reduced, and there is improvement in our innovation and technology, and 5 crores young people have jobs, I think all these things are integrated with each other. And I think the next 15 -20 years ar e for India.

Raj Mehta: Then, sir, our domestic business should be more than the export business, right?
Raju Bista: It is the same for us. Our overall export is... If you look at our steel division, it is around 17 %-18% export. The rest is 82 %-83% domestic. And this is the strength of Surya Roshni.
Raj Mehta: And our growth and yield will come mainly from domestic, right, sir?
Raju Bista: It will come from domestic only, and that too from our trade . And now we have focused on the project segme nt as the government is pumping more money there.
Raj Mehta: Okay. And sir, for the LED business, as our margin used to be good before, and due to Chinese imports, due to all this, our margin has eroded. And now you also told that 30% erosion was there, pr ice erosion. So, according to you, according to your understanding, how do you see the bottom of the pricing in this industry in the future? Because with the PLI scheme, if I remove the benefit of your PLI scheme, then you will also go to a loss. If that P LI scheme was not there. Because the government is pushing. The price of Chinese products is going down, so the government is pushing local production. When the PLI scheme will be closed after 3 years, then to bring stability to your price erosion, or is t here any visibility that our product is getting better than Chinese products, and people are accepting to give a little more money to it?
Raju Bista: No, our product is 10 x better than Chinese products. From an aesthetic point of view, from a quality point of view, and from a service point of view. Because a Chinese product is sold, but the service is not available again. Secondly, what you said that if you remove the impact of the PLI, then you will get a minus, this is completely wrong. Because last year we had EBITDA of around ■150 crores. This year we are talking about ■180 crores.
In a year, only ■2 crores is the impact on account of the PLI. So, the production link incentive is very nominal. In 5 years, there is only an investment of ■25 crores, and annually we get an advantage of ■2 crores. And the third thing you said, see the market has matured a lot in the last few years, but still there is a scope for technology and innovation, that one day, by changing something technologically , the price will go down, and I believe that if the price goes down, there is scope for innovation. So, ultimately, the consumer and the company will benefit. But now, there is not much chance of price erosion.

Our 29% price erosion, we also made some modi fications in the scheme. Because in our scheme, more goods were going in, the scheme was more, we made it less, there is also an impact of that. I think that by going ah

ead, the price erosion level has come to that level, there is not much scope left. If someone does more engineering than this, then the bulb will not burn.
Raj Mehta: Okay. And sir, the last question was, the new product that you were telling, the water pump, where the market size is ■1,000 crores, so this pump will be a value -added produ ct, and you also told us about the projections in con-call, how you want to scale it up. So, what are the innovative products that you are thinking of bringing in the market, where you are thinking of expanding the margin, as it will come more via the inno vative products, as compared to old products?

Raju Bista: See, in our trade, there are downlighters and batons, because in today's houses, you will see that first there was a holder, then there was a bulb, then the n came tube light, now people don't buy holders, now they buy downlighters and batons. So, that is a focus area in our trade, and in downlighters and batons, many segments are extreme . Similarly, in downlighters and batons, our volume growth is still around 20%.
So, our second segment is professional lighting, which you can also call a project. So, in that, our commercial segment is quite big, then there is industrial, there is outdoor, in which street lights are installed. So, our focus is on that, and in the last year, I think we had a growth of around 18 %-20%, and this year also, in quarter 1, there was a growth of 18%.
In that segment, as compared to our peers, we were very small, we were only one tenth in size , because generally I used to see, trade versus professional used to be 50%-50%, the contribution from professional was only 20% compared to trade, now it has gradually increased, and in the coming time, I think there will be more growth prospects, and that is our focus area, and the margins in that is also good.
Raj Mehta: Okay. And sir, in any business, what do you se e as your risk going forward, in the future, which will hamper your growth a little, maybe EBITDA, which you were thinking today, that we are going to earn this year, may delayed for the next 6 months, so what are the reasons you see, because of which grow th can be hampered in the future?
Raju Bista: One can think of anything, if Bangladesh happened the other day , don't know what will happen tomorrow, that remains a global uncertainty. But this was 50 years ago, maybe it will be 50 years later, we ca n't do anything about that. But internally in India, if I tell you, there is a little price erosion of the steel segment, that is a little concern, but we will make up for it with other things . Now that you have asked, I am telling you. The second is, the unorganized sector is still a very large segment, in the lighting division, but if we don't take it as a challenge, as it can also become an opportunity for us, our team is also working on that. So there is a little ups and downs, but we have still learned that, no matter what the situation is, the goods we have to sell, we don't have much of a problem with that. There is an impact in a month or so , but overall on quarter or annual basis, we improve ourselves.
Raj Mehta: And sir, one last question, the platform of SG Mart , on which they are integrating for steel, are we going to get entry there, or the main competitor, they have not opened up to other competitors, to sell their steel production pipes, do you have any input on that?
Raju Bi sta: We buy HR Coil, from those who manufacture HR Coil, and we directly purchase with them, we have an annual MOU, and I think if some trader buys in between, and sells it to us - I don't think it will be very reliable, or it will be cheap. I have a prin ciple, I want cheap, but at the same time, I want high quality products. So, in steel, even if the thickness is a little higher or lower, then it becomes a matter of crores.

And we are very extra careful in this, our whole team, the manufacturing unit, is 24x7, and that is why today, this Prakash Pipe, if you go to Karnataka, from big companies, from 15% to 3%, to 5%, we get the price difference. Just because of our service, and the 50 years of trust we have

with the farmers, with the common people, that i s why we get a premium today. And in the rest of the market, if someone gives a high quality product at a cheaper rate , I will not refuse anyone.
Raj Mehta: Okay sir, thank you and all the best. And if possible, pl ease discuss demerger with the board.
Raju Bista: Okay sir.
Raj Mehta: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand

the conference over to Mr. B.B. S ingal for closing comments.
B.B. Singal: Thank you everyone for joining us today on this earnings call. We appreciate your interest in Surya Roshni Limited. I sincerely, once again, thank s our MD sir, Executive Director, and CEO for sparing their valuable time and addressing queries raised by participants who attended the call. For any further queries, if any, contact SGA, our Investor Relations Advisor. Thanks once again. Thanks.
Moderator: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your li nes.

Call: Nov 2024

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SRL/24-25 /46
November 25, 2024
The Secretary
The Stock Exchange, Mumbai
New Trading Ring, 14th Floor,
Rotunda Building, P.J.Towers ,
Dalal Street, Fort,
MUMBAI -400 001
Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra Kurla Complex, Sandra (E)
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter ended 30th September, 2024
Dear Sir.
This is with reference to the Company intimation dated 7th November , 2024 filed with the stock exchange s in terms of Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 20 l 5 regarding the earning conference call (Group meet) to discuss the Un-Audited financial results and operational performance for the quarter ended 30th September , 2024 held on Thursday, 14th November , 2024 at 4:30 P.M (IS1).
Further to the audio recording filed with the stock exchanges already on 14th November , 2024, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financial s in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMP ANY SECRET ARY
Enclosed: as above.
• Regd. Office : Prakash Nagar, Sankhol, Bahadurgarh, Haryana • 124507

"Surya Roshni Limited
Q2 FY25 Earnings Conference Call "

November 14, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th November 2024 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. NARESH SINGHAL – ED; STEEL OPERATION
MR. JITENDRA AGRAWAL – CEO; LIGHTING AND
CONSUMER DURABLE
MR. BHARAT BHUSHAN SINGAL – COMPANY CFO AND

COMPANY SECRETARY
MR. GAURAV JAIN – ED AND COO; STEEL OPERATION

Moderator : Ladies and gentlemen, good day and welcome to the Surya Roshni Limited Q2 FY25 Earnings Conference Call.
This conf erence call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of the future performance and involves risks and u ncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Raju Bista - Managing Director of Surya Roshni Limited . Thank you and over to you, sir.
Raju Bista : Good afternoon everyone.
Once again on behalf of Surya Roshni, I extend a very warm welcome to everyone for joining us today in this concall. On this call we were joined by Mr. Naresh Singhal – ED; Steel Operation, Mr. Jitendra Agrawal – CEO; Lig hting and Consumer Durable, Mr. Bharat Bhushan Singal who is our company CFO and Company Secretary as well, Mr. Gaurav Jain – ED and COO; Steel Operation and SGA our Investor Relation Advisor.
I hope everyone had an opportunity to go through the Financial Results. And now quickly moving onto the overall Financial Performance and highlights. As far as Q2 FY25 is concerned we continue to navigate a complex and challenging market landscape. Both our Steel Pipe business and Lighting & Consumer Durable segment e ncounter ed unique market dynamics that influenced our results.
The Steel Pipe business experienced a sharp decline in the hot roll ed coiled prices. Also slow demand resulting in lower revenue. However, operational efficiencies helped mitigate losses arising due to the price erosion. Similarly, in the Lighting and Consumer Durable segment both better cost management and better product mi x has resulted in a good performance.
And I am happy to announce to inform you that the company infect the board has approved to reward our shareholders as an interim dividend of 50% which is ■2.50 per equity share on the pre-bonus paid -up capital share. Also happy to inform you that the company has also declared bonus share in the ratio of 1:1, one bonus share for every one existing share of ■5 per each fully paid up.

Now coming to the Lighting and Consumer Durable, our Lighting and Consumer Durable segment showcased resilience achieving a 5% year -on-year increase in revenue. In Consumer Lighting we saw good volume growth across all our sub -segments in spite decline in prices of LED products which is still continuing. And in Professional Lighting segm ent it delivered a decent growth, but due to the general election in quarter 1, there has been a delay in some of the project orders. However, the enquiry book received a very good response in Professional Lighting segments. The business registered a highe r single digit growth in Q2 FY25 and a double digit growth in H1 FY25.
Now coming to the Consumer Appliances. The seasonal demand for water heaters was robust and showed excellent volume growth of about 50% additionally. New segment in the mixer grinder an d iron category along with a positive response to our newly launched Mono Block Residential Pump. Similarly , our regional expansion into semi -urban and rural markets where premium product adoption is rising quickly positions us to growth outside the tradit ional metro areas, adding resilience to our portfolio against ongoing price pressures.
By expanding our premium offerings and increasing our geographical presence particularly in semi -urban markets, we aim

to reinforce our market position and offset price erosion in core
product l ines. Our focus remains on achieving FY25 revenue growth of approximately 12% to 15%, alongside the cautio us optimi sm for EBITDA margin stability.
Now coming to the Steel Pipes and Strip segment, one of the key factors affecting our Q2 FY25 performance was a significant reduction in HR coil prices which fall by approximately ■7,500 per metric ton during the quarter ended Q2 FY25. The downward trend l ead to cautio us

purchasing among distributors who opted to limit their inventory holding in anticipation of further price adjustments. The decline in steel price also placed pressure on EBITDA with an approximate loss of abou t ■3,000 per ton in inventory w hich also includes prolonged monsoon and export freight, subdued government tendering for a API order. Nevertheless, our proactive operation efficiencies enable us to offset some of these impact allowing to sustain an EBITDA per ton of ■2,901.

Our value -added product mix such as API, Spiral and Galvanized pipes constituted approximately 45% of our revenue in H1 FY25 underscoring our ongoing strategy to enhance margins through premium offerings. The API faced muted demand due to limited government tendering while the Spiral Large DIA pipe saw robust performance driven by substantial order inflow particularly within the water sector.

Export volume declined on account of enhanced freight and geopolitical conflicts such as in the Middle East. However, we remain optimistic about export recovery within the next 6 months driven by stabilizing demand.

Commissioning of our spiral plant at Gwalior is scheduled for next month with a healthy order backlog that will enhance Q3 volume and performance. Our ERW mill in Baha durgarh plant, operational since July, has already achieved 7,000 ton in output and additionally expansions are underway. Our Bahadurgarh Cold Rolling facility and Spiral plant are set to launch by mid - December contributing to our Q4 output. The Hindupur f acility expansion is underway with an initial CAPEX allocation of about ■30 crores. We anticipate full -scale operation at the Hindupur facility within the next 12 months. Meanwhile, the expansion at our Anjar Gujarat facility will advance following a techn ical reviewing in collaboration with a supplier. These strategic investments align with our focus on efficiency and capacity, are anticipated to strengthen the operational backbone of the Steel Pipe segment.

We hav e recalibrated our full year volume growth target to 7% to 8% year-on-year for FY25 in Steel segment, reflecting current market conditions. We anticipate EBITDA per ton to stabilize within the range of ■5,000 to ■5,200 per ton supported by our operational efficiencies and a positive demand outlook for the coming months.

The recent recovery in steel price aided by government intervention signals a promising trend for margin recovery. Looking forward, we are optimistic about Q3 and Q4 as we continue to leverage our expanded capacity, diversified geo graphic focus and operational efficiencies. By strategically positioning ourselves in value -added and export market we aim to drive growth in this business vertical.

Now for the other financial issues, I will like to request our CFO – Mr. B. B. Singal to s hare his opinion.

Bharat Bhushan Singal : Thank you respected MD, sir and a very good afternoon to all the participants on the call. For the quarter the revenue was ■1,529 crores as compared to ■1,916 crores. EBITDA and PAT stood at ■83 crores and ■34 crores as compared to ■139 crores and ■76 crores respectively.

For first half of Financial Year 25 the revenue was ■3,422 crores as compared to ■3,791 crores. EBITDA and PAT stood at ■242 crores and ■127 crores as compared to ■255 crores and ■135 crores respectively.

In Lighting and Consumer Durables, for the q

uarter the revenue stood at ■395 crores as against ■377 crores a growth of 5% year -on-year basis. EBITDA and PBT stood at ■36 crores as ■26 crores, respectively. For H1 Financial Year 25, the reven ue stood at ■781 crores as against ■751 crores, a growth of 4% year -on-year basis. EBITDA and PBT stood at ■70 crores and ■52 crores as compared to ■68 crores and ■54 crores, respectively.

In the Steel Pipe and Strips, during Q2 of Financial Year 25, the r evenue was ■1,135 crores as compared to ■1,539 crores. Similarly, EBITDA per metric ton stood at ■2,901 compared to ■5,104. EBITDA and PBT stood at ■48 crores and ■20 crores against ■104 crores and ■76 crores, respectively. For H1 FY25 the revenue was ■2,643 crores as compared to ■3,042 crores.

Similarly , EBITDA per metric ton stood at ■4,653 per metric ton compared to ■4,758. EBITDA and PBT stood at ■172 crores and ■117 crores against ■187 crores and ■131 crores, respectively.

Improved capacity utilizat ion, working capital optimization and cost rationalization enabled us to become a zero -debt company and having cash surplus of ■136 crores in H1 Financial Year 25.

With this I conclude the presentation and we can now open the floor for further questions a nd

answers.
Moderator : We will now begin the question and answer session. The first question is from the line of Jatin Damania from Svan Investments. Please go ahead.
Jatin Damania : Just start with your Steel business. Now if we look at the Steel business there is a sharp drop in the overall revenue as you rightly indicated about the fall in the prices. But when we look at overall volume our volume has also declined almost by 20% sequentially basis. So can you help us understand which segment reported or wi tnessed the sharp drop in the overall volume?
Raju Bista : What is the matter that this time price has declined very sharply and that too within a period of 3 months and in this Q2 itself and its impact was a decline of ■7,500 per ton and with that 2 -3 more things happened. First the price saw decline, due to which there was a fear in the market, due to which distributors kept their stock level little low. Second, due to the crisis going in Red Sea, the freight almost increased by 3x in Europe and Western pa rts of countries. Third, since this time the monsoon was extended, it had an impact in agricultural products in which we saw a 25% de -growth in our galvanizing segment. As the government was newly formed, so due that there was a period of 3, 4, 5 month whe re the PSU's order for API was very low. So we had de - growth of approximately 50% in API Oil and Gas sector. Our future booking position in exports is very good and we have already received some orders for API also. And we are fully confident that we will be able to recover the shortfall in the coming next 2 quarters. We are assuming that for full year we can see a growth of 12% to 15% in volume and similarly EBITDA per ton will be more than ■5,000.
Jatin Damania : If you are saying 12% to 15% in volume then can I assume that you are saying volume of approximately of 9 lakh ton?
Raju Bista : Yes, 9 lakh and few thousand tons.
Jatin Damania : And first half's 3.70 lakh tons, so how confident are we that we will be able to achieve 9 lakhs tons volume? Do we have sufficient order book of API or GI or are we expecting price recovery so that we can touch that 9 lakh tons volume?
Raju Bista : Actually, in the terms of revenue growth we are already at 17% to 18% in the month of October and for full year we will be around 9.10 lakhs tons. And at the same time we had a lot of pressure in volume in H2 last time and thus we will get an advantage of that in growth. There are very

good orders for export and in export we had an anti -dumping issue with US market and Canada for last 5 years to 7 yea

rs. And now the verdict has also came in our favor and in fact in India has the lowest rate of duty. Hence, we assume that next 6 months will be good.
Jatin Damania : 9 lakhs volume and ■5,000 EBITDA per ton mean then we can roughly assume that an EBITDA of ■450 crores should come from Steel business?
Raju Bista : Let us assume that EBITDA for the whole year from Steel division will be around ■440 crores.
Jatin Damania : If we talk regarding Lighting business, then previously we were guiding for ■1,600 crores. But now as some orders got delayed and in some places we faced slowdown and besides all these we are saying that year -on-year we are growing at 12% to 15% which is equivalent to a topline of ■1,700 crores which is our expectation. So has our Professional Lighting come back to action or are we seeing more growth in Consumer Appliance that we are giving such guid ance for second half?
Raju Bista : So as you asked about Lighting, the Lighting performance is very good and let me tell you that there is little price erosion in LED price which is still going on and besides that also if we see our volume growth is above 1 5% and in Q2 we have made a growth of 5% in revenue terms also. In Lighting Division our revenue will be more than ■1,700 crores. Earlier also I have given a guidance of around ■180 crores, so we will make an EBITDA of around ■170 crores to ■180 crores in a year. Our Lighting Division had a good start in the month of October. So we are assuming that in Lighting Division there will be a growth of more than 15% in revenue.
Jatin Damania : So we can roughly assume that a total EBITDA of ■600 crores for full year in FY25?
Raju Bista : Yes, around ■590 crores.
Jatin Damania : Regarding the GP facility that we are going to open in Gwalior mistakenly it is Hindupur , earlier we mentioned that currently we are sourcing GP from outside, so once our Hindupur facility becomes operational how much difference will be there in our costing?
Raju Bista : The one which we are going to open in Gwalior is for Spiral Pipes and we already have a lot of pending orders in our backlog and freight has a big role in Spiral because it is a Large DIA pipe. Under Galvanized pipe, the GP coil which we source from outside, we have to pay a much higher premium for it. And if we manufacture that at a facility in house, then we will get an advantage of around ■2,500 per ton to ■3,000 per ton. To day when we outsource it from outside, the EBITDA which we get is less than Black Pipe or equal to Section Pipe. Like in this quarter, the EBITDA in Section and Square was ■1,200 per ton and in that the EBITDA was ■1,400 only. Normally our per ton EBITDA w ill be ■5,000 to ■6000, currently which is around ■3,000 to

■3,500 on an average.
Jatin Damania : How much capacity are we putting for GP coils of conversion one?

Raju Bista : Let us assume that the capacity for the full year will be of 1 lakh tons.
Jatin Damania : So roughly we can earn extra ■25 crores from 1 lakh ton?
Raju Bista : Yes, but we are not able to do 1 lakh ton because we are dependent on someone else and due to which sometimes 3 - 4 months are such that where they charge more or if the steel pr ices are high, then their interest is less in such products. So finally we decided that we have to go into this. We already have land with us.
Jatin Damania : From when will this facility start?
Raju Bista : Already all the technical evaluation is complete, so I think within 9 months to 1 year it will be operational.
Moderator : Thank you. The next question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.
Aditya Pal : Many of my questions have been answered, but 1 or 2 questions relate d to your CAPEX like in last call you said that this year you will be doing a CAPEX of around ■150 crores to ■200 crores, but in first half we have done a CAPE

X of around ■50 crores only. So can we assume that in this second half we will complete it?
Raju Bista : This year is already in line and in December our Cold Rolling facility in Bahadurgarh will be operational and in next month our Spiral facility will be operational. Our future commitments are in line. There are some issues in Maharashtra land acquis ition, so I think extra 5 months to 6 months will be required. Otherwise, we are doing a CAPEX of ■500 crores in next 3 years. And this year itself CAPEX of ■100 crores are going to complete. Next year facility including Hindupur and a facility which is be ing created at Anjar in Gujarat will be completed. And in third year Maharashtra's full project will be completed and will be in operational stage.
Aditya Pal : How much was our revenue from export in the September quarter and June quarter?
Raju Bista : Overall, there is a de -growth in export. For 6 months our export of total finished product was 54,000 ton which saw a de -growth of 24%.
Aditya Pal : And sir how much it will be according to revenue?
Raju Bista : According to revenue it will be approximately between ■700 crores to ■800 crores.
Aditya Pal : Last question, last quarter you said you have launched Mono Block Residential Pump, how is the performance?
Raju Bista : It has been approximately 3 months, and we have to done a sale of ■8 crores there and so a sale of around ■2 crores has come .

Moderator : Thank you. The next question is from the lines of Farokh Pandole from Avestha Fund Management LLP. Please go ahead.
Farokh Pandole : Sir you explained why you expect volume to pick -up in the second half for the Pipe business and eventually we are looking at 6% to 7% growth with better mix over last year. But as you have explained, first half margin and second quarter margin was extremely low, so what are the reasons that we are expecting improvement in margin for second half, so that we will be over ■5,000 per ton?
Raju Bista : Firstly, we can assume that it was an extra -ordinary quarter because the decline in price by ■7,500 price per ton from ■53,500 to ■46,000 in 3 months was unexpected. And secondly monsoon was also extended which affected agricultural products which were our core strength, that was also one of the reasons. And third, historically if you see, that third and fourth quarters are generally better, festival are also at this time and for agriculture also the demand for galvanizing and all are high at this time. One more thing which was unexpected happened in export market was increase in freight charges due to crisis which lead to the orders g etting delayed or were kept on hold. As a result, this also had a big impact. Canada and US markets are opening up, it is a golden opportunity for us. Seeing the order book in hand, October's performance and what we have seeing till now in November, it see ms that an EBITDA per ton of ■5,000 or more can be easily achieved.
Farokh Pandole : That means you have seen a lot of improvement in October and November?
Raju Bista : Yes, we have seen and Steel price also has now become a little stable from the lower side and now is on a slightly upper side trend. So from here on there is not much scope for price erosion to happen in HR Coil - that will also help this time. Stock level is at very low level with distributors also. So there will be some re -stocking, that als o will be one reason.
Farokh Pandole : So earlier you said that overall EBITDA for this year we are looking ■590 crores for the whole

company?
Raju Bista : Yes.
Farokh Pandole : Cash level is ■130 crores currently?
Raju Bista : Yes, ■136 crores.
Farokh Pandole : Net cash levels?
Raju Bista : Yes.
Farokh Pandole : Forget what is already in the order book. Are we also seeing in October and November an improved sort of conversations with respect to enquiry for better outlook of v

olume, so that risk
of 6% to 7% of vol ume growth for the whole year? Is there a risk or not?

Raju Bista : No, it is not there, because the order flow is also visible in that line and discussions are happening on the same line. We don't feel that 7% to 8% growth in revenue will be that difficult and seeing the current month's performance and according to the futuristic atmosphere that is being created, there will be a revenue growth of 7% to 8%.
Farokh Pandole : This ■100 crores CAPEX which we are doing this year and the rest ■400 crores further will be spent equally over the next 2 years?
Raju Bista : So around ■100 crores are being top up in existing facilities or we can say we are doing debottlenecking. The upcoming facility in Hindupur and Anjar will be operational next year and discussion with supplier is also in last stage. And the project which has to be started in third year is a Greenfield project, in which investment of ■300 crores is there including land cost. That facility will come in Maharashtra and in the third year it will be operati onal. We feel that in next year, 2 mills or one galvanizing facility could be started for the Indian market, but in the third year it will become fully operational. And because of this, our existing facility which is around 12 lakh tons will increase to19 lakh tons. And our target is that after this investment of ■500 crores, we will have a 2 million tons facility.
Farokh Pandole : This is in Maharashtra?
Raju Bista : Yes, the Greenfield project is in Maharashtra. Already land has been identified and some acquisition work is also going on. Because land has to be taken from the farmers, so at some places it is taking some time. I think there could be some delay in the 4 months to 5 months' time frame we had given.
Moderator : Thank you. The next question is from the line of Keshav Garg from Counter Cyclical PMS. Please go ahead.
Keshav Garg : Sir, thank you for providing me an opportunity to hear and as you mentioned in your opening comments
Raju Bista: Congratulations, to you also for getting one more surplus bonus shares.
Keshav Garg: Yes Sir, Thank you to you for that also, the company's performance is very good. Ups and down keep happening in businesses, but our fear was that there is a lot of capacity is coming in Pipe sector because post -COVID the entire industry has had very good margins. So everyone in the industry is expanding and on the other hand if we see the economy, it seems that de -acceleration is going on. So taking both these factors together and if we see Steel prices after reaching the peak in FY22, it has been falling since last 2 years. In FY23 we had a very good all -time high EBITDA per ton in Pipes although Steel prices were falling. We are afraid that d ue to over - capacity and low growth in the economy, are we going towards ■3,500 EBITDA per ton which we used to do in steel?

Raju Bista : You have asked a very logical question, but I have often seen that whenever competition increases then due to that dema nd also increases. And the government is also stable once again, same government is continuing for 5 years. And the thrust over the infrastructure may it be AMRUT scheme or Har Ghar Jal or may it be Rural Infrastructure or may it be Railways or Highways, W aterways, in every village and in every district something or the other work is going on everywhere. Sometimes I feel that Government of India is carrying out work worth around ■40,000 crores to ■50,000 crores in each and every district and under each Memb er of Parliament Constituency. Hence it will add value to it.
Secondly, if anyone puts a plant worth ■150 crores or ■200 crores and then sells the pipe, then is a particular segment selling can be done by reducing the cost. But your brand, your experience, your m

arket relations, your reach, your channel partner also matters, and it takes 30 years to 40 years building all that.

Thirdly, what we have seen is that in Steel you don't have to make HR Coil hence you don't need to do a CAPEX of ■15,000 crores. You just have to purchase HR Coil, have to set up mill worth ■150 crores including set and working capital of ■100 cror es, ■150 crores and the company can get started in ■300 crores and a turnover of ■1,500 crores and ■2,000 crores is achieved. So that way, it is a bit simple and we are seeing this in the market. But over the last 3 years, 4 years, that going after volume is okay, but along with volume we have to give thrust to value -added products and premium products. So today the contribution of value -added products has increased from 30% to 45%. So our thrust is to take this ratio to 60% in future and we will go to that level. And our capex of about ■400 crores out of total ■500 crores is for that product categories only. Our capacity which is increasing from 12 lakhs to 19 lakhs, is basically by considering that particular segment only.

One more thing I feel that when HR Coil decreases, then demand increase due to that . So the impact of cheaper steel price can be there at least in one quarter. But we are converter, we have to buy HR Coil and sell it by making Pipes. And whatever cost we i ncur we have to pass it on to the market. I think, everything has a cost. Today if a normal man who has coal and iron ore, goes to make steel, it will cost of around ■28,000 to ■30,000. Mostly the HR Coil producer, purchases the coal and iron ore from outs ide whose cost is not less than ■40,000 and then after conversion and putting freight and all. I don't think it is going to go much lower than this, but if it comes then its impact is there in one quarter and due to that everyone believes that demand also increases.

Keshav Garg : That was very reassuring. In our Consumer Division, we are in many products. So my understanding is in Lighting we are manufacturing A to Z and I am assuming that due to this our cost competitiveness will be very good as compared t o the competition. But for rest of the products like geyser, fans, iron and pumps - are we just trading? Or are we manufacturing all these too in -house?

Raju Bista : Actually, we have a simple policy. Make or buy nowadays a big concept that is going on in e very corporate house. And assume that for a product if whose volume is good, and revenue is also good, then if you do in -house production then it is beneficial. But suppose if its revenue is less, then your per unit cost will increase. So due to that, we h ave developed our good vendor base. Basically they are also like our extended family . So 80% of our total Lighting and Consumer Durables products are manufactured in -house and 20% is outsourced. And 80% of that 20% is for Consumer Durables.

Keshav Garg : Are we making any loss in any of our product lines like pump, fan, geyser, iron, kitchen appliances?

Raju Bista : No, generally we do not do the work in products in which we cannot recover the cost. And I do not believe in the concept for if you are having a brand like Surya or any XYZ brand, and you still incur loss, then I can't digest that, If there is loss then that means there is some problem in your buying or there is some problem in your realization or there will be some issue with your channel partner. So as such we don't have any loss in any product. Yes in Lighting Division, we had some problem with our old conventional facilities lighting division for a year or 2. But now we are exporting our extra capacity to Philips and export few to others places. Hence there is no loss under that. So generally, we don't do the work for any loss making product.

Keshav Garg : Lastly, since we have two different divisions, what is your opinion regarding demerger?

Ra

ju Bista : I have the same opinion as o f yours. I have been repeatedly saying this to the management and board. But it is good that since last 1 year – 1.5 year we have started this tradition that in every board meeting some or the other corporate announcements are being made. Earlier we use to give interim dividend of 20% for full one year, now we have reached to 100%. And even though our Q2 results were not that good, we are giving interim dividend to our shareholders because the management decided it and we had cash surplus also. The EBITDA o f ■575 crore or ■590 crores which we will do every year and if the CAPEX for 3 years including Greenfield is ■500 crores only, then the extra cash generated will basically go to the shareholders only. There are many formulas to give to shareholders like gi ving dividends and issuing bonus shares also.

What you are saying is also correct both the standalone businesses are doing well. Sometimes Lighting was very good and Steel used to generate very less profit. But today Steel's performance is almost double t han of Lighting, revenue and EBITDA are also higher.

On your behalf again, I will keep this in front of board, and I think board is definitely thinking about it. But unless the board approves, I cannot make direct announcements in this meeting. I will pre sent your point before the board, and I believe that the board will definitely consider it at the appropriate time.

Moderator : Thank you. The next question is from the lines of Ashwin Kedia from Alchemy. Please go ahead.

Ashwin Kedia : My question is that w e are reading in the newspapers that capital expenditure of government is coming back. So I want to ask how is bulk tendering of Jal Nigam, state government and central government going on? And how was the tendering done in the last 6 months? And how do yo u think the tendering will be in future?
Raju Bista : Are you asking for Lighting or Steel segment?
Ashwin Kedia : Asking for Steel Segment -water business, in water pipes, our ERW pipes which goes to the Governments Jal Nigam. We have seen that governments t endering has become very low and now it is started again, how do you see that business?
Raju Bista : It has started again. Due to the general elections it became slow and no new tenders were coming and now it has again started. On all India level, we see th at 30% to 35% of households have water connectivity and much work is under process. So I think that same healthy demand will remain for the next 2 years, 3 years and that also covers various types of product segments. Spiral and Large size pipes are used t o bring water from the source to the central point and from there if you have to bring that pipe near any village or inside any tank, there midsize ERW pipes are used. And to connect tank to individual household, small size pipes are used. So all the produ ct category is covered under that, that is one.
We have seen that there are very few states where government directly do tendering. Mostly what happens is that they give the entire work to the contractor and the entire end -to-end work is done through the contractor itself. In this, contractor does some tendering and individually if you have any reach or have developed any relations, then you can get it. But according to our extra capacity, the water projects which are coming from Har Ghar Jal there we had a 4% growth in this quarter. So we are able to do as much as capacity we have.
Ashwin Kedia : I wanted to ask that how big is the business for us? Can there be a huge opportunity for our business in future?
Raju Bista : There will be an extra demand of around 1.5 lakh to 2 lakh tons across the country for at least another 2 - 3 years.
Moderator : Thank you. The next question is from the lines of Chintan Patel from Abans Investment Managers. Please go ahead.
Chintan Patel : Earlier we guided a

volume of more than 10 lakh tons and EBITDA of ■700 crores plus in Steel division by FY26 . So still we are on that guidance or there is some revision?
Raju Bista : As far as volume is considered due to its performance in Q2 we have recalibrated it. So instead of 10 lakhs volume, it will be around 9.15 lakhs ton for the who le year. Then also we guided the Per ton EBITDA in the range of 5,000 and 5,500. I think that per ton EBITDA for the full year should be in the range of 5,000 to 5,200 for the Steel division.

Chintan Patel : For FY25. I am talking about FY26?
Raju Bista : So in FY26, our revenue growth in Steel division will be in the range of 10% to 12%. Are you asking regarding tonnage?
Chintan Patel : Yes.
Raju Bista : So with regards to tonnage, the new facilities which are going to be created in Bahadurgarh and the Spiral plants which are going to be operational - due to that our FY26 volume target will be approximately around 12 lakh tons.
Chintan Patel : What will be EBITDA per ton?
Raju Bista : After the additional volumes, the EBITDA per ton will be in the range of around ■5,200 to ■5,500. The incremental capacity which is coming this year, which will help us in FY26. - One is Spiral segment in which we get somewhat decent EBITDA. And in Cold Rolling our EBITDA margin is not that much, but it was a compulsi on for us to cater the existing customers because technology was becoming obsolete . So because of this, it will be a little mix type in it, but after that our per ton EBITDA from our new product categories - that is whatever will come from our newer facili ties will belong to higher -premium product category. Hence due to that there will be a significant improvement in EBITDA. I have said earlier also that gradually the share of value - added products will reach 60% which is our target and our EBITDA per ton wi ll be between 7,500 per ton to 8,000 per ton and we are working on the same line.
Chintan Patel : This spiral and CR is coming from Anjar in FY26?
Raju Bista : No, the Cold Rolling facility is in Bahadurgarh and Spiral Large DIA Pipes is in Malanpur in centr al India and both will be operational within a month.
Chintan Patel : The one coming from Anjar will be value -added product?
Raju Bista : Yes, Large DIA is 24 inch ERW pipe - mainly it will cater export and US and Canada market.
Chintan Patel : When will it b e commercialized?

Raju Bista : By next year ending.
Moderator : Thank you. The next question is from the lines of Devang from EagleView Venture. Please go ahead.
Devang : Wanted to know about the margins of BLDC fans and regular fans, is BLDC fan a high margin product for us?
Raju Bista : Are you talking regarding fans?

Devang : Yes, sir.
Raju Bista : The market size of BLDC fan is not so big in India. We are trying to push a lot into it. Infect we are the first one to introduce BLDC. We did a lot of publici ty and everything we had to do, but still the acceptance level I don’t know. Being a premium product, over the normal fan - which costs ■1,000 to ■1,200 - the first investment a person makes in his house by installing this normal ■1,200 fan.
But still we have an overall EBITDA margin of 5% to 5.5% in fans which is very low because we are doing it by outsourcing. So in fan we have reached a decent volume. So we will outsource BLDC, but for other product category next year we will be investing ■20 crores to ■25 crores in Lighting because of that I think our margin will increase to around 7% to 8%.
But our overall volume growth in Lighting is very good if you see for last 2 years - our volume has increased by 15% plus. We have introduced many new products. An d despite so much price erosion in LED, we still remain leader in the market. And our EBITDA margin and EBITDA percentage has gradually increased. Currently our EBITDA margin for the Lighting division is around 9% and for full year it will be double digit plus.
Nowadays people have increased their investment in building houses, same we are witnessing in lighting also. In semi -urban and urban level also, in down -lighter and batten all these lighting which are 10 times to 20 times pricey more than normal - so that kind of fashion has started at all India level, including urban and semi -urban also. And we will get its advantage in coming times, as our reach within the rural market is quite good, because we have around 2 lakh shopkeepers across the country and Surya Roshni should reap a good advantage because of this shift.
Devang : Sir what is our contribution from the government?
Raju Bista : Governments contribution is zero. There was a bit from EESL, but now it is minimal. Basically Oil and Gas we give to private sector and also give to PSU . But we do not do direct billing or dealing with the government. There will be very few, may be a couple of in municipalities, but very nominal.
Moderator : Thank y ou. As there are no further questions from the participants I now hand the conference over to Mr. B. B. Singal for closing comments.
Bharat Bhushan Singal : Thank you everyone for joining us today on this Earnings call. We appreciate your interest in Surya Roshni Limited. I sincerely once again thank you to our MD and the CEO for sparing their valuable time and addressing queries raised by participants who attended the call. For any further querie s, if any contact our Investor Relation Advisor SGA.
Moderator : Thank you. On behalf of Surya Roshni Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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SRL/24-25/60
February 12, 2025
The Secretary
The Stock Exchange, Mumbai
New Trading Ring, 14th Floor,
Rotunda Building, P.J.Towers ,
Dalal Street, Fort,
MUMBAI -400 001
Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai -400 051
NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter ended 31st December, 2024
Dear Sir,
This is with reference to the Company intimation dated 28th January, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the earning conference call (Group meet) to discuss the Un-Audited financial results and operational performance for the quarter ended 31st December, 2024 held on Thursday , 6th February, 2025 at 4:00 P.M (1ST).
Further to the audio recording filed with the stock exchanges already on 6th February, 2025, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMP ANY SECRETARY
Enclosed: as above.
• Regd. Office : Prakash Nagar, Sankhol, Bahadurgarh , Haryana -124507

"Surya Roshni L imited
Q3 FY '2 5 Earnings Conference Call"
February 06 , 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 06th February 2025 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. NARESH SINGHAL – ED, STEEL OPERATION
MR. JITENDRA AGRAWAL – CEO, LIGHTING &
CONSUMER DURABLES
MR. B. B. SINGAL – CFO AND COMPANY SECRETARY
MR. GAURAV JAIN – ED AND COO STEEL OPERATIONS
MR. VASUMITRA PANDEY – COO, LIGHTING AND
CONSUMER DURABLE BUSINESS

Surya Roshni Limited
February 06, 202 5

Moderator: Ladies and gentlemen, good day and welcome to Surya Roshni Limited Q3 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company a s on the date of this call. These statements are not the guarantees of the future performance and involve risks or certainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode and there will be an oppor tunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch - tone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Raju Bista, Managing Director of Surya Roshni Limited. Thank you and over to you, sir.

Raju Bista: Hi, welcome everybody and thank you very much for joining us. Good evening. On this call, we are joined by Mr. B .B. Sing al, our Company CFO and Company Sec retary as well as Mr. Naresh Singh al, Executive Director, Steel Business ; Mr. Jitendra Agarwal, CEO of Lighting and Consumer Durable ; Mr. Gaurav Jain, ED and COO of Steel Operations ; Mr. Vasumitra Pandey, COO, Lighting and Consumer Durable Business ; and S GA, our Investor Relations Advisors.

And I hope everyone had an opportunity to go through the financial results.

And moving on to the overall financial performance highlight, we are pleased to have delivered a resilient pe rformance in Q3 FY '25 despite challenging macroeconomic conditions. During the quarter, our revenues saw a marginal decline of 4%, primarily due to an average price 18% year - on-year decrease in HR coil prices. But we achieved sequential revenue growth of 22% and EBITDA and P AT grew by 87% and 163% respectively as compared to Q2 FY25.

Our Lighting and Consumer Durable segment delivered healthy performance , with robust growth across professional lig hting, decorative fans and home appliances. This reinforces our strategic focus on innovation , quality and customer -centric offering s. On a sequential basis, we recorded double -digit growth as well.

Optimizing our capacity utilization, efficient working c apital management and strategic cost rationalization have enabled us to achieve zero debt while maintaining a cash surplus fund of ■222 crores as of 9 months FY '25.

Now, coming to Lighting and Consumer Durable . Despite industry -wide challenges , including price erosion in LED segment, our proactive approach to product innovation, strong distribution network and early market initiatives has enabled us to achieve double -digit growth year -on-year, revenue growth of 12% in this quarter.

Focusing on premiumiza tion, cost rationalization, innovation and technology and backward integration under the PLI scheme also contributed to improved margins and overall profitability.

Professional lighting deliver ed almost 15% year -on-year growth, benefiting from increased demand across key product categories including LED street light, where volume nearly doubled. A healthy order book of about ■150 crore s in the professional lighting segment further strengthens our growth momentum.

Looking forward, we remain optimistic about the business roadmap and we are confident in delivering double -digit revenue growth for the full fiscal year in lighting. Our focus will also be on achieving double -digit EBITDA margin through a balanced approach of product mix optimization, operation excellence and innovation.

We are well positioned to drive consistent growth and reinforce our leadership in lighting and consumer durable segment.

And also, we are investing ■25 crore s at our Gwal ior facility in lighting division to

set up a state -
of-art domestic wire business unit of specified size and categories.

Now, moving on to the steel pipe and strip segment . The steel pipe and strip segment witness ed 8% year -on-year volume growth, reflectin g healthy demand. However, revenue declined by 8% year -on-year to ■1,417 crore s, primarily due to drop in average HR coil price s by 18%, that is about ■10,500 per ton compared to same correspond ing period last year.

On a sequential b asis, revenue grew significantly by 25% in steel pipe business from ■1,135 crore s in FY '25, recording a strong recovery. On quarter -on-quarter basis, EBITDA per ton improved by 78% from ■2,901 in Q2 FY25. EBITDA for Q3 FY '25 stood at ■111 crore s, declini ng 9% year -on-year from ■121 crore s. EBITDA per ton declined to ■5,163 from ■6,156, primarily due to absence of inventory gain, which contributed ■1,200 per ton in Q3 FY '24.

Value -added product s (API, spiral and galvanized pipes) contributed almost 45% of total revenue for both Q3 FY '25 and Nine-month FY '25. Export sales remained unchanged year -on-

year, but globally trade uncertainties and reservations around US tariff policies prevented a potential double -digit growth . Despite th ese headwind s, we are expan ding our presence in Middle East, Saudi Arabia, Europe and Canada markets. We currently have order book of about ■600 crore s in hand for oil and gas sector, water sector and export business.
With rising demand for structural pipes in infrastructure, construction and industrial sectors, we are expanding our section pipe capacity using Direct Forming Technology (DFT) to enhance efficiency.
The new spiral plant in Gwalior and cold rolling expansion at Bahadurgarh plant are set to commence operations in February and March this year '25, respectively.
At our Hindupur facility, we are increasing capex from ■75 crore s to ■125 crore s to expand production by almost 200,000 ton s per annum, focusing on large diameter (8 to 20 inch), DFT Mill and coated pipes for water line project s and infrastructure project s as well.

At our Bhuj , Anjar facility also, we have made an investment of about ■75 crore s for manufacturing of large DIA pipe and DFT pipes, which will add another 60,000 tons of annual capacity and support our export business.
Steel prices are at almost 5 years level low and further declines are unlikely, providing a stable cost environment. We remain committed to expanding our product portfolio, stren gthening our export business and investing in technology -driven capacity enhancement s to drive long -term growth and profitability as well. That's it.
Now I will request our CFO, Mr. B . B. Singalji to share his thoughts.
B.B Singal: Thank you , respected MD sir , and a very good afternoon to all the participants on the call.
For the quarter, the revenue was ■1,868 crore s as compared to ■1,938 crore s. EBITDA and P AT stood at ■156 crore s and ■90 crore s as compared to ■158 crore s and ■90 crore s, respectively.
For 9 months of financial year ' 25, the revenue was ■5,290 crore s as compared to ■5,729 crore s. EBIDTA and P AT stood at ■397 crores and ■217 crores as compared to ■414 crores and ■225 crores respectively.
In lighting and consumer durables for the quarter, the revenue stood at ■451 crores as against to ■403 crores , a growth of 12% year -on-year basis. EBIDTA and P BT stood at ■45 crores and ■35 crores , a growth of 20% and 18% respectively. For 9 months of FY25, the revenue stood at ■1,232 crores as against to ■1,154 crores , a growth of 7% year -on-year basis. EBIDTA and P BT stood at ■115 crores and ■87 crores , a growth of 9% and 5% respectively.
In the steel pipes and strips, during Q3 FY25, the revenue was ■1,417 crores as compared to ■1,536 crores . Similarly, EBIDTA per metric ton stood at ■5,163 compared to ■6,156. EBIDTA

and PBT stood at ■111 crores and ■86 crores as against ■121 crores and ■91 crores respectively.
For 9 months of FY25, the revenue was ■4,061 crores as compared to ■4,577 crores . Similarly, EBIDTA per metric ton stood at ■4,840 crores compared to ■5,224. EBIDTA and PBT stood at ■282 crores and ■203 crores as against ■308 crores and ■222 crores respectively.
As on December 31, 2024, our net working capital was 57 days with a return on capital employed (ROCE) of 21.4% and return on equity of 15.63%.
With this, I conclude the presentation and we can now open the floor for further questions and answers.
Moderato r: Thank you very much. The first question is from t he line of Saransh Gupta from SVAN Investments. Please go ahead. The line of the participant was on hold. We move to the next participant, Aditya pal Singh Jaggi from MSC Capital Partner. Please go ahead with your question.
Adityapal Jaggi: Am I Audible?
Raju Bista: Yes

Adityapal Jaggi: Thank you so much for the opportunity. Sir, I wanted to quickly understand from you that the previous concall that is Q2 concall, we had said that we can achieve 9 lakh tons volume this year, 9 lakhs and a few thousand tons this year. But for us to achieve that, we would really need to grow our volumes by 40 %-45% Y -o-Y. So, that is my first question that do you think that this 9 lak h is achievable or do you want to revise the guidance for this FY25?
Raju Bista: Okay, next.
Adityapal Jaggi: Sir, next would be that again in the last couple of concalls, we said that in FY26 we can grow our volume to 12 lakh tons, 1.2 million tons. But t he revenue would grow by 10 %-12%. From 9

to 12 lakh, we are growing 33% tons but the revenue and volume are not matching. So, just wanted to understand, wanted your clarification that are these numbers, is my understanding correct?
Raju Bista: Okay, your f irst question was regarding volume. Till now, we have done 6.2 lakh tons net and in Q4, it is expected that we will do 2.65 lakh tons. So, we will not cross 9 lakhs tons. We will do around 8.8 lakh to 8.9 lakh tons in the entire year.
In volume, there are 2 -3 issues. First, due to the election year --general election year, the growth in API segment was less than what we had expected .
Second, due to global crisis, the growth that we expected in export segment did not happen . But otherwi se, we are on line. But despite dip in volume, against our target or what was budgeted by us, we have maintained profitability and per ton growth. And in comparison, to last year, we will surpass it slightly.
As far as FY26 is concerned, we have almost co mpleted ■200 crore s capex in cold rolling mill. And in Gwalior, spiral plant is starting from this month, which will have a volume of 60,000 tons in a year. Similarly, capex work is already going on in Anjar and Hindupur . In total, our capex plan for the n ext 2 years is ■500 crores. After that, our existing volume of 12 lakh tons will increase to about ■19 lakh tons.
So, we should not face much difficulty in making 12 lakh tons for next year. But in steel , a lot depends on prices of HR coil and overall mac roeconomy. And for the time being, it also depends on Mr. Trump. But I think that relations between India and the US were not so bad and have improved. And I think that gradually India will get its advantage. This is what we all believe.
Adityapal Jaggi: So, I can assume that the capex you are putting now, say by FY27 -28 your capacity will increase to a great extent. It will increase by atleast 70%-80%. So, can I assume that your volume will grow to 12 %-15% year on year ?
Raju Bista: Yes, it will come to th at minimum. In fact, it will remain 15% plus. See, we are also doing a Greenfield project in this ■500 crore s investment. Because in steel pipe, it depends on freight and logistics

. In all of India, we are able to cater to only 65% of the state s because of freight and logistic issues.

So, we are bringing new projects to the places where we do not have existing facilities . This will lead to a substantial volume growth on account of our new investments. And in existing facilities also, the investment in DFT section and square pipe s, will give us a jump and in cold rolling facility also we have invested a lot - so we will get an advantage in that too .
Adityapal Jaggi: Sir, I have a strategic question for you. So, the benchmarking that we did with your competitors, your spread, that is realization minus cost of production, is by far the best in the industry. You earn a spread of between ■13,500-■14,000 i .e. realiz ation minus cost of production. But when we go from gross margin to EBITDA per ton, your overhead per ton is the highest. So, internally, have you thought about how to reduce it? Or, when the 12 %-15% volume growth come s, will there be no additional expenses at the EBITDA level ?
Raju Bista: Look, it is a simple thing. You will see overall, when you will make the oil and gas pipes, when you will make a higher value -added product, then naturally, the overhead s will be higher. The cost of making a section pipe is ■2,000 per ton. The cost of making a value -added product is ■5,000 -■6,000. So, it is because of this.
But I think you should see what we are saving in the net. If you see the per ton EBITDA, and compare it with our peers , I believe our margins would be better by 15 %-20%.
Adityapal Jaggi: Sir, can I ask one more question before I come back in the queue? So, your per ton, and you said that now it will be between ■5,000 -■5,200. And when our new capex comes, because it is all towards value added products - you say that from ■5,200, it will go up to ■6,500 -■7,000 per ton by FY27 or FY28 . How do I understand that? How much will it come from gross margin improvement and how much will it come from operating le verage ?
Raju Bista: It will come substantially from gross margin. And in this quarter also, we have around ■5,200 per ton.
Adityapal Jaggi: That has become EBITDA. So, you are taking EBITDA from ■5,200 to ■7,000 . So, there is a spread of ■14,000 -■15,000.
Raju Bista: No, there will be an improvement from gross ma rgin only.
Adityapal Jaggi: So, operating leve rage will not contribute much , which means your expenses at EBITDA level will keep increas ing.
Raju Bista: All are further investemtns we are doing in the value -added products , high margin products only.
Adityapal Jaggi: Okay.
Raju Bista: So, there will be an improvement in gross margin.
Adityapal Jaggi: Okay. But your employee benefit expenses and other expenses, will they keep on increas ing as

per plan?
Raju Bista: No. See, as the volume increases, there will be a slight reduction in that as well. But the substantial improvement will be on account of gross margin only.

Adityapal Jaggi: Okay. So, there can be an increase of 2.5% only. So, there can be an increase of 23% -25% in gross margin.
Raju Bista: Yes. Yes, after all this, as you said earlier, our EBITDA per ton target is ■7,000 over the next 2 years. And there will be growth in volume as well. In that, to a large extent, in the square and rectangular section, which is related to the project, we are ma king a lot of investment in that as well. So, because of that, there will be growth in volume as well.
Moderator: The next question is from the line of Saransh Gupta from SVAN Investments .
Saransh Gupta: Am I Audible?
Moderator Yes
Saransh Gupta: Thank you, sir, for the opportunity. I guess I got disconnected earlier. Sir, as you mentioned, we can see a growth in volume. So, can you give us a ballpark number for that? And I

have a couple
of more questions. So, should I put it ahead?
Raju Bista: This year till now , we have done sales of 6.2 lakh tons. And around 2.6 -2.7 lakh tons in Q4FY25, so around 9 lakh tons, we will the volume for the full year.
Saransh Gupta: And sir, in the upcoming two years, as you mentioned, we can go to a gross margin of 23 %-25% with a EBITDA per ton of ■7000. So, by then, what can we see the volume as?
Raju Bista: In the next two years, our volume will increase by around 6 lakh tons. So, if you see, there is a gradual investment spread over alm ost three years. So, almost every year, there will be 50 %-60% capital utilization. So, if you ask about the next three years, we will add about 1.5-1.75 lakh tons annually to our volumes .
Saransh Gupta: Okay, sir. Sir, next question is, what is the status of our GP facility? When is it expected to come on stream?
Raju Bista: So, in that we have dropped the GP project a nd instead we are investing in the large dia pipe in Hindupur, b ecause in the GP pipe the ROI of the investment at this time was taking subst antially more time. So, we have already made a tie -up with the company manufacturing GP co il. So, we have a long -term understanding with them. So, we are moving forward with that.
Saransh Gupta : Okay, sir. Sir, we have seen a decent pickup in the monoblock residential pump . So, how much will our EBITDA per ton differ from our existing product, i f we compare it with the API grade EBITDA per ton?
Raju Bista: No, we have just started. It has been 4 months. In 4 months, we have sold ■6 crores. So, in this the margin , because we are introducing a new product, the cost of publicity and branding is involved. So now it is at 5% margin, b ut this product category is such that 10%, 1 2% margin will be seen from this particular product segment. So, overall, in terms of lighting if we compare it with the total turnover of ■1500, ■1600 crores , it is on a very small scale.
Saransh Gupta: And sir, we are saying 10%, 12% margin by w hen can we expect this?

Raju Bista: In the third year we will have a sale of ■50 crores to ■60 crores. At that leve l, there will be a margin of 11% to 12%. And there is one more thing that we have announced today. The board has approved it. We are investing ■25 crores on the domestic wire business. It is a business of about ■25,000 crores across the country. And we are entering into that segment as well. And the good thing about it is that there are 200 ,000 outlets across the country i n which almost 75 % to 80% are electrical outlets.
So, it was a demand from the distribution dealer itself that they already deal with the lig hting products of Surya Roshni, b ut somehow they have to introduce other companies for the wire business. So, there was a demand for a long time. So, the board has approved it in today's board meeting. So, there is a capex of ■25 crores. In the first year, there will be a business of ■100 crores. In the second year, there will be a business of ■200 crores. In the third year, there will be a business of ■300 crores. And in Gwalior we have existing lighting facility because we have a space which was earlier used for GLS, FTL and CFL. So, we are investing there.
And technically, we will not face much difficulty b ecause we make filaments that are used in the bulbs, as we already do the work of wire drawing. So, we wil l be able to do it very easily and there is a good turnover in this segment . There is no issue of replacement. So, we are entering into a new segment from today.

Saransh Gupta : Sir, there is one last question. As the government has increased the focus on JJM, how do you see the tendering happening in the coming months l ike in the last one year, the pipe that we have supplied for JJM. Did you g et any delay or stress in that in terms of working capital cycle?

Raju Bista: So, in the last 2 years , we have supplied around 1 lakh tons of large dia pipe . So, as far as JJM is concerned, the government has extended it till 2028. Because if you look at the average in all India, I think that in many states it has reached only to about 40%, 50%. So, we will get another 3 years, 3.5 years . That is why we have installed a new facility in Gwalior for the spiral plant particularly for this JJM project only. It is located in Central India a nd we will get the advantage of it. So, we have done around 1 lakh ton s in the last 1.5 years, 2 years.
Saransh Gupta: Sir, what is the capacity of the facility that we have installed?
Raju Bista: 60,000 tons per annum. It depend s a lot. It can go up to 50,000 to 80,000 depe nding on the size and thickness, b ut according to our calculation on an average you ca n assume 60,000 ton s per annum, so about 5,000 tons per month.
Saransh Gupta: Okay, sir. That's it for now. I will get back in the queue.
Raju Bista: In that, we have orders of 30,000 -plus ton s in our hands. In fact, the commercial production got delayed by a month and a half because there were some technical iss ues with the imported machines, but everything is fine now a nd we are starting commercial production from this month.
Saransh Gupta: Okay, sir. That' s great. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Rohan Vora from Envision Capital. Please go ahead.
Rohan Vora: Yes. Sir, thank you for the opportunity. So, sir, in the earlier comments, you said that this quarter the volume of API pipes was a l ittle slow. So, when will the volumes come back o n track? That was one question.
And secondly, broadly, where will the demand for API pipes come from? Because it is a major driver of EBITDA per ton. So, over the next 3 years, as we are saying that we have to reach from ■5,500 to ■7,000 EBITDA per ton . So, how do you see the demand for API pipes and where will it come from? Thank you.
Raju Bista: See, there are two categories of pipes in the API. One is large -dia ERW pipe, welding pipe, and the other is Spi ral pipe. So, because of the general election, there was no tendering for 5 , 6 months. And now, in the ERW segment, we have already got two tenders and the process has begun . And the Spiral pipe is also in the pipeline. So, generally, the oil and gas segme nt is a big business and because the government's vision is that we will deliver gas th rough pipelines in every household. So, in that, there is still a demand for cross -country lines, i.e., large pipes. And gradually, we will get order s for 0.5 inch to 0.75 inch small scale pipes , which are used for house distribution . So, in this way, the demand will be maintained. And in this segment there are very limited 4 -5 players only, b ecause we need high skills for this and we also need a lot of investment.
Roha n Vora: Okay. so this demand is now starting from the next quarter?
Raju Bista: Yes, it has started. It was stopped due to the election. But PSU has been active again and tender process has already started.
Rohan Vora: Sir, apart from this, what are the ot her drivers of EBITDA per ton over the next 3 years?
Raju Bista: First, our volume growth will be a big driver. Second, the API pipe . As I said, the third is the export segment because the Canadian market has opened up for us again. And because of the investment in cold rolling, whatever segment we cater to belong to the premium category. So, that will remain. And we have also tapped the Saudi market in the Middle East , where we will get substantial volume and in fact, the margin in it will also be quite good.
So, overall, some premium segments, value -added products and our new capex, along with the continuous focus on our cost – on acco unt of all this we will hav

e an advantage. And one more thing, we are also installing DFT plants in every plant , because of which we will also see some improvement in the manufacturing cost.
Rohan Vora: Thank you, sir. I will get back in the queue.
Moderat or: Thank you. The next question is from the line of Farokh Pandole from Avestha Fund Management, LLP . Please go ahead.

Farokh Pandole: Hi, Raju Ji. My question is, what is our net cash position at this point? And capex, this ■300 crores we are going to spend over the next 3 years. And our capacity, total steel pipe capacity will go to 18 lakh tons?
Raju Bista: 18 to 19, yeah.
Farokh Pandole: And ■300 crores will be spent in 3 years?
Raju Bista: Yes, in the next 2 years.
Farokh Pandole: And what is the net cash position?
Raju Bista: As of today, ■225 crores.
Farokh Pandole: So, we should maintain a net cash position going forward?
Raju Bista: Yes, it will be maintained. And if you want to ask, I understood. And whatever money will be left, it will be of the investo r only. It will go in your pocket only.
Farokh Pandole: Thank you.
Raju Bista: And you see, Q2 was difficult for us. There was a general election , so there were some problems whole year because of that. We are standing at the lowest level in steel prices in the last 5 years. After Mr. Trump came, he is disruption the trade policies all over the world. So despite all this, last year we had had EBITDA of ■586 crores . And this time, as I sai d in the commentary, per ton EBITDA we will do around ■5200 -5300. In the lighting division, there will be a double digit EBITDA margin, it will be 10% plus. And we will do EBITDA of around ■590-■600 crore s for the full fiscal year . To do this, I think in Q 4, we will do EBITDA of ■200 crores as a whole. So, in spite of all these difficulties, we will be able to maintain our margins and profitability.
Farokh Pandole: So, our revenue and profit is range -bound for 4 years and 3 years. So, clearly, I think in th e next 2 years , there can be a change in this?
Raju Bista: Yes, there were two reasons for th at. As you said, we are very range -bound , we have been able to only maintain a slight growth or whatever the numbers are, we are able to maintain it. The big reason for this was that we were on 80 %-85% capacity utilization. So, due to the investment that we have made, there will be a substantial jump in volume. As such, the demand is already existing .
Also in the last 4 -5 years, we have also been very selective . We were a little selective in high value -added products and high margin products. So, we were in a range -bound, but still, in spite of all these difficulties, you will see that within 5 years, our balance sheet has also improved. Profitability may be a only slightly better, but we have maintained it.
Moderator: The next question is from the line of Dev from NMR Capital Advisors, LLP.
Dev: I just wanted to ask that ■25 CR capex we are doing in the wire business, is that included in the ■500 CR capex plan o r is it apart from that?

Raju Bista: It is additional. It was not in our earlier plan. It has been approved today. ■25 crore capex.
Dev: My second question was that the structural pipe that Surya Roshni makes, are those pipes used in pre -existing buildings ?
Raju Bista: Yes, they are used.
Moderator: Thank you. The next question is from the line of Aditya pal Singh Jaggi from MSA Capital Partners. Please go ahead.
Adityapal Jaggi: Hi, thank you so much again for the follow -up. Sir, next year, in FY '26, can we confidently say that the average quarterly volume run rate ofof 2.20 lakhs to 2.50 lakhs ton?
Raju Bista: Yes, we will be able to do per quarter .
Adityapal Jaggi: Obviously, because our H2 is heavy. H2 is heavy, but on an average, we can do it

for 2.50 lakh
tons, right?
Raju Bista: Yes.
Adityapal Jaggi: Sir, this export, last year, we had around ■1,200 crores, ■1,167 crores. In the next 3 years, because we are doing good capex including in API. Because you sa id that the opportunity in the Middle East and Canada is very good , how can this scale up? I mean, where this the export number of ■1,100 crores go by FY '27?
Raju Bista: No, this year also, we will have around ■1,100 crores, compared to ■1,000 crores – 15% to 15% of steel pipes segment comes from expo rt.. So, every year, assume value -add of ■125 to ■150 crores to this.
Adityapal Jaggi: Okay. And, sir, because your steel pipes and st rips is the major segment, so, if you are saying that we will do about ■6,000 -■6,500 in FY '27, then I can say that your EBITDA, on an absolute level, can improve considerably. It can go to about ■750 crores to ■800 crores. Is it right to believe this?
Raju Bista: Yes, absolutely.
Adityapal Jaggi: Okay. Sir, all the very best. I have all the questions. I will just email it t o you all.

Raju Bista: Okay. Thank you so much. Wishing you all the very best.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. B. B. Singal for closing comments.
B.B Singal: Thank you, everyone, for joining us today on this e arnings call. We appreciate your interest in Surya Roshni Limited. I sincerely, once again, thank our MD sir and the CEOs for sparing their valuable time and addressing queries raised by participants who a ttended the call. For any further queries, if any, contact our SGA, our Investor Relations Advisors. Thanks. Good evening to all.

Moderator: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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SRL/25-26/08
May 21, 2025
The Secretary
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter and year ended 3P1
March, 2025.
Dear Sir,
This is with reference to the Company intimation dated 9th May, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 regarding the earning conference call (Group meet) to discuss the Audited financial results and operational performance for the quarter and year ended 3 l51 March, 2025 scheduled for Wednesday, 14th May, 2025 at 4:00 P.M (1ST).
Further to the audio recording filed with the stock exchanges already on 14th May, 2025, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMP ANY SECRETARY
Enclosed: as above.
• Regd. Office : Prakash Nagar, Sankhol, Bahadurgarh , Haryana -124507

"Surya Roshni L imited
Q4 & FY '2 5 Earnings Conference Call"
May 14 , 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th May 2025 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. NARESH SINGHAL – ED, STEEL OPERATION
MR. JITENDRA AGRAWAL – CEO, LIGHTING &
CONSUMER DURABLES
MR. GAURAV JAIN – ED AND COO, STEEL
OPERATIONS
MR. B. B. SINGAL – CHIEF FINANCIAL OFFICER AND
COMPANY SECRETARY

MR. VASU MITRA PANDEY -- COO , LIGHTING &
CONSUMER DURABLES

Moderator: Ladies and gentlemen, good day, and welcome to the Surya Roshni Limited Q4 & FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the gua rantees of future performance and involves risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Raju Bista, Managing Directo r of Surya Roshni Limited. Thank you, and over to you, sir.
Raju Bista : Thank you, and good evening, everyone. On behalf of Surya Roshni Limited, I extend a very warm welcome to everyone for joining us today. On this call, we are joined by Mr. B. B. Singal , CFO and Company Secretary; Mr. Naresh Singhal, Executive Director, Steel Division; Mr. Jitendra Agrawal, CEO, Lighting and Consumer Durable s; Mr. Gaurav Jain, Executive Director and COO for the Steel Operations; Mr. Vasu Mitra Pandey , COO, Lighting and C onsumer Durable s; and SGA, our Investor Relations Advis or.
Quickly moving on to the overall financial performance highlights. We are pleased to present our performance highlights, which demonstrate our company 's resilience and operational strength in a cha llenging market environment. For Q4 FY '25, our consolidated revenue grew by 3% year -on-year to ■2,146 crore s and EBITDA registered a strong growth of 22% year -on-year to ■211 crore s. The EBITDA margin expanded by 155 basis points to 9.85%, and profit befo re tax increased by 26% to ■175 crore s, while profit after tax increased by 25% to ■130 crore s.
For the full year FY '25, revenue stood at ■7,436 crore s, down 5% from the previous year. Despite this revenue slightly decline mainly on account of HR coil , EBITDA improved by 4% to ■609 crore s. EBITDA margin expanded by 68 basis points in full year to 8.19% and PBT grew by 5% to ■465 crore s and PAT increased by 5% to ■347 crore s.
The strong performance this quarter and year reflect s the efficiencies of our s trategy . Despite a 5% decline in the revenue for the full year, which was due to the average reduction in HR coil price, we have demonstrated our ability to enhance profitability through operational efficiencies across both business segments , better produc t mix and focus on value -added products, improved realization in our Steel Pipe s division, consistent growth in our Lighting & Consumer Durables segments and effective cost reduction measures and improved overall operating leverage.
Now we are zero debt co mpany with a net cash surplus of ■342 crore s as on March 31, 2025.
We have also declared a final dividend of ■3 per share, demonstrating our ongoing commitment to delivering shareholder value. And this is in addition to the interim dividend of ■2.5 per sha re pre-bonus capital already distributed. So total is 170% in FY '25.

Now coming to Lighting & Consumer Durables. Our Lighting & Consumer Durable s business has delivered a healthy performance despite significant industry challenge s including continuously price erosion, currency fluctuation and input cost pressures. Our strategic agility, product innovation and operational discipline have enabled us to achieve consistent growth while safeguarding our profitability.
Throughout the year, we implemented proact ive cost control measures, executing value engineering initiatives, conducted frequent negotiations with our suppl

iers and improved productivity in our plants. These efforts help mitigate impact s beyond our control , such as dollar fluctuation, commodity pr ice, etc .
On the market side, we enhanced our focus on semi -urban market, which grew faster than urban markets. We incentivized our sales team and channel partners to promote our premium product as well.
We are also entering now to the domestic wiring cable market, driven by a very strong demand

from our channel partners. We had planned investment of ■25 crore s, and we are targeting approximately ■100 crore s in FY '26 itself, and about ■500 crore s of revenue in next 3 years, leveraging our strong presence in our 3 lakh electrical retail outlets across the country, and our robust electrician engagement program conducted quarterly.

Looking ahead, we are targeting double -digit revenue growth for the L ighting & Consumer Durable s in FY '26. We remain confident in our ability to deliver sustainable and profitable growth leveraging our strong brand presence , extensive distribution network and innovative product portfolio.

Now coming to the Steel Pipes segm ent: In Q4 FY '25, our Steel Pipe s and Strip s segment achieved a historical quarter ly sales volume which was about 2.6 0 lakh ton s, representing a robust 9% year -on-year growth in terms of volume. And for the full year '25, our total volume reached to 8.8 la kh ton s, marking the highest annual volume in the company's history. This exceptional performance underscores a strong market demand, particularly in the latter half of the year.

Revenue for Q4 FY '25 stood at ■1,688 crore s, about 1% increase compared to Q 4 FY '24, and a significant 19% increase on quarter -on-quarter basis . For the full year FY '25 , revenue was ■5,749 crore s compared to ■6,242 crore s in FY '24, reflecting an 8% decrease primarily due to lower HR coil price s during the earlier part of the ye ar.

Our EBITDA of Q4 FY '25 reached ■164 crore s in Steel division, showing a substantial 28% year-on-year growth and an impressive 48% increase on a quarter -on-quarter basis. The EBITDA per ton Q4 of FY '25 stood at ■6,708, a 14% improvement compared to ■5,877 per ton in the same quarter last year, and a remarkable 30% increase from ■5,163 in Q3 FY '25.

And for the full year of FY '25, EBITDA was ■446 crore s, a 2% increase over FY '24, with EBITDA per ton at ■5,400 broadly stable compared to FY '24. This remarkable growth in profitability, especially in Q4 was driven by a favorable product mix with higher contribution

from value -added products, operational efficiencies, and increased production volume leading to the lower per unit cost by leveraging fixed expenses.

Value -added products, including API, spiral and galvanizing pipes constitute of about 44% of our total revenue in both Q4 FY '25 and the full fiscal year. This product mix has significantly contribute d to our improved margins.

In the export market, a significant opportunities lies in the U.S. market for the API oil and gas 5CT pipes, which also known as a casing and tubing pipe for oil exploration, where the favorable duty at reduced rate from approxi mately 19% to 2.3% will be applicable on the company. So we are targeting about 20,000 metric ton s of quantity from this year itself.

Our spiral production facility in Gwalior commenced operation in February '25 with a significant ramp -up expected by early June '25. Additionally, production has started to our cold rolling project in Bahadurgarh as well with full ramp -up expected by the end of this month, May '25 itself.

Looking at our future capital expenditure plan, we are outlined ■500 crore s capex plan o ver the next 2 years with approximately ■250 crore s allocated for our upcoming greenfield projects, ■125 crore s to Hindupur facility with commissioning expected by the end of FY '26, and the remaining for the DFT

plant in Gujarat and other strategic initia tives.

Looking ahead for FY '25, we are targeting to cross at least 1.1 million ton s in sales volume. We expect our EBITDA per ton to improve further, targeting ■5,800 to ■6,000 in FY '26.

Now I will request B. B. Singal, Group CFO, to share his thoughts on the numbers.

B. B. Singal : Thank you, respected MD, sir, and very good afternoon to all the participants on the call.

For the quarter, the revenue was ■2,146 crore s as compared to ■2,080 crore s, at a growth of 3% year-on-year basis. EBITDA and PAT stood at ■211 crore s and ■130 crore s as compared to ■173 crore s and ■104 crore s, a growth of 22% and 25% , respectively. For FY '25 , the revenue was ■7,436 crore s as compared to ■7,809 crore s. EBITDA an d PAT stood at ■609 crore s and ■347 crore s as compared to ■586 crore s and ■329 crore s, respectively.

In Lighting & Consumer Durables for the quarter, the revenue stood at ■458 crore s as against ■418 crore s, a growth of 10% year -on-year basis. EBITDA and PBT stood at ■47 crore s and ■37 crore s, a growth of 6% and 3%, respectively. For FY '25, the revenue stood at ■1,690 crore s as against ■1,572 crore s, a growth of 8% year -on-year basis. EBITDA and PBT stood a t ■162 crore s and ■125 crore s, a growth of 8% and 4% , respectively.

In the Steel Pipes and Strip s, during quarter 4 FY '25, the revenue was ■1,688 crore s as compared to ■1,665 crore s. Similarly, EBITDA per metric ton stood at ■6,708 compared to ■5,877, a growth of 14% year -on-year basis. EBITDA and PBT stood at ■164 crore s and ■138 crore s, a growth of 28% and 34% , respectively. For FY '25, the revenue was ■5,749 crore s as compared

to ■6,242 crore s. Similarly, EBITDA per metric ton stood at ■5,392 compared t o ■5,401.
EBITDA and PBT stood at ■446 crore s and ■341 crore s, a growth of 2% and 5% , respectively.

Improved capacity utilization, working capital optimization and cost rationalization enabled us to become a zero debt company, and having cash surplus fund of ■342 crore s in FY '25. As of March 31, 2025, our net working capital cycle was 55 days with a return on capital employed, (ROCE) of 20.96% and a return on equity (ROE) of 14.97%.

With this, I conclude the pres entation, and we can now open the floor for further questions and answers.

Moderator: We have our first question from the line of Jatin Damania from SVAN Investments.

Jatin Damania : Sir, first of all congrats on a good set of numbers, and thank you for inc reasing the dividend payout. Sir, one thing I wanted to understand, now when we are guiding a volume of 1.1 million tons for next year. So, once our Hindupur facility will come in operation, what type of cost saving one can assume on the overall number?

Raju Bista: Okay. So, only one question.

Jatin Damania: Sir, once we commence our Hindupur facility, because last year we indicated that probably in second half of FY26, our Hindupur facility will come in operation with a substantial amount of cost saving that we will get it. So, annualized cost savings once the Hindupur facility comes in operation?

Raju Bista: So, overall, Jatin ji, we have planned an investment of ■500 crores in total. Out of this we are utilizing ■250 crores for capacity enhancement in the existing facilit ies. So, overall, that will help i n improving our EBITDA margins, because our fixed cost is the same . So the fixe d cost will reduced automatically because of that, we will get an advantage. So, in the existing faci lity, we will see an improvement of ■250 per ton to ■300 per ton in terms of numbers.

Jatin Damania: And sir, our capacity there is coming in the capac ity of approximately 1 lakh ton?

Raju Bista: Overall we have a capacity of 1.2 million tons. In the next three years, we wil l have a capacity of almost 2 million tons. So, in that, 50% capacity is in

the existing plant of which 50% capacity will come by the end of this year and balance 50% will come next year. Then after that, the balance will come. So, overall, in Hindupur we will have an annual capacity of 1.5 lakh ton , after this capex.

Jatin Damania: Sir, if you say that the capacity will double, will you give a break -up as to which facility is coming and where are we putting the Greenfields project ?

Raju Bista: In our existing facility of Bahadurgarh , our annual capa city will enhance by approximately 1.36 lakh ton of which 1 lakh ton will be pipe and 36,000 ton will be in cold rolling. This capacity enhancement is coming.

Secondly, in Gwalior facility we have installed a spiral plant, which has already been commissio ned. In that, there is an enhancement of 60,000 ton in annual capacity.

And in Bhuj we are installing a DFT, which is already in process. The plant machinery has already been ordered and imported. So, in that, the capacity will get enhanced by approximate ly 60,000 ton. By the end of this year, th e commercial production will start.

And in Hindupur, we are installing a new DFT and in total we are installing five new plants.

And we are planning for a Greenfie ld project. We are working on two, three locations. We have already purchased additional plants in Hindupur. So, in Bombay and Vizag, our discussion on the Greenfield project is still on.

Jatin Damania: So, approximately, we will have new facility of 2.5 lakh ton and 1.5 lakh in Hindu pur. So, approximately 4 lakh, 4.5 lakh ton capacity will be added?

Raju Bista: The Greenfield project will have a capacity of 3 lakh ton.

Jatin Damania: So, approximately, our capacity will be of 2 million ton by the end of 2027.

Raju Bista: Yes.

Jatin Damania: Sir, we have given a guidance of 1.1 million tons and we are saying that we will export 20,000 ton in the US. So, how confident are we in terms of achieving this number?

Raju Bista: In the existing facility we have around 85 % capacity utilization. In fact, in the new plant s, the spiral plant or the DFT plant is already operating at around 85% capacity utilization .

And what happened in America because the casing and tubing, which is called the 5CT line, which is mainly used for distribution, we had an anti -dumping duty of 19% in that. And originally, we had put a special mill in Bhuj for 5CT purpose only. But by the time the mill got

commission ed, we were brought under anti-dumping. So, we won tha t case and it was in our
favour. In that 2.3% duty will remain in that. So, it is a very big market of several million ton in
terms of number. So, additionally, it will add .
So, overall, the capacity which we are saying of 1.1 million tons can be easily achieved with this
America market. In fact, even in trade and cold rolling, we have increased our capacity by 15%.
So, overall we are expecting growth of around 20% in terms of volume this year.
Jatin Damania: Sir, how much capex will we do next year?
Raju Bista: This year, our capex will be about ■125 to ■150 crores.
Jatin Damania: ■125 crores to ■150 crores . So, it is a big capex for Hindupur.
Raju Bista: Yes. And for Gwalior and Bahadurgarh most of the capex has finished .
Jatin Damania: Sir, if we talk about lighting, you are saying that you will do double digit revenue growth. So,
we can expect a revenue of around ■1,890 crores. But this wiring cable market, how confident
we are that we will do a revenue of ■100 crores in the first year itself and how much profitability
will remain in it?

Raju Bista: ■100 crores is when we are beginning operation s in June. So, ■100 crores revenue is in 8 months.
And this market, there is a plus point with Surya that among our existing electrical outlets , more
than 60% already deal in this product

category. So, for the last 2 years, 3 years there has been a
demand from our channel partners - that we have to deal with other companies and there is a
loss in turnover discount. So, if they can deal with one com pany, they will have an advantage.
This was what Channel Partners told us . And this is a domestic wire. There is no issue of
replacement in this a nd production process is also very easy. We alre ady make plastic and PVC
pipes. Here there is are little issue s on the purchase side. Otherwise, it is very easy. There are
not very technical products. And in this, we have thought of doing ■100 crores this year. And
overall, its market size is bigger than lighting. So, ■500 crores in 3 years is easily achievable.
And in lighting, more or less in the market what you are seeing, the players who are left, there
is no much talk on the matter of price, the re is more emphasis on network is r each. Accordingly,
the lighting industry has stabi lized .
Jatin Damania: So, you mean in the lighting industry...
Raju Bista: In regard to the margin you asked about, it is about 6% of EBITDA, so for the whole year, let's
assume that in lighting, our top line will be around ■1,960 crores . And EBITDA margin would
be around 10.5% , which is around ■185 crores, ■190 crores.
Jatin Damania: Thank you for answering. Sir, last question is a bookkeeping question. We are saying that we
have sold about 8.8 lakh tons of goods this year. But if we do rework calculations, like your
EBITDA of the steel business is ■446 crores in the whole year. And we have made a return of
■5,400 on EBITDA per ton . So, if we do backward calculations, we are getting a volume of
around 8.20 lakh tons. Sir, where is the difference?
Raju Bista: No, it is according to fresh and gross pipe. EBITDA calculation is done on fres h pipe. That's
why.
Jatin Damania: Okay.
Raju Bista: Because there is a rejection also.
Jatin Damania: Okay, sir. Thank you.
Moderator: Thank you. We have our next question from the line of Viraj Mehta from Enigma Capital. Please
go ahead.
Viraj Mehta: Sir, my first question is regarding the volume growth. Earlier this year , you said that we will do
more this year . But we were able to do 8.8 lakh tons, because you said there was a problem on
account of the election. But sir, the volume growth you are tal king about from 8.8 lakhs to 1.1
million tons. Historically, our growth has not been this much. So, from where do you get this
confidence that we will do this much growth?
Raju Bista: No, there are two, three things. We are doing capex for the volume. S econdly, in the export
market two, three more countries have been added. And as I just said, the U .S. market is a very
big market. It has opened up for us this year. And in many places, there was a bottleneck. We

have undertaken de-bottleneck ing in all the un its. And we feel that we will easily do a volume
growth of 20%.
And that improvement has started reflecting from the fourth quarter itself . And we have come
out from the atmosphere of the gener al election - that is also a plus point. And the gover nment

is also doing their projects. B ecause in the last 2 years, there were not many orders for API. It
took some time to get th e spiral facility to come for commissioned . So, the AMRUT scheme and
Har Ghar J al scheme will also be kept running by the government till 2028 . And in next 3 years,
4 years, there will be good growth in API. So, there is a lot of demand in the market. We were a
little selective because of capacity and capex constraints .
Viraj Mehta: You are saying that we had a problem. Our suppl ies wer e a problem. T here was a demand in the
market?
Raju Bista: No, both the things are there. Last year, the demand was also a little less. And in the API segment,
the demand was a little less since 2 years. Demand is also v

isible in the market. And we have
solved our bottleneck s.
Viraj Mehta: Sir, my second question is that in this quarter, how much will be the inventory gain in steel
division ?
Raju Bista: In our case, as I told you earlier, we have a lot of orders on month -on-month basis . So, still, in
this q uarter, we have gained around ■30 crores, ■35 crores on account of HR coil.
Viraj Mehta: So, I am asking that what we are saying ■6,800 of EBITDA per ton of this quarter. So, if I minus
■30 crores, then o ur stable EBITDA per ton is ■5,500, ■5,600 in this quarter. Is that the right
understanding?
Raju Bista: Absolutely correct. There are some factors in every quarter.
Viraj Mehta: No, I understand. We also did the loss in Q2 on account of inventory only, I understand that.
Raju Bista: Overall, to make our profit, if you go to peers , you have to do three times the volume o r 3.5
times the volume. So, there are some factors in every quarter. You are rightly mentioning. And
that is why we are assuming that this year also, our EB ITDA per ton will be around ■5,800
crores to ■6,000. You will see that in the 20% growth that I am talking . about 10 %, 12% growth
will be constituted by those products whose EBITDA per ton is around ■9,000 to ■10,000.
Viraj Mehta: API, basically.
Raju Bista: API and Spiral as well as Exports.
Viraj Mehta: Both. Okay. Sir, my next question is that please correct me if I am wrong. But you said 1.2
million. Sorry. But even if we take 1.1 million and at ■5,800 crores , then our EBITDA will be
about ■630 crores from piping division . And you said we will have EBITDA of ■200 crores
from lighting division . So, should our EBITDA for next year be between ■800 crores and ■850
crores according to you?

Raju Bista: So, the EBITDA for next year will be around ■780 crores to ■800 crores. You can also s ee it
this way. If we look at the FY '24, there was a sharp decline in HR Coil prices in Q2. And I said
in the last two conc alls, we will try to maintain our FY '24 EBITDA of ■580 crores in FY25 too .
Everyone were in doubt as to whether that was possible, because Q2 and Q3 went a little bad.
If Q2 had gone in the same line, then we would have crossed EBITDA of ■700 crores. So, let's
assume that our EBITDA will be of be around ■780 crores to ■800 crores for next year.
Viraj Mehta: Sir, my only question is that we have ■350 crores in cash. And we are talking about an EBITDA
of ■800 crores next year. And our capex is ■250 crores for full year . So, what will you do with
the rest of the cash? Will you increase the dividend significantly ? Because the company d oesn't
even need the cash?
Raju Bista: No, the thing is that we will do the capex and we will give shareholders the rest of the money.
Viraj Mehta: Yes, because this year, we were hoping because we had become debt-free. And I can only request
this, as a minority shareholder that we are debt -free. We have ■350 crores in cash. And the
company will earn an EBITDA of ■800 crores, ■850 crores next yeat . So, our hope is that you
increase the dividend payout. Because if you do a consistent policy on dividend payout, then it
will have a different impact, is what our understanding is. I can only request this.
Raju Bista: We have also told the Board that there should be a 100% growth in dividend payout annually .
And if y ou look at our track record, in the last 5 years, we started at 20% and have reached
170%. So, I am saying this with responsibility - because we have not opened a bank to do FD.
So, we are a pipe manufacturer. That is why, for the past 2 years, we have bee n sitting on cash.
And in the coming time, whatever cash will be left, apart from capex , apart from the emergency
funds, all that will be for our shareholders only. Now, in which form they will give, that time
will tell.
Viraj Mehta: Tha

nk you, sir. And be st of luck.
Moderator: Thank you. We have a next question from the line of Farokh Pandole from Avestha Fund
Management . Please go ahead.
Farokh Pandole: Hi, Raju ji. Congratulations on very strong numbers. We wanted to know one thing that what is

our capacity today and what is the value -add component? And after 2 years, when this capex will be done, what will happen?
Raju Bista: Okay. Thank you very much. So, overall existing capacity is around 1.2 million. And in terms of value -added product, we are c ontinuously doing 44% from the last 2 years. And our capacity is increasing by 7 lakh tons over the next 2 to 2.5 years. In this, about 50% to 60% capex is for value -added product s. So, let's assume that the share of value -added product of total revenue will be between 55% to 60 in the next 3 years.
Farokh Pandole: Great. Thank you, Raju ji. All the best.

Moderator: Thank you. We have our next question from the line of Anand Mundra from Soar Wealth . Please go ahead.
Anand Mundra: Good evening, sir. Congratu lations on good results. Sir, I wanted to understand what will be the impact of tariff on exports?
Raju Bista: As far as tariff war is concerned, and I can't disclose it - but as much as input we have, the impact of the tariff war will be positive on India. And I think in the coming time s, there wil l be some announcements by India, US on trade policy. And this dialogue was going on . However, on account of what happened with Pakistan over the last 10 , 15 days -that has led to some d elay. And secondly, the particular product we deal with, we already had such a big tariff. So, the tariff rate announcement that was made, our product was getting entry in that as well. And now we are seeing that because of the tariff war, entire Europe, Germany and US, in these markets, where we could never deal with lighting products because of China - now even in lighting, there is a growth of 50% in exports. Although it is very nominal . We only make ■40 crores, ■50 crores in a year . But from the likes of GE to other well-known lighting companies, there is a regular inquiry and they are ready to sign the agreement. And we are moving forward . And similarly in steel pipes , we were getting ent ry in that tariff rate as well.
And particularly, if we look at the US market, making section pipes in India and delivering it there is not viable nor it has significant margin . And it also does not suit them , because it takes a long time logistically. So in the US, this API -pipe market is big and has good margins as well. So instead of 19%, we will enjoy the 2.3% rate as per the final hearing . So because of this, a very large market size opens up for us. Now how much we can leverage that is on us , because the dynamics of these products are a little different. So we ha ve to be a little careful. But overall, I believe that for the whole of India, this tariff war will ultimately benefit India across all product categories .
Anand Mundra: So currently, how much tariff is there in the API? 2.3%?
Raju Bista: Yes, it us 2.3% o n us because earlier it was 19% . So we fought against it. Ultimately, after 2 years of hearing, we got 2.3% , because our past tra ck record proves that we do not sell cheap. So, it was equal for everyone. So we tasted victory in the same .
Anand Mundra: So sir, post this new tariff, whatever the agreement happens, between India and US, if the tariff is 10%, will we be able to pass on that tariff ?
Raju Bista: No, in general, it will not be applicable on this.
Anand Mundra: It will not be applicable on your pro duct, sir?
Raju Bista: It will be common. It is apart from this. Whatever it is, it will be common for everyone. It will only be 2.3% for us.
Anand Mundra: No, no, sir. If India and America's trade agreement happens and has 10% tar

iff on product s, so
it will be 10% on your products too, right?

Raju Bista: Suppose 10% tariff comes, it will be for everyone . But in this product category, when 10% comes, it will still be 2.3% for us. And for the rest, the one who did not fight, they will have to bear 19%. Whe n 10% comes, they will have to pay 19%.
Anand Mundra: Okay. Sir, how many companies have this 2.3% special rate?
Raju Bista: I can't say about the rest, but there are a lot of companies. I won't name them on this call, but there are a lot of companies.
Anand Mundra: Okay, understood. Sir, one more question on the lighting business. You had said that you are going to start a pump. What is the update in that business, sir?
Raju Bista: We started it. We started it late this year. In spite of that, we have done sales of ■8 crores. In the next 3 years, we plan to have a 5% market share. This year we will do ■25 crores, because it is only a domestic pump. It is a small product. We will sell ■55 crores in the next 2 years. We will

have a 5% market share. This year we have sales of ■8 crores.
Anand Mundra: Okay. And sir, in wires and cables, the ones we are launching, will they be domestic wires?
Raju Bista: It is a domestic wire. In cable business, deals happen on project basis. Once the size of the domestic wire segment will be ■400 crores. ■500 crores, then we will look at that cable business. Generally, that is what we do. We started Luminar, Today we have a sale of ■500 crores. We started fan appliances. We now have a business of ■400 crores. Whatever we do, it should be a sizable business. After that only, we think of the next step. Now we will deal only with domestic wire. It has a market of ■10,000 cror es.
Anand Mundra: Will the manufacturing be outsourced?
Raju Bista: No. We will do 100% in -house manufacturing. There is a margin of only 6%, 7%. If we outsource it, there will be no viability. We are using imported technology. We will benchmark our produc t against all the available products and deliver the best.
Anand Mundra: How much capex have you allocated for this?
Raju Bista: ■25 crores. We have already invested ■15 crores and for capacity enhancement, we need ■10 crores more. There is not much capex. In our existing plant facility, we had sheds where we have already started the work.
Anand Mundra: Sir I have joined the call late, I have one last question that how much inventory gain was there in this quarter from steel products?
Raju Bista: ■30 crores we have made inventory gains in this quarter.
Anand Mundra: There is a lot of hope for a demerger. I don't know when it will happen. Do you have any thoughts on that?

Raju Bista: I always say that both businesses have become sizable now. I think this is t he right time. We are doing our part and pursuing the board. I think the board will take decisions at the right time. We strongly recommend that it is every shareholder's wish to unlock value, we have demerge. When we compare with our peers and other compa nies, we feel that our value is locked and we think demerger is the only way to unlock it.
Anand Mundra: Thanks a lot.
Raju Bista: Hopefully. I will try to give you a good news soon.
Anand Mundra: Thank you, sir. Thanks a lot.
Moderator: Thank you. Our ne xt question is from the line of Adityapal from MSA. Please go ahead.
Adityapal: Sir, many congratulations for such a good performance. One question is that you have given guidance that you will do 1.06 million tons in FY26, but you have done monthly volume of 1 lakh tons in March itself. So, I just want to know, if you are giving very conservative guidance because you have the capacity and there is a new capacity which has come in Gwalior - because of which the company should be able to do 11 lakh tons to 1 1.5 lakh tons.
Raj

u Bista: Sir, I am a member of parliament, as you know. You are a shareholder. If I tell you more, and then if it comes less - you will become an SP . So, I believe that you should keep a conservative number only. Ultimately, it has to com e to the books of accounts . But still, what happens is that it is not the same environment all the time. See, Pakistan came suddenly. Nobody had any expectation. So in such a big country, something or the other keeps on happening. But keeping the trend of the market and our capability in mind, I know that today we can sell 1.25 lakh tons every month. But if I sell extra 25,000 tons in which my cost hardly gets recovered, then what is the use of increasing unnecessary increasing the business activity? We wa nt work to be done in which margins are also made. So, according to that, I feel that 1.1 million is a bit conservative and we will achieve it. And around ■780 crores to ■800 crores of EBITDA which can also be called conservative and we will achieve it.
Adityapal: Okay, sir. There is a question on the bookkeeping. In FY25, what is our gross margin in steel and pipe segment and what is in lighting and consumer?
Raju Bista: For margins?
Adityapal: Gross margins, not EBITDA margin?
Raju Bista: Gross margin ove rall how much it has come.
Adityapal: Overall sir is 24.2%?
Raju Bista: Yes it is 24.2%. And EBITDA margin, is for steel pipe division and lighting division together. But steel pipe has very less gross margin. If we compare it with peers, you will discover that inEBITDA margin also we have made an improvement.
Adityapal: Sir, I want to ask what is your gross margin in both?

Raju Bista: Gross margin?
Adityapal: Yes, sir.
Raju Bista: In lighting division, gross margin is 38%. So, it remains in the range of 38% to 40%. And in steel division, it is 21%.
Adityapal: Okay, sir. Sir, this year, what was our power and fuel expenses?
Raju Bista: Power and fuel expenses?
Adityapal: Yes, sir.
Raju Bista: One minute.
Adityapal: Yes, sir.
Raju Bista: ■128 crores.
Adityapal: Okay, sir. And below the gross profit, expenses have increased drastically. It has increased very steeply.
Raju Bista: This is manpower cost and substantially it has not increased much. ■750 crores Other expenses has increased to ■786 crores. Against ■752 crores, it has increased to ■786 crores . It has not increased substantially. And our policy is such, that whenever we give increment, we get it written by the plant and marketing that it is increasing. You have to tell us the cost reduction plan. And depending on the quantum of cost reduction plan, we give the same increment.
Adityapal: Okay, sir. In our working capital days, if I look at the company level, not talking about divisions, if I look at the company level, our DSO has increased by 6 da ys. Is there some strategy, that in order to sell more goods, we are giving more credit?
Raju Bista: Overall, our net working capital had decreased from 65 days to 55 days. And the inventory is 38 days against 48 days. The debtor is 78 days against 73 days . The creditor were at 22 days, which are now at 21 days.
Adityapal: Okay, sir.
Raju Bista: The debtor days increase in the month of March. And I think the bank was on holiday for last 1 - 2 days of March. So, overall, in the working capital, the inventory & debtor has improved.
Adityapal: Understood. Okay, sir. Thank you so much and wishing you all the very best.
Moderator: Thank you. We have our next question from the line of Mohd Sheikh Sahil from IDBI Capital Markets. Please go ahead.
Mohd Sheikh Sahil: Congratulations on a good set of numbers. Sir, you have a capex plan to reach 2 million tons over the next 2 years. So, sir, what will be its revenue potential?

Raju Bista: Just a minute. Additional?

Mohd Sheikh Sahil: Yes, sir, additional.
Raju Bista: Are you saying additional or total?
Mohd Sheikh Sahil: Sir, additional.
Raju Bista: It will be around ■3,500 crores to ■4,000 crores.
Mohd Sheikh Sahil: Okay, sir. And in this, sir, your...
Raju Bista: In this, 50%, 60% will be high -value product. So, in terms of revenue, it will be around ■3500 crores to ■4000 crores.
Mohd Sheikh Sahil: And, sir, in this, how will be the overall EBITDA per ton movement in the next 2 years? What is the target, sir?
Raju Bista: If you see, gradually we have kept on increasing from ■4000 to reach ■5400 nowAnnually around ■200 to ■400 per ton improvement is seen in the market. And, also as stability comes around the steel pipe. Earlier, people used to deal with Patra and all those kind of products, which are gradually getting out of the market. As people are shifting towards standard products, and gradually, because of this too we are witnessing improvement in the margins. But, year -by- year, it also depends on which product category you have dealt in. But, still annually, you see an improvement of ■200, ■300 per ton.
Mohd Sheikh Sahil: Sir, is there any specific product category which we will keep in more focus, where we deal with a higher margin? Is there any such plan?
Raju Bista: The spare capacity of Galvanized is still around 25% to 30%. That is our ongoing process. Apart from that, our large -diameter pipe, which is used in infrastructure, which is used in big projects, whether it is PSU or airport, I mean, the pipe which we make with DFT, large -diameter project pipe, Galvanized pipe, API pipe for export, and apart from all these, the Spiral pipes - these are our 4, 5 products which are high -value added, high -value margin products, and our focus is also there.
And, in this, not ev eryone can compete. There are only 5, 6 selected players who deal in it. And I feel that if this tariff war with China goes a little here and there, then after that, I mean, it could

become a good story for India.
Mohd Sheikh Sahil: Sir, lastly, what is yo ur outlook on demand in structural pipes in the domestic market?
Raju Bista: In structural pipes, the annual growth is around 20%. And in Galvanized, it 4%, 5% and depends a lot on monsoon. In export, there was a slight sludge over the last 2 years, but I feel that in the last 3, 4 months, there has been an increase in the order bank. And API is such a segment, in which there is still a lot of work to be done in oil and gas sector in India. So, I feel that the next 3 years will be good. So, overall, if we look at the volume outlook for overall pipe business, there will be a growth of around 12% to 15%.

Mohd Sheikh Sahil: Okay, sir. That's it from my side. Thank you very much.
Raju Bista: Thank you.
Moderator: Thank you. Ladies and gentlemen, this would be the last question for today. And I now hand the contents over to the management for closing comments.
B.B Singal: Thank you, everyone, for joining us today on this earnings call. We appreciate your interest in Surya Roshni Limited. I sincerely, once again, thank our MDs and CEOs and other Executives for sparing their valuable time and addressing queries raised by participants who attended the call.
For any further queries, if any, contact SGA, our Investor Relations Advisor. Thanks and good evening.
Modera tor: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
Mumbai -400 051
NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter ended 30th June, 2025
Dear Sir,
This is with reference to the Company intimation dated 8th August, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the earning conference call (Group meet) to discuss the Unaudited financial results and operational performance for the quarter ended 30th June, 2025 scheduled for Wednesday , 13th August, 2025 at 4:30 P.M (1ST).
Further to the audio recording filed with the stock exchanges already on 13th August, 2025, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMPANY SECRETARY
Enclosed: as above.
• Regd. Office : Prakash Nagar, Sankhol, Bahadurgarh, Haryana -124507

"Surya Roshni L imited
Q1 FY '2 6 Earnings Conference Call"
August 13, 202 5
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th August 2025 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. B. B. SINGAL – CFO AND CS
MR. GAURAV JAIN – CEO, STEEL OPERATIONS
MR. VASUM ITRA PANDEY – CEO, LIGHTING &
CONSUMER DURABLES
MR. NARESH SINGHAL – ED, STEEL OPERATION

Moderator: Ladies and gentlemen, good day and welcome to Surya Roshni Limited Q1 FY '26 earnings conference call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on th e date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity fo r you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand t he conference over to Mr. Raju Bista, Managing Director of Surya Roshni Limited. Thank you and over to you, sir.
Raju Bista: Thank you very much, and good evening, everyone. On behalf of Surya Roshni Limited, once again, I extend a very warm welcome to eve ryone for joining us today in the call. On this call, we are joined by Mr. B. B. Singal, CFO and Company Secretary; Mr. Gaurav Jain, who is newly appointed as a CEO of Steel Business; Mr. Vasumitra Pandey, newly -appointed CEO for Lighting & Consumer Durables; Mr. Naresh Singhal, Executive Director, Steel Division; and SGA our Investor Relations Advisor. I hope everyone had an opportunity to go through the financial results of today.
Moving on to th e overall financial performance highlights. We are pleased to share the consolidated performance of Surya Roshni Limited for the first quarter of financial year '26. In Q1 FY '26, our consolidated revenues stood at INR1,605 crores, down 15% year -on-year, while EBITDA came in at INR83 crores, representing a 48% decline over last year for the same quarter. Our EBITDA margin was at 5.14% compared to 8.37% in Q1 FY '25, reflecting the impact of softer commodity prices, muted execution of certain government p rojects and seasonal demand factors linked to the early onset of monsoon.
In Steel Division, company has implemented the SAP HANA software with effect from 1st of April 2025. However, there were initial disruptions in SAP implementation, integration proc ess and other teethin g troubles in April and a few days in May also, which resulted the sale loss to the tune of 25,000 to 30,000 metric tons in Q1 FY '26, which approximately value about INR180 crores to INR200 crores.
The Steel Pipe and & Strips segment saw headwinds from delayed fund disbursion in domestic project market and raw material price volatility. But export volumes grew by 23% year -on-year, led by strong demand from the Middle East sector.
The Lighting & Consumer Dur ables business delivered a modest revenue increase supported by healthy double -digit volume growth in LED lamps, batten and water heater for the category, despite pricing pressures in certain categories.

While our top line and margins were under pressure this quarter, our diversified business mix, operational disciplines and healthy order book provide a solid foundation for recovery in the coming quarters. We have continued to invest in strategic initiatives, including capacity expansion, product innovatio n and brand building.
Now we are a zero debt company with a net cash surplus of INR331 crores as of June 30, 2025.
Coming to Lighting & Consumer Durables ,
In Q1 FY '26, our Lighting & Consumer Durables segment posted revenue of INR397 crores, up by 3% year-on-year basis, driven by strong volume growth, despite industry headwinds.
EBITDA stood at INR31 crores versus INR35 crores last year, with margin at 7.8%, compared to 9%, a slight decline due to price erosion in consumer lighting, early monsoon led dema

nd
volatility and moderated government procurement in professional lighting products. Margins are expected to recover, supported by festiv e demands, premium product offering s and upcoming launches.
In Professional Lighting, we maintain a n order book of about INR100 crores. Our pipeline of two, three new categories and a diversified product portfolio should help meet FY '26 target, despite slower government spending.
Our INR25 crore house domestic wire cable facility in Gwalior plant will launch on the 18th of August this month, targeting about INR150 crores in the first year and scaling to about INR500 crores in the next 2 to 3 years period.

For FY '26, we maintain in Lighting Division, our double -digit growth guidance . With capacity expansion, new product s and alignment with the government initiatives , we are well positioned to grow both domestically and internationally even in lighting also, focusing on premium product categor ies, operationa l efficiencies an d strong channel engagement.

On to the Steel Pipe and Strips Division ,

In the Q1 FY '26, our Steel Pipe and Strips segment operated in a challenging environment marked by subdued domestic demand, raw material pricing volatility and the early onset of monsoon. While revenue stood at INR1,207 crores, down 20% year -on-year, while EBITDA declined to INR52 crores fr om INR24 crores (to be read as INR124 crores) . EBITDA per ton was INR2,922 per ton, lower by 52% year -on-year basis, mainly due to lower high -margin product contribution, inventory losses from steel price segment and muted project demand. Overall, volume fell 13% year -on-year, with domestic products segments volume down nearly about 30% due to slower government project execution, funding constraints, and softer API and Spiral Pipe demand and the monsoon disruption . Cautious buying in trade and actual user segments , amid the expectations of further steel price softening , also hold on demand. In contrast, export rose by about 23% year -on-year despite geopolitical challenges driven by strong Middle East shipment, including hollow section pipe aligned with our overseas growth strategy.

We closed the quarter with a healthy INR750 crore to INR800 crore order book across oil and gas, water, and even in export also, including large dia -coated pipe orders for water infrastructure. Execution of pending orders is expected between July to September, aiding Q2 and Q3 recovery.

Operationally, our cold rolling mill was commissioned in June this year. Although its contribution to Q1 FY '26 was minimal to about 6,000 tons during the month, but we'll expand our product range and margin s as volumes ramp up.

Capacity utilization for overall Steel segment was 68% in Q1 and should improve in the coming quarters. Our expansion program is on track. The 60,000 tons capacity of DFT Forming Technology mill at Anjar Bhuj will commission by March/April '26.

I am pleased to announce that we have appointed Mr. Surya Kumar Yadav, T20 captain of Indian cricket team, as a brand ambassador , a strong name synerg y that align s with our brand -building push. We'll continue to invest in publicity and marketing to strengthen our domestic and export presence.

Looking ahead, we expect steel prices to remain broadly stable or see a slight uptick with no major downside. GI orders should improve from quarter 2 as government projects pick up. With a strong order book, g rowing export s, capacity enhancement s and brand investment s, we are confident that our performance will improve from quarter 2 onwards.

This was from my side. Now I will request our CFO, Mr. B. B. Singal, to share his thoughts on the results.

B. B. Singal: Thank you, respected MD sir and a very good evening to all the participants on the call. For the quarter, the revenue was INR1,605 crores, as compared to INR1,893 crore

s. EBITDA and PAT stood at INR83 crores and INR34 crores, as compared to INR159 crores and INR92 crores, respectively.

In Lighting and Consumer Durables, for the quarter the revenue stood at INR397 crores as against INR385 crores, a growth of 3% year -on-year basis. EBITDA and PBT stood at INR31 crores and INR21 crores, respectively.

In the Steel Pipes & CR Strip s, during Q1 FY '26, the revenue was INR1,207 crores as compared to INR1,509 crores. Similarly, EBITDA per metric ton stood at INR2,922 compared to INR6,065. EBITDA and PBT stood at INR52 crores and INR24 crores.

Improved capacity utilization, working capital optimization and cost rationalization enabled us to become a zero debt company and having cash surplus fund of INR331 crores as of 30th June '25.

With this, I conclude the presentation, and we can now open th e floor for further questions and answers.

Modera tor: Thank you, sir. The first question is from the line of Mr. Viraj from Enigma Investment. Please go ahead.

Viraj: Sir, my first question is, in your May 14th presentation, you had mentioned that we will grow by

more than 20% in the full year. You had also mentioned that our EBITDA looks to be around 5,500. And this is when half the quarter was gone of last quarter. And we did not talk about any disruption from SAP implementation or lower sale s coming due to government tightening the budgets.
It's just really contradictory when half the quarter is gone and the tone is very different from what the results you have reported. Can you just elaborate how did things change so dramatically, or we just missed completely the slowdown?
Raju Bista: Yes, I agree with you. The result is not according to the forecast we had given you . But purely as I told you, because in the lighting division, w e did not face any issues in SAP implementation. And our go live was from 1st April in steel division. And in that, because in the pipe division, particularly a lot of products are sold in meters and then some in kilograms. So, due to this, we had some issues in integration . So, in that, almost our entire month was washed out. And that was main ly a issue. And because of that, within the per ton EBITDA, around INR2,000 rupees per ton fixed cost has increased . And we had inventory losses of around INR1,000 per ton. Like this, per ton EBITDA, in comparison with INR6,000 and INR 5,500 we came close to INR3,000. But I would like to tell you that as I had forecasted earlier, because in Q2 also, almost half of our time has passed. And the kind of performance that is going on after May, so we are doing the same growth that we had told you in the overall year. And in Q2, you will see a very substantial growth in terms of volume and in terms of EBITDA. And I believe that in the entire year, as we had given a guidance of 11 lakh tons, so I am reducing the same slightly down to around 10 lakh 50 thousand tons - precisely around that, we will do volume in the Steel Division. And the EBITDA for the entire year, which I had told around INR5,500 rupees per ton, that will remain the same. So, one was due to SAP ERP, the second was due to monsoon, which was a little early. And when the monsoon becomes early, then there is a little destocking in the dealer network and because of that, the orders do not flow. The pre -monsoon was also good, the overall monsoon is also good. The end result will come that there will be more demand creation in agriculture and there will be good demand generated in domestic trade in GI pipe.
So, you be assured that our overall commitment will remain as it is -particularly because we do not have much in our hands , because we have been working on ERP (SAP) for two years. And I would also like to tell you that in the steel pipe segment, we will be the first company in India to have integrated so much and implemented ERP

(SAP) 100% end -to-end. That is Surya Roshni only.
Viraj: Thank you for your answer. Sir, I will ask again that you are saying now that you will turn 10,50,000 ton in steel and EBITDA of INR5,500 per ton . So, you are still talking about INR600 crore EBITDA, whereas in your first quarter, the EBITDA is in front of you, which means less

than INR50 crores. So, in such a scenario, can you tell me 100% that your volume growth in Q2 is 20 %-25% and 30% y -on-y growth is of that kind?
Raju Bista: Look, if I want to tell you like this, as a forecast, within quarter two, there will be growth in our revenue of 35 %-38%.
Viraj: 35%-38%.
Raju Bista: 35-38%. You note this down and ask again in the next call. And overall, what you are telling, because we also calculate and say before answering you . Otherwise, you can see the track record of the past five years. Overall, the commitment s we have made ha ve been fulfilled . And in the whole year , the growth of more than 20% will be of Surya Roshni . And as we have told you , EBITDA of the whole year will be around INR590-INR600 crores .
Viraj: Right. Sir, the second question is about lighting. In lighting, sir, we thought that the price erosion was completed last year, but now you are talking about more price erosion, due to which the EBITDA of lighting has also declined. Would you like to shed some light on that? How long will this go on?
Raju Bista: No, look, you are asking the right thing, but in lighting, major price erosion is not that . But we have been seeing price erosion quarter on quarter, whether it is in the bul b segment or in the batten segment. So, due to this, we are changing to the product category and moving to another product category simultaneously. And in this quarter, particularly in the lighting division, our B2B business has grown a little , we had sold more but there was a lower margin in one the project s.
Due to this, its impact is visible, but in the whole year, even within the lighting division, you will have EBITDA of around INR180-INR190 crores for the whole year, as it is, which we had made a commitment earlier. But the good thing is that in the lighti ng division, a lot of companies were formed in the last five years, some were old, many were closed, could not run . Despite are all kinds of problems in the market , we have maintained ourselves, we have never allowed our

cost to increase, and we have launched products at regular intervals, and we have also changed our segment, which was originally called Surya Roshni as a company of bulb tube, we have changed ourselves to a great extent .

And our dependency is not only on bul b and tube, in fact, the sale of conventional lighting has almost stopped . Now we are providing full range . And as I said earlier, the domestic wire segment also there was a delay of two months in launching, because of the late arrival of plant and machinery . So its product ion has also started, and on 18th September (to be read as August) , we are launching from the south, so its revenue of around INR150 crores will also be added this year.

Viraj: Sir, if I see your last year's Q2 number, you had a revenue of INR1,530 crores, if we take a growth of 35 %-40%, then you are saying that you will do a revenue of INR2,100 crores, and if you have INR5,500, what are you saying sir?

Raju Bista: We will do INR2,130 crores in revenue. Within the steel division, there will be a revenue of around INR1,650 crores, and in lighting, there will be a revenue of around INR470 crores - INR480 crores.

Viraj: And sir, the second question was that if we have to do INR5,500 per ton on EBITDA for the full year, then in the remaining three quarters, we will have to do INR6,500 per ton on EBITDA ?

Raju Bista: In quarter 2, we will have to do INR5,500, and i

n quarter 3 and 4, we will have to do INR6,000 each.

Viraj: So you will do INR5,500 in the next quarter, are you confident about this?

Raju Bista: Yes, you will see INR5,500 only in quarter 2, and in the balance quarter, INR6,000 each. And the order book of INR1,000 Crore that I was telling you about product s with a high margin, which will be present for a month in Q2 and will have an impact in Q3 as well.

Viraj: Right sir. And sir, the last question was the same. Sir, our AGM is coming up . Sir, this was the request , that we have been talking about demerger for 4 -5 years as a minority investor. But sir, we have not been able to create value for the shareholder, although the company does well. But sir, if you can please keep a proposal for the demerger, then it will be very helpful.

Raju Bista: No, I am aware of your feelings, and I respect your feelings, and we will strongly take your stand forward . You keep s haring your thoughts , and I have complete faith that the board will take a decision on this soon. And I would also like to say that whatever profit comes in a year, we have decided that half of it will go to the shareholder, and half of it will go in capex and working capital.

So, whatever we earn, because the company has a cash surplus of INR350 crores as on today as well. So, whatever it is, it is the shareholder's money, whether it is a majority shareholder as a promoter or a mi nority individual shareholder.

Viraj: Sir, if we do PAT of INR450 crores to INR500 crores in FY26, if everythi ng else you said is correct, INR400 crores, INR 450 crores whatever it is, we will give a dividend of INR200 crores. Do you agree with th is?

Raju Bista: Yes, I think so. We gave INR 120 crores this year. Why do you go for the next year? We will give it this year.

Viraj: Sir, it was INR 120 crores, but you are talking about a drastic improvement. Okay, sir, so you said in in Q1, s ir, we will ask you again in Q4?

Raju Bista: Sir, we started with 20%, we have reached 170% dividend.

Viraj: No, sir, this is about the payout. It is about the percentage dividend you are giving for what you are earning?

Raju Bista: Sir, we gave INR 120 crores last year. You don’t assume for next year . We will give you this year itself INR200 crores.

Viraj: Yes it is about this year, sir. I am tal king about FY26, not about FY27?

Raju Bista: Absolutely.

Viraj: Thank you. Best of luck.

Moderator: Than k you. The next question is from the line of Mr. Jatin from S van Investment. Please go ahead.

Jatin: Thank you for the opportunity. Sir, a lot of questions have been answered, but I wanted clarity. Like you said in your opening remarks that the GI contribu tion was less. Can you tell me how much GI contribution was in the total product mix in this quarter as compared to last year and

previous quarter?
Raju Bista: One minute. It was around 10% less. Instead of 50,000 tons , it was 40,000 tons. It was 10%, 12% less in GI. Overall, if you look at it segment -wise, in FY26, the contribution of the trade business in steel segment is about 55% . In the trade segment only, the majority of our galvanizing pipe is exported. It constitutes about 13% of ex ports . So, in this quarter category, the contribution is about 68%.
Jatin: Like you said, it was 10% l ess. In fact, the EBITDA per ton that we have shown in 2 ,900 is the same as that of the normal black pipe. So, does this mean that we did not get any benefit of API, Spiral and GI in this quarter?
Raju Bista: No. If you look a t it overall, the EBITDA per ton was less as compared to last year. It is in all product categories. For example, if I tell you that the contribution of the round pipe was reduced from 4 ,000 to 1800. I am talking about the black round . And the contribution in the galvanizing pipe was more than 7 ,000 plus EBITDA. That

contribution left in that was 4,500. We lost INR2,500. So, the impact of INR2,500 to INR 3,000 per ton was mainly due to the reduction in volume , as our fixed cost increased and the inventory loss around INR 1000 was also added to it.
Jatin: Okay. Sir, secondly, according t o your guidance, we will see 35%, 38% growth in revenue in Q2. So, does this mean that our volume has been so strong in the month of July? Can you give some gui dance about the volume in July a nd category wise?
Raju Bista: No. In Q2 o ur volume has been good in July as well as in August. The volume is good in all product categories. As I told you, you w ill see an overall growth of 35%, 38% as a whole. In fact, within the steel division, the growth will be more than 40% in Q2.
Jatin: Sir, I am talking accordin g to that. As we have increased the volume of 180 in the first quarter. If we take volume growth of 35% in Q2?
Raju Bista: The quantity of 30,000 tons was less and we lost our reven ue of INR190 crores to INR 200 crores. Otherwise, you see, if you add it up , the results look good.
Jatin: But sir, as we are maintaining the guidance of INR10.5 lakhs. So, in Q2, our growth rate will be around 40% in volume . Even if I maintain the pricing. So, the guidance of 40% growth which

we have never done historically in the second half. And we are assuming 40% growth in the second half. Is it possible or will it happen?
Raju Bista: No. We have done it historically. In fact, there is more volume growth in the second half. There is more demand. So, you b e rest assured that in Q2, we w ill have a dispatch of around 2.5 lakh tons a s compar ed to 1.9 lakh tons in Q1 a nd in the previous year, I think it was only 1.74 lakh tons. It was less.
Jatin: In the previous year, it was 1.65 lakh tons in the second quarte r?
Raju Bista: In Q3 & Q4, we will do around 6 lak h plus few thousand tons. Our capacity of 60,000 tons of cold-rolling has started in June. So, that will also be added on. Spiral mill has started in Gwalior . That will also be added on . And the volume is increasing in DFT also. And there is good demand in export too. In Q1, we did growth of around 2 3%. And we have the order book of INR1,000 crores of wat er segment and API export.
Jatin: Sir, as we told you, the volume of 180 - 190. When we did the earnings call in the first half of May, we had given guidance of INR10.5 crores t hat time, we were not able to see the one off that hit will come in the firs t quarter. So, what is the scenario that we are seeing it that we are able to say with confidence that our Q2 , second half will be much stronger. How can we say with confidence th at in Q2 will not face too much heat ?
Raju Bista: No. As I said earlier, Q1 was unexpected. Beca use of ERP, it was hit., But we had moved forward so much, so we did not want to linger on it further. So, it was a management call. We did it strictly. So, now coming to Q2. Looking at the overall order book, the new capacity commission and the overall environment of the domestic sector because of monsoon and agriculture, we have full hope that we will achieve the com mitment that we are forecasting. Sir, in reality once we sit in Q2 then only you will believe, but what is the fact I am telling you.
Jatin: That is right, sir. As you are saying INR600 crores, the trend of Q1 and as you are guiding for INR600 crores, something which is looking much more on the aggressive sid e, then what if not happen?
Raju Bista: We are going strongly. We have also brought the brand ambassador. We are also running new ad films. Whatever should be done for bu siness growth, we are doing it, b ut some things are not in our hands. We di d not know that Trump will come with 50% tariff.
Jatin: So, we will wait for the Q2 and all the best. Thank you.
Moderator: Thank you. The next question

is from the line of Mr. Aditya Pal from MSA Capital Partners.
Please go ahead.
Aditya Pal: Hi. Thank you so much for the opportunity. Sir, I have got answers to many questions , but there is a strategic question. When we look at your competition and the biggest competitor, the biggest steel pipe manufacturer in India it has grown by 10% or so in Y-o-Y.

So, my question is that how, I mean, there will be a difference in products, but they are able to grow. I mean, the steel pipe industry is also growing a nd we did not grow. So it means , the market share has lost. So , are we doing any such exercise or where we are thinking?
Raju Bista: Sir, on any competitor , I will not be able to comment.
Aditya Pal: Sir, I am not requesting for commentary on the competitor. I am saying that if he is able to grow, whose scale is so bi g. I mean, the industry is also growing. So, my only question is that we have thought that we should talk to our distributors and tell them to pitch our products further o r we will have to add new distributors. Do you have such a thought process?
Raju Bista: No, on a regular basis this is our ongoing process. All of India is mapped and wherever we do not have a presence, there we increase our presence. We are also bringing plan ts for different locations. But what is it, I will tell you. I cannot say who is doing what. But I can say that we have aligned ourselves according to the demand and growth of India.
And if you look at the competition, particularly i f you go into the s ame segment, then see their per ton EBITDA, leave a particular quarter because of E RP. Otherwise, you will see that in comparison to that, you will get the better per metric ton EBITDA of Surya Roshni.
Aditya Pal: I totally agree with you. But my question is that, when you look at one quarter Surya Roshni in standalone in the industry, not just that single competitor, but the other companies as well, there is a lot of growth in them as well?
Raju Bista: Because it was a one -time hit in April. There was an impact of 2 5,000 to 30 ,000 tons. That is basically it. If you add it up, everything will be fine.
Aditya Pal: Okay , so 2,00,000 tons comes in?
Raju Bista: Yes, 2,17,000 to 2,20,000 tons it should come.
Aditya Pal: Okay, so that means a loss of 40,000 tons to 45,000 tons?
Raju Bista: 30,000 tons. Now it is 1,90,000, righ t?
Aditya Pal: No, I derived it out from EBITDA per ton. So it comes to 1,70,000. So let's see the next quarter. Best of luck.
Raju Bista: And we will honor our core commitment for the year.
Aditya Pal: No, sir. I just want to say that you have good products. You are also getting the capacity online. In the last four years, five years, you will see that there was no capacity, but your EBITDA has grown. Your EBITDA per ton is the best in the indust ry. So I just want to say that is it a distribution problem, because we have products, we have a brand, we are a very old company. Now the capacity is also online. So there is something where a problem can be solved.
Raju Bista: No, sir. No, you are right. Sir, at many places we get a very good premium compared to our competitors. But there are some segments where we do not go. In which the recovery of the cost

can be very difficult. So we do not deal in that product category. So many small -scale companies work in this segme nt. It does not suit us. So we get involved in products in which there is value addition, there is a little premium, there is a little margin, there is a little export, there is a little API. We put more efforts in these product category. Particularly, those who make a section, square, rectangle from a patra, in that, the cost is also recovered with great difficu lty.
Aditya Pal: Right, sir. Right.
Raju Bista: Because we

have to comply with everything. So there is a lot of growth in such segments , when there is a lot of variation gap in steel.
Aditya Pal: Correct. Okay, sir. See you next quarter. Wishing you all the very best.
Raju Bista: Whatever expansion we have done, we have done in the same product category, in which there is a little value addition, there is a little margin, there is a little premium product category.
Aditya Pal: Right. Sir, you are saying that you are confident of 10.5 lakhs. I mean, next this year's FY ‘26, 10.5 lakhs, do you think it is locked in?
Raju Bista: Right. This time, we will do more than 2,40,000. And in the next two quarters, we will do around 6,00,000 t ons. So we will reach around 10.5 lakh tons .
Aditya Pal: Okay. Sir, I have only one request from you. In the Q3, your investor presentation will come. In that, if you can give us a good capacity mapping, before the FY ‘26 report, that will be very

helpful for us.
Raju Bista: Okay, sir. We will also give you on the roadmap for the next five years.
Aditya Pal: Perfect, sir. Thank you so much. That will be very, very helpful.
Raju Bista: The new addition of the plant, we are enhancing the capacity regiona lly. There has been a big fluctuation freight in the steel , because the competition is heavy. If the freight is more than INR1,000, INR1,200, then there is pressure in the margin. Keeping that in mind, where our average freight is INR1,800 to INR2,000, we are trying to reduce that.
Aditya Pal: Okay. Sir, all the very best. Thank you for letting me off the...
Raju Bista: You motivate us.
Aditya Pal: Thank you, sir.
Moderator: Thank you. The next question is from the line of Mr. Keshav Garg. But before we take that question, participants, if you wish to ask a question, you may press star and one. The next question is from the line of Mr. Keshav Garg from Counter PMS. Please go ahead, sir.
Keshav Garg: Sir, even I had a question on the line of the previous speaker. Sir, if we see, like our competitors, Shree Hari Om Pipe, their volume has increased by 35%. Similarly, everyone's EBITDA per ton

is stable. So, sir, it is not possible that only we have incurred inventory loss. And, sir, even if we add t he sale of INR200 crores, then too there is still marginal de -growth.
So, sir, we have still underperformed as compared to the industry. So, sir, even last year, I remember that we had started with INR700 crores EBITDA last year, in FY '25, our expectation was there in the beginning. But, sir, our Q2 was very bad. So, due to this, we fell behind.
And, sir, last year in last quarter you had given volume guidance of 11 lakhs t ons. Sir, earlier, last year you first told us that 12 lakhs tons will happen this year. Then in last quarter you lowered it to 11 lakhs tons and now it has become 10.5 lakh tons. So, sir, I mean, this disappointment is happening again and again . Sir, there is a slippage in guidance.
So, and sir, there is a lot of slowdown in the economy. GST collection is also in the negative. If you see, year -to-date FY '26, so, sir, seeing all this and the kind of capacity that is coming on stream, so, sir, do you think that we will be able to achieve what you are planning to achieve?
Raju Bista: One thing is that some numbers we could not meet as given in the guidance - the big reason for that in our case is that some projects that were on our pipeline have been delayed because of various reasons, including in Bhuj where API mill had to come or the spiral mill was also delayed for about two months. And in Bahadurgar h, where we have invested INR50 crores in cold rolling, there was also some delay and some technical issues came up which were not in our hands.
Secondly, the company you mentioned, you gave an example of one or two companies. See, most of the companies ar e of mixed type in which there

is domestic trade, there is government,
API, there is almost flat or de-growth everywhere. Government spending has not increased much.
And the company 's name which you have particularly taken, as far as I know, most of them are in the trade segment and in that also, in the patra segment, when it is cheap, it gets sold more. There is no need for a brand required in that. In all that, the goods are sold just above the pricing. So, as such, I don't think it is an apple -to-apple comparison . And in our case, as I said, because of ERP , we had a one one -time hit and in the coming time, we will try to meet that, according to our guidance.
Keshav Garg: Sir, in the steel pipe segment, which companies do you consider to be your closest competitors?
Raju Bista: No. There are. There is APL, there is Jindal and there is Hi -Tech. Like, there are three, four companies, but in all of them, there is no apple -to-apple comparison . We are in a different category as compared to the rest. Around 55% of our sales come from trade and our export is around 15% and the rest comes from the API and high -value added product cat egory. So, as such, having substantial presence in all three categories, there are hardl y few companies.
Keshav Garg: Right, sir.
Raju Bista: You can compare us to APL Apollo.

Keshav Garg: Right, sir. Sir, in the end, there are some things that are not in our hands like steel prices, the demand in the economy and how much supply is coming to the industry. But, sir, you have the demerger in your hands and if there is progress in that, it will be good for everyone. So, sir, please think about it.

Raju Bista: CFO is also listening. Our whole team is listening. I also believe that both the companies have an EBITDA of INR600 crores and other us moving towards an EBITDA of INR190 crores, INR200 crores. So, EBITDA of INR800 crores and cash surplus and the brand value is also there, 2 lakhs, 2.5 lakhs shops we have in country, I don't think there can be a better time than this. But, look, there will be even a better time than this. I think this delay is better for the shareholder .
Keshav Garg: Yes, sir. Thank you very much and best of luck.
Raju Bista: Yes.
Moderator: Thank you. The next question is from the line of Mr. Neil from Equitree Capital. Please go ahead.
Neil: Hello?
Moderator: Yes, sir. Please go ahead.
Neil: Sir, am I audible?
Raju Bista: Yes. Yes.
Neil: Many of my questions have been answered. I had a small question. Sir, in the last four years, the EBITDA per ton for each product category, whether it is GI pipe or API or black pipe, I can see a lot of variation in it. I can understand if it is seen on a blend ed basis, but there is a lot of variation in each category. From INR4,600 , sometimes it is INR7,700, sometimes below that, INR5,500. Why is ther e so much variation?
Raju Bista: We are a converter . We have to buy 80% to 85% raw material steel, which is not in our hands. That is why there is a lot of volatility. You cannot predict it much. That is why there is so much fluctuation. If you look at the price of HR coil , sometimes it goes up to INR70, so metimes it goes up to INR45, sometimes it goes up to INR50.
Right now it is around INR49, INR48. So, it is majorly because of that. But if you look at our overall cost, the cost of production, we have maintained it to some extent , which is in our hand s. We can control the efficiency. So, mainly because of that reason only, there is so much variation.
Neil: Okay. Okay, sir. Thank you.
Moderator: Thank you. Participants, if you wish to ask a question, you may press star and one on your touchtone telephone. The next question is from the line of Mr. Raj Mehta from Raj Mehta Associates. Please go ahead.

Raj Mehta: Sir, I wanted to know tha

t you are saying that you are able to achieve , but is this guidance which you are saying – is it on a conservative basis or are you are a bit aggressive. This was my first question. And second, in case like in quarter 1 , the government spending was less and monsoon came early and because of that there were some delays.
So, if in quarter 2 and quarter 3, the government's spending does not pick up, then on what basis or where can our growth stop? What are the risks associated in external sectors ? It will be better if you can guide us on that.
Raju Bista: Thank you very much. It is not that I am very aggressive. I had tried to stay in the middle and I have given guidance according to what we can actually see. And when we give you guidance , then it becomes a commitment for us. And se cond, as far as the roadmap that we are talking or about guidance that we are talking, that basically on the basis of growth in exports that wi ll come and the current order book that we have in our hands. Based on that, we have given you these guidance numbers and I think there should not be any big problem in achieving that. And I don't see fall in steel prices on immediate basis for at least next two quarters.
Raj Mehta: The order book that you have received is US-based or non -US based? Because in many places , because of tariff uncertainty , people are not closing the orders. Otherwise, after giving the orders, those who have given advances are cancelling it , because everyone needs clarit y.
Raju Bista : There is not much clarity globally. There is more uncertainty because particularly in the 5CT product category, we had around 2.3% duty in CBD and on the rest it was 20%, 22%, 25%. Anyway, it is still with us. But apart from that, 50% steel, almost all countries have the same tariff from America . So even now, particularly in that product category , we have lower CBD, we still see the gains to remain . But section 232 or whatever , where the tariff is 50%, because of that there is lot more uncertainty.
So we don't expect aggressive order inquiry getting generated from Europe or other countries . Although Middle East looks ok. So we didn't have too much exposure to USA, but last year we got a lot of relief in one product, because of that, we had hope s that we would do well in USA. I do not see that happening immediately. However , in Q1, we had volumes sales of 2,000 tons to USA, but after that all this crisis started.
Now inquir ies is also not there . So this is it, but India is not an export -based country. That is fine, we have a trade deficit of around 3 lakh crores with USA . Our domestic consumption is

very strong. Our country is not export -based. And in the long term, I don’t think India will be badly affected b y this .
Immediately, yes, some issues can come , because in pharmaceuticals too there is talk of 75% additional by Mr. Trump . So let’s see how long it goes. Hopefully, some developments are also happening. Mr. Trump is meeting Russia too . Russian delegation is coming to India too . Our Prime Minister is also going. Trade dialogue is still on. So this is a situation of wait and watch.
Raj Mehta : So sir, don't you think that quarter 1 growth in export , was predominantly to build up the inventory, because chances of tariff coming were high and thus it couldn’t be a sustainable demand?

Raju Bista : There is no issue of tariff in that. In fact, there is no such thing in the Middle East . There is good growth in the Middle East and Europe and Australia , Most of the exports have happened with non-US countries and the growth is from there only.
Raj Mehta : Sir, I had asked you regarding domestic market. The spending by Government has slowed down since l ast 3-4 quarters. Government spending is not inc reasing aggressively. In this quarter too, we didn’t get the kick

in growth due to low Government spending. We are also increasing our capacities. In case we are not able to optimally utilize our capacity, then we will not be able to break even. So, are yo u not able to see any domestic related risks in future?
Raju Bista : Okay. No, there is no particular risk. But we have some API orders in the pipeline and in the tender stage. And there is demand in the water pipe segment , where we are also selling spiral and small -size pipes. In India, it is true that there has been a delay in spending or the disbursement of orders. But I don't think it will have much of an impact. Because looking at our current order book, I think we will meet out our targets.
Raj Mehta Sir, have you ever experienced that when you get such an order book, the chances of it being cancelled, how much percentage of the order book do you think can get cancelled?
Raju Bista: I became an MD in 2012. How many years has it been? It's been 13 years. To date, no order has been cancelled in my knowledge. And as far as exports are concern ed, API tenders etc. there are so many large companies and PSUs involved . We also honor the order an d they too do the same . So, I don't think there will be a situation where the tender will be cancelled. At least in our case, there is no such situation.
Raj Mehta: Sir, I have one last question. Your competitor, APL Apollo , had a good volume growth in this quarter. And they have also expanded their capacity in Dubai. So, if we are also supplying in the Middle East, can APL Apollo slowly capture our market share in exports , by selling at a lower price? Or you don't see much impact of it yet. Are we seeing any slowdown in the growth that we had expected from the Middle East ?.
Raju Bista: Firstly, we don't have much interest in the local market of the Middle East. Because we have to pay a clean credit for 6 months. Secondly, we have a n export -based unit in Gujarat . The cost involved in manufacturing anywhere in UAE and send it to Dubai is not worthy . So, it won't have any impact – whether we are present or not
And even today, whatever all the Indian companies export in the ERW segment combined , Surya Roshni does more than that. Because we have such a vast experience, strong relationship, and we have maintained that quality till date. And purely in many countries, Surya Roshn i is the dominating player.
Raj Mehta: Okay. And sir, can you implement some learnings from your competitors in your company? Seeing the pace they have grown in the last 4 years, and their learning of the industry, do you feel that we should implement those things and build our growth aggressively?
Raju Bista: I completely agree with you. And every company has its own USPs. But a few things def initely apply in our case as well. For example, our unit is present in the North, in Gujarat, and in

Bangalore where w e just established a unit . Apart from that, we don't have a presence in the whole East, Central India, or Western Bombay, Maharashtra, where we don’t have presence and where we are trying to set up .
And apart from that, even if we can HR coil in a small capacity, then it will be very beneficial and fruitful for us. So we are exploring that as well. But nothing has been discussed in the board yet. We are working on it at our level. And the person who learns, moves forward.
Raj Mehta: Okay, sir. All the best. And I hope that you stick to the guidance you have given, and the market apprec iates it.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I would now like to hand the conference over to Mr. B. B. Singal for closing comments.
B. B. Singal: Thank you everyone for joining us today on this year's earning call. We appreciate your interest in Sur ya Roshni Limited. I sincerely once again thank our MD sir and the

CEOs for sparing their
valuable time in addressing queries raised by participan ts who attended the call. For any further queries, if any, contact SGA, our Investor Relations Advisor. Thank you. Good evening once again.
Management: Thank you, Jay. Thank you very much.
Moderator: Thank you, sir. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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Scrip Code: 500336 November 18, 2025
The Manager (Listing Department)
The National stock Exchange of India Ltd
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter ended
30th September, 2025
Dear Sir,
This is with reference to the Company intimation dated 3rd November, 2025 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 regarding the earning conference call (Group meet) to discuss the Unaudited financial results and operational performance for the quarter ended 30th September, 2025 scheduled for Tuesday, 11th November, 2025 at 4:00 P.M (1ST).
Further to the audio recording filed with the stock exchanges already on 11th November, 2025, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSING AL
CFO & COMP ANY SECRET ARY
Enclosed: as above
•Regd. Office: Prakash Nagar, Sankhol, Bahadurgarh, Haryana -124507

"Surya Roshni Limited
Q2 FY'26 Earnings Conference Call"

November 11, 2025

E&OE - This transcript is edited for factual erro rs. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th November 2025 will prevail.

M
ANAGEMENT : M R. RAJU BISTA – MANAGING DIRECTOR
MR. VINAY SURYA – MANAGING DIRECTOR
MR. B. B SINGHAL – CFO AND CS
MR. GAURAV JAIN – CEO, STEEL OPERATIONS
MR. VASUMITRA PANDEY – CEO, LIGHTING &
CONSUMER DURABLES
MR. NARESH SINGHAL – ED, STEEL OPERATIONS

Moderator: Ladies and gentlemen, good day and welcome to Surya Roshni Limited Q2 FY'26 Earnings Conference Call.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in li sten-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pres sing "*" then "0" on your touch-tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Raju Bista – Managing Director of Surya Roshni Limited.
Please go ahead.
Raju Bista: Thank you very much. Good evening, everyone. On behalf of Surya Roshni Limited, I extend a very warm welcome to everyone for joining us today.
On this call, we are joined by my colleague Mr. Vinay Surya ji – MD, Surya Roshni Limited and Mr. B. B Singhal – CFO and Company Secretary, Mr. Gaurav Jain – CEO of Steel Operations, Mr. Vasumitra Pandey – CEO for Lighting and Consumer Durable Segment, also Mr. Naresh Singhal, who is our Executive Director for Steel Operations and SGA – our Investor Relations Advisor.
Moving on to the overall financial performance of the company:
In Q2 FY'26, our consolidated revenue grew 21% year-on-year to INR 1,845 crores, while EBITDA rose to 69% to INR 141 crores, with margin improving to 7.6%. PAT is more than doubled, rising 117% year-on-year to INR 74 crores , driven mainly by better realization, product mix and operating leverage.
Our Steel Pipe and Strip business reported about 24% revenue growth year-on-year, led by strong exports and higher share of value-added products. Exports business went up by 45%, helping us achieve the highest ever Q2 volumes in the company's history. EBITDA more than doubled to INR 102 crores and profitability per ton improved by 73% year-on-year to INR 5,013 per ton.
The Lighting and Consumer Durable business continued to deliver steady growth with revenue up by 10% year-on-year to INR 434 crores, supported by festive demand and double-digit volume growth in LED lamps, batten and street light segments. Margin expanded to about 9% from 7.7% in Q1, reflecting better mix efficiency gains and cost control.

We are a zero-debt company with a net cash surplu s of INR 250 crores (read Rs. 246 Crores) as of September 30, 2025. The Board of Directors has also declared an interim dividend of INR 2.5 per share, reflecting our continued commitment to shareholder value creation.
Coming to Lighting and Consumer Durable in Q1 FY'26:
Our Lighting and Consumer Durable segment delivered a healthy performance, growing 10% year-on-year, supported by improved festive season demand and healthy contribution for both lighting and durable segment.
EBITDA margin expanded sharply to 9% from 7.7% in Q1, reflecting better operating leverage, superior product mix and disciplined cost manage ment despite continued pricing pressure in few LED categories.
The Professional Lighting business also maintained its strong momentum, growing by 25% in Q2 FY'26, mainly driven by healthy demand acros s solar, facade, industrial and outdoor lighting segments. The order book remained robust at over INR 150 crores for lighting, providing good visibility for the coming quarter as well.
We remain confident of achieving our full year's guidance for the Lighting and Consumer Durable business - a top-line in the range of INR 1,900 crores and EBITDA of INR 180 crores.
Looking ahead, our focus will remain on driving innovation, expanding our product portfolio, deepening on our distri

bution and exploring new avenues of growth in adjacent areas such as renewable energy.
Moving on to the Steel Pipe and Strip segment.
In Q2 FY'26 our Steel Pipe and Strip segment delivered a strong performance, marked by a healthy rebound in volumes and a significant improvement in profitability, despite overall challenging operating environment.
Revenue for the quarter grew by 24% year-on-year to INR 1,411 crores, mainly driven by a 26% increase in overall volumes and a richer product mix. EBITDA for the quarter more than doubled year-on-year to about INR 102 crores, with margins expanding sharply on the back of better

realization, disciplined pricing and improved operating leverage. On a per ton basis, EBITDA stood at INR 5,013, representing a 73% year-on-year increase and a 72% improvement by Q1.
Despite some pressure from falling steel price, in July our inventory was efficiently managed
and the notional inventory loss of INR 500 per ton was largely offset through higher operating efficiencies and realization.
We achieved the highest ever second quarter volumes in the company's history of Steel segment.
From an operational standpoint, capacity utilization stood at 80% during the quarter.

Our export performance was particularly strong, recording a 45% growth in volume and a 29%
increase in value terms year-on-year basis.
Within product categories, API Pipes grew by nearly 86% year-on-year, supported by robust
demand from mainly private oil and gas players, while Cold Rolling Strips segment continued to perform well following the commissioning of new Bahadurgarh mill. However, demand from
GI pipes, which largely catered to the agriculture segment, was impacted by the extended
monsoon and delays in government fund releases, particularly to state agencies, which slowed
rural and infrastructure project execution.
We also maintained a healthy book of around INR 750 crores, comprising order from oil and
gas segment, water and export se gment, providing strong visibilit y for the second half of the
year. With a solid order book, operational efficiencies and new capacities coming on stream, we
are well positioned to sustain performance improvement in coming months as well. Accordingly, we have prudently recalibrated our full year volume guidance to around 10 lakh tons, reflecting
a balanced outlook grounded in realistic near-terms demand trends and the visibility of strong
execution in the second half.
Now, I would like to request our CFO – Mr. B. B Singhal to share his thoughts on some financial
numbers. Thank you.
B. B Singhal: Thank you respected MD sir and a very good afternoon to all the participants on the call.
In the quarter, the revenue was INR 1,845 crores as compared to INR 1,529 crores, a growth of
21% year-on-year basis. EBITDA and PAT stood at INR 141 crores and INR 74 crores as
compared to INR 83 crores and INR 34 crores, a growth of 69% and 117% year-on-year basis, respectively. For, the first half FY’26, the re venue was INR 3,450 crores as compared to INR
3,422 crores. EBITDA and PAT stood at INR 223 crores and INR 108 crores as compared to
INR 242 crores and INR 127 crores, respectively.
In Lighting and Consumer Durability, for the quarter, the revenue stood at INR 434 crores as
against INR 395 crores, a growth of 10% year-on-year basis. EBITDA and PBT stood at INR
39 crores and INR 29 crores, a growth of 10% and 11% year-on-year basis, respectively. For H1 FY’26, the revenue stood at INR 832 crores as against INR 781 crores, a growth of 7% year-on-
year basis. EBITDA and PBT stood at INR 70 cror es and INR 51 crores as compared to INR 70
crores and INR 52 crores, respectively.
In the Steel, Pipes and Strips, during Q2 FY’26, the revenue was INR 1,411 crores as compared
to INR 1,135 crores, a growth of 24% year-on-year basis. Similarly, EBITDA/MT stood at INR
5013 as compared to INR 2901, a growth of 73% year

-on-year basis. EBITDA and PBT stood at INR 102 crores and INR 70 crores as against INR 48 crores and INR 20 crores, a growth of
113% and 258% year-on-year basis, respectively. For H1 FY’26, the revenue was INR 2,618 crores as compared to INR 2,643 crores. Si milarly, EBITDA/MT stood at INR 4,037 as

compared to INR 4,653. EBITDA and PBT stood at INR 154 crores and INR 95 crores as against
INR 172 crores and INR 117 crores, respectively.
Improved capacity utilization, working capital optimization and cost ra tionalization enabled us
to become a zero-debt company and having a cash surplus fund of INR 246 crores in H1 FY’26. In Q2 FY’26, our net working capital cycle was 63 days with a ROCE of 16.46% and ROE of
11.90%.
With this, I conclude the presentation, and we can now open the floor for further questions and
answers. Thank you.
Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the
line of Viraj Mehta from Enigma Investment Partners, LLP. Please go ahead.
Viraj Mehta: Hello. Thank you, Mr. Raju. Sir, my first question is that we have done roughly 3.8 lakh tons in
the first half. And you are saying that we will do 1 million tons. So, you are saying that we will
do 6.2 lakh tons in Q3 and Q4.
Raju Bista: We have done a gross of 4.1 lakh tons in Q1 and Q2. In Q3, there will be 2.6 lakh tons and in
Q4, there will be 3 lakh tons. So , there will be a volume of 9.8 lakh tons for the entire year.

Originally, we had thought of 10.5 lakh tons. So, we are revising it by 60,000-ton, 70,000-ton capacity. We have covered some of the sh ortfalls in Q1, but some are still left.
Viraj Mehta: Sir, the second question is that you mentioned in the export that we had a very good growth. So, the order that you got from the US, did you get any repeat orders in that? Is the opportunity of the US on a sustainable basis or was it one-off? Can you tell us about this?
Raju Bista: See, the US was one-off and the major volume that we have got this time is from the European countries and Canada. So, a lot of people like and recognize our brand in European countries, in Canada and in the Middle East,. . So, I think there will be a good growth in the export in the coming time as well. As far as the USA is concerned, everything is in confusion for now, and enquiries are coming continuously. As such we have send 2,000 ton or 2,500 ton of products. There is nothing fruitful as of now. We are seeing what can be done.
Viraj Mehta: That is right. Sir, my last two questions are fr om a strategic point of view. We have been saying for the past two years that we will do 1.1 million tons. We think that we will not be able to do it in the middle of year. We have been trying to r each 1 million tons for the past two years, but we are not able to do it. So, where is the shortfall in our organization? We want to do it, we are doing CAPEX, increasing distribution but we are not able to grow. We are stuck somewhere.
Raju Bista: Viraj ji, I agree with you. We always take a big target, and we should think big. But there are many factors. For example, in this quarter, we were hoping that instead of 24% growth in steel we achieved, there will be doing 35% growth. But suddenly, the shortfall in GST mainly on cement. We did not see much of a difference. Now, whatever sticks to the pipe and steel is

cement. So, the buying for one month has stopped. That was one reason. The second big reason was that due to the extended monsoon, there is growth in the overall value-addition product, export, and etcetera. But this time, the agriculture segment did not run as well as it should have. And the third reason is that from the beginning of this year, we have seen that compared to what we did last year in spiral and oil and gas, the order bank is a little less at the execution level

, at
the government level and at PSU level. But somehow, we are covering it with exports and the domestic market. So, if and but, something or the other happens. But overall, we can maintain the momentum of 8%, 10% growth of the industry.
And second half, our H2 is always better than H1 in Lighting as well as Steel Pipe. And according to that, we have also set some revised targets. And if we can continue to do what we do routinely. In the meantime, many th ings keep running like this. I mean, if some things come , then one quarter becomes enough for us to drive a lot of improvements. So, that is all.
Viraj Mehta: Thank you. Thank you so much, sir. Secondly, sir, if we look at lighting, you are saying INR 1,900 crores and the EBITDA of INR 180 crores. But sir, our first half EBITDA is only INR 70 crores. So, can we do EBITDA of INR 110 crores in the second half? I mean, where is this confidence coming from especially for the margin in lighting.
Raju Bista: The confidence in lighting always comes from the festival season. It comes from Diwali, Christmas and March closing. Because April, May, June, July, August till 15th September it is the rainy season and there are long days in which people use less lighting. And gradually, as the winter season comes, towards the festival season, the overall sales increase. So, always, revenue from 35%, 40%, to the balance of 60%, 65% revenue comes in the second half only. So, similarly, you will see in this in lighting, like EBITDA was 7.7% in Q1, I mean, it improved to 9%. And the second big thing was that the wire business that we have launched, we have done in three regions all India, and we are getting full production from this month. So, we are doing business of INR 150 crores, INR 200 crores in this year, in these six months. So, there will be a big contribution from that too. And the plan that we had made in lighting, EBITDA of around INR 180 crores, INR 185 crores, the target as it is, has been set.
Viraj Mehta: Great, sir. The last question was on steel piping. Like, our big vision is to reach the capacity of two million tons, production and sales of 1.5 million tons, 1.75 million tons. By when will you reach the manufacturing capacity of 2 million tons? And secondly, do you think that there will be faster growth next year or not? Which factors will it depend on?
Raju Bista: No, I think that the growth, from H2 to the coming time, I thin k the way the government has cut down the GST and has extended the housing for all scheme and Har Ghar Jal scheme. So, overall cash availability will be more in the hands of the general public. So, I think, down the line, everyone will get its advantage. And we will get to see that advantage in lighting and steel piping too. And as you said, we have already reached the capacity of 13.5 lakh tons. This year, the investment of INR 35 crores in Bahadurgarh plan t in cold rolling, has increased the capacity by 36,000 tons in a year. In Gwalior, the investment of INR 50 crores in the spiral plant has

increased the capacity by 60,000 tons in a year. So, our capacity has increased by 90, 000 tons to 100,000 tons.
Apart from that, in all the three plants – in Bhuj the investment of INR 50 crore is ongoing, which will increase the capacity by 60,000 tons. A ne w mill at Bahadurgarh, our old factory, the capacity is increasing by 36,000 tons. In Gwalior a DFT line is coming, in that too the capacity is increasing by 36,000 tons. So, the capacity will increase by 1.25 million tons by the end of the financial year, or by Q1 next year.
And there are some other green field projects, in which work is being done on Hindupur and at another location. They are already at the stage of plant & machinery finalisation. In that, the capacity will increase from 15 lakh tons to 20 lakh tons. So in that, the capacity will increase by 5 lakh tons. But this green field will

have a capaci ty of about 25% in the next year. And in the next 1.5 years, the full capacity will be installed. So, in that sense, by increasing the capacity, we will get the advantage of a regional location, where there is a low margin, but there is growth.
Mainly, our target is to cater to section pipe s and all these segments, along with our value addition products. So, our plan is that in the next 1.5 to 2 years, to increase the capacity by 1.95 million tons.
Viraj Mehta: Right. And sir, in the second half, if we have 200,000
Moderator: Sorry to interrupt sir. But should you have any follow-up questions, kindly rejoin the queue.
Viraj Mehta: Just one last question. Sir, if we are planning to invest INR 5000 in 2 lakhs as EBITDA
Moderator: I am sorry to interrupt again, sir, but please join the queue. Thank you. The next question is from the line of Rachna from Simpl. Please go ahead.
Rachna: Good evening, sir. Sir, with the BE transition in the fan industry, which is coming in Jan'26, so how are we planning to take price increases in fans category? And given that the current competitive intensity is high in fans, so how do you see the inventory levels shaping up across channels?
Raju Bista: So, as per BE and according to the star ratings, we have upgraded all our products. And the inventory, because we mainly outsource around 100%, so we carry around 15 days of inventory. So there will not be a lot of inventory issues because of that. We have been working on that for the past six months.
Rachna: Okay, sir. And what are your thoughts on price hikes?
Raju Bista: On a regular basis, as the input cost increases, we automatically pass on the price to the market. So overall, not only fans and appliances, but in the overall consumer segment, whatever it is, it gets passed on. And because of BE, the 10%, 12% price increase that will come, has already been passed on to the market.

Rachna: Okay.
Raju Bista: Because it happens across the industry, it does not just impact only us, so it gets accepted easily.
Rachna: Okay, sir. Sir, you said 10%, 12% price hike will happen. Have you taken it or are you going to take it?
Raju Bista: No, no. It will be applicable from January 1, but it has already been announced in the market.
Rachna: Okay, fine. Our second question is that in our investor PPT, we have written
Moderator: Sorry to interrupt.
Rachna: Hello. Yes, this is my second question. Please let me speak. This is my second question.
Raju Bista: Yes, yes, go ahead.
Rachna: Thank you. In our investor PPT, in Lighting and Consumer Durables, we have an ecosystem already in place to capture fast-growing markets and categories. Can you give us a little more color on which channels we are going to use for growth, which key markets will be there, and which product categories will be there? And we have also written that there was good growth in mixer grinders this time. So, as a category, how have mixer grinders performed for us? And what are our expectations for the next year?
Raju Bista: See, overall, there has been a bumper sale in Diwali all over the country and because of that, in consumer products as well we saw significant growth. particularly, as far as appliances division are concerned, whether it is in the category of home appliances, of which mixer grinders are part of to all other things.
So, in the lighting business, it demands continuous innovation. So, on a regular basis, innovation, R&D continues on routine basis. Accordingly, we keep working on new categories and developments for our products. So, across the table, whether it is the lighting business, whether it is the fan business, whether it is the appliances business, because it has become a very competitive business. So, that is why, from ap pearance to packaging, and the value addition within the product – for that , in the R&D center the engineering team

of 25-30 people continue
to work day and night. So, according to the requirements, we keep making changes in our
product category in the market.
Rachna: Okay, sir. But as you said in the market, which channel do we target first? Is it GT or online?
Raju Bista: Our focus is that we have more than two lakh shopkeepers across the country who deal with this
product category. And 80% of them are electrical outlets. So, our focus in the product category
is also to give such products in the market, which will automatically be accepted in this channel.
Or our channel partners who are already dealing in this product category. For example, earlier

we did not give fans, there was no wire, there were no appliances. Then there is such a product
category which has very good growth in it, which we call professional luminaire. Earlier, there
used to be a bulb tube light inside the house, so today there is a trend to install luminaire. Earlier, lights worth INR 1000, INR 2,000 were installed in the house but now lights worth INR 10,000
to INR 15,000 on an average are installed in the hosue. So, according to that, we focus on that product category and those channels.
And as far as all India basis is concerned, there are our 2 lakh to 2.5 lakh shopkeepers, and our
outlets. So, throughout the country, we keep checking where our visibility and presence are
strong and which areas are still grey, where we can increase our presence or where the activity
of competition is less, so on a regular basis, we keep doing it together with our channel partners.
Moderator: Thank you. The next question is from the line of Andrey Purushottam from Cogito Advisors.
Please go ahead.
Andrey Purushottam: Yes. I think you have given guidance for your lighting division in terms of revenue and EBITDA.
Could you give the same for the steel business as well for the total this year?
Raju Bista: In lighting, we have a revised target of around INR 180 cores, INR 185 crores, in which Q2 was
of INR 39 crores, INR 40 crores. So, within Q3, with launching of wire product category, it will
be around INR 55 crores. And in Q4, with 11% EBITDA percentage, it will be around INR 60 crores. So, the lighting will be around INR 180 crores, INR 185 crores.
Similarly, within the steel division, our EBIT DA per ton was around IN R 5,013 this time. And
in Q3, hopefully, it will be around INR 5,600 to INR 5,700 per ton. And on the minimum side,
in Q4, the overall sales growth is good. Activity is more. We are assuming that EBITDA per ton will be around INR 5,800, INR 5,900. So, by this, EBITDA of steel division should be around
INR 430 crores, INR 435 crores. So, overall, I thin k, revised number for EBITDA will be around
INR 620 crores, INR 625 crores for the whole year. We have downsized from the original target of INR 700 crores.
Andrey Purushottam: And sir, in the performance in exports, is there any contribution of tariffs? To save tariffs, to
save the deadline,
Raju Bista: You have mentioned it very rightly. There is some impact of it in Europe as well.
Andrey Purushottam: So, are the numbers of exports sustainable? What do you think?
Raju Bista: It is sustainable because last year, the export was a little less. If we look at it accordingly, in the
market, the overall demand, whether it is from Australia, New Zealand or Canada, and in the
Middle East, we keep doing it on a regular basis. And as far as we can see, we have the orderbook of 30,000 ton, INR 40,000 ton in our hands.

Moderator: Thank you. The next question is from the line of Kiran D from TableTree Capital. Please go
ahead.
Kiran D: Thank you, sir, for the opportunity. Sir, I have a question on EBITDA per ton. Maybe I will
speak numbers in English. So, essentially, sir, in our investor presentation, we say that last year EBITDA per ton was about INR 5,400 overal

l. And GI pipe did about INR 6,500 EBITDA per
ton. API spiral pipes of exports did INR 9,300 EBITDA per ton. And black pipe did INR 4,800
EBITDA per ton. So, what we have done in H1, because Agri is down, exports is up, I was
assuming because exports is up and exports is INR 9,300 EBITDA per ton, our EBITDA will be
substantially higher. So, how does this product mix work, sir? And is it like, should we look at
the overall year basis or should we look at H1 and H2 in two halves?
Raju Bista: No, I could not understand your specific question.
Kiran D: Sir, the question is that GI pipe, API spiral pi pe and black pipe EBITDA per ton is INR 6,000,
INR 9,000 and black pipe is INR 5,000 respectively. So, if I add up H1 and H2, the answer you gave to the previous
participant that it will be IN R 5,800 EBITDA per ton. So if I add it up, it
will be around INR 4,500 EBITDA per ton. Right? And 10 lakh tons, so therefore INR 450
crores EBITDA. So, that is the calculation that you just said. So, I am not able to understand that
our GI pipes EBITDA per ton is very high, API spiral pipe is high, much more than
Raju Bista: Yes, I understood. Overall, you are right. If there is GI pipe in the export, then obviously

EBITDA per ton should be high. Similarly, as I told you, due to the extended monsoon, the GI sale, the domestic trade route, there was pressure in it. So, due to the product exchange, the substantial improvement in EBITDA per ton has come down. I fully agree with you.

Kiran D: Got it. Sir, the second question is, in terms of steel outlook, the price fell in July, there was some inventory loss, we used operating leverage to reduce the loss This changes every month. But according to you, in the next six to eight months, how do you see Steel Pipes, do you see Steel Pipes correcting from here on, or do you see Steel Pipes going up from here? Because I am just worried about inventory losses.

Raju Bista: So, it is very difficult to predict in steel for a very long time. But I think there is not much scope left till March. And this price range, I have seen from last month, is around INR 46,000 to INR 46,500. And I think this is the bottom price for at least another five, six months, I think till March. If something substantial ha ppens in the world, there is no guarantee. But still, in the case of Surya Roshni, we manage it very well, because we do not have to work with steel at a very high level. And whatever steel is left, according to our order book, we do our positioning.

And the third thing is, because we are a converter, we do not make HR Coil, we do not to bear any substantial loss in steel. So, there is a little more role of management and planning in this.

So, somehow, because we have four or five buyers, we manage it efficiently, that in which month, who should we buy from, and what advantage can we get from the price. And otherwise,

you will see, like per ton EBITDA Loss, we are assuming INR 500, otherwise, if this was the case, then it was very subs tantially high. So, we were able to manage it. So, generally, this is the trend.

Moderator: Thank you. The next question is from the line of Aditya Pal, from MSA Capital Partners. Please go ahead.

Aditya Pal: Hi. Thank you so much. Sir, am I audible?

Raju Bista: Yes, sir. Very clear.

Aditya Pal: Sir, first of all, congratulations. We missed a little, as we said in the last quarter, INR 2,140 crores. We missed this quarter a little, but good performance overall, sir. It felt good to see that we have made a comeback. Sir, my question is broadly on the Steel Pipe segment. So, when I see now, roughly we do volume of, from 60,000 per month to 67,000 per month, 68,000 per month, and our capacity, which you told Mr. Viraj earlier, that INR 13.5 lakhs, so that means, roughly, we can do 3,30,000 per ton. So, how do I see this now? How do we go about from here? Because you have reduced the

guidance. But you have the capacity to sell it. So, can you give me a demand perspective? What are we not doing correctly to fill the capacity?

Raju Bista: See, this segment of high growth is mainly in the section pipe. And equally, if you have presence in all India, then you get an advantage of that. Ot herwise, in Maharashtra, and in the rest of the West, if I sell goods in the state, and I do not get realisation, and my cost does not come out, then we do not do that in business, although we get volume in that. So, the capacity is almost at the level of 80%. And that is optimal in terms of steel because there are a lot of variations in that. But, we have added one lakh ton this year and in the next six, nine months, our capacity will improve by 1 lakh ton, 1.25 lakh ton. So, according to that, we are catering that segment.

And that quantity, the installed capacity will increase by 50%. But if we look at it in the long term, I think we will have almost 50% capacity w ithin the next 2-3 years. You will see that within the sale realization as well.

Aditya Pal: Sir, what I do not understand is that, roughly, you see, from the last six, eight quarters, our volume is flat, not even six, eight, but 12-15 quarters. So, what I want to understand from you is that, in the previous time, we did not have the capacity. Now, we are bringing the capacity. And a big capacity will come in FY'26 and FY'27, IN R 500 crores greenfield which we are doing.

Raju Bista: So, till now, we have been de-bottling a little. According to that, our capacity is increasing and our volume is also increasing. We will change the product mix in that also. You will get to see that reflection in the per ton EBITDA, in case of Surya Roshni Limited. And substantial quantity will improve according to that. And thirdly, 75% is a little less, but if we see around 80%, is the capacity utilization of the overall industry also in this range. Around 80% is the capacity utilization in the Steel Pipe segment.

Moderator: Thank you. The next question is from the line of Raj Mehta from Raj Mehta & Associates. Please go ahead.

Raj Mehta: Thank you, sir. Sir, the growth outlook that you have given, in that, our competitors also had the highest volume. So, we are also growing at the same pace as the peers and competitors but our

ROE and ROC is very less because our value-added products mix is not that much. So, as you
said in the presentation that in your higher value product, you have got a good order book. So,
going forward, if our volume growth is not happening from such a long time, so can we focus
on the margin and increase our value-added products and can we do more PAT growth in the future? That was my first question.
Raju Bista: It is good that you have asked. We are improving ROC and ROE on a regular basis and there
has been a substantial improvemen t in this quarter as well. As fa r as the value-added product is
concerned, we are around 44%, 45%. We are alread y on the same line. And as the install capacity
is increasing, our value-added pr oduct will be around 55%, 60%. An d as you said, there is a lot
of volume in steel, but our focus in on the product mix that is to have more value-added product
with more margins. So, we are balancing everythi ng. But, it is okay to be a little aggressive.
There is an opportunity in the market and after the capacity is installed, we will go a little
aggressively towards volume.
Raj Mehta: Okay, because our competitors are focusing more on value-a dded and margins rather than
volume.
Raju Bista: Earlier, we used to say this, but now they are saying our language. So, it is good.
Raj Mehta: Okay, and sir, my second question was that we are net-debt-free now and our CAPEX is almost
complete and we already have surplus cash in our books. So, going forward, other than
dividends, how are you going to utilize it? Because if it is in our

books and we are not able to invest it, for some reason, even after installing capacity, we have to go aggressive and focus on growth. So, on that basis, the funds that will come to us in the future in cash flow, how are we
going to reinvest the funds in or what is the roadmap? It is better if you can tell us.
Raju Bista: These days, there is a government formula, DBT, di rect benefit transfer. As far as Surya Roshni's
case is concerned, we have PAT around INR 350 crores, INR 375 crores and INR 100 crores,
INR 125 crores investment in Steel Pipes and inve stment in lighting over next five years, we
require around INR 40 crores, INR 50 crores only. So, firstly, we do something for CAPEX and
when there is some growth, there is some inventory and there is some involvement in working capital and we return the third ratio to the shareholders. So, whatever money comes to the
company, whether it is a promoter or a shareholders, the company is continuing to run for them
only. So, what we need in working capital and CAPEX - apart from that in some form or other on a regular basis, we will transfer the benef it to the shareholders and that is why we have
announced an interim dividend of INR 2.5 per share and we will continue to do so in the future. As you can see, in this quarter, our PAT was around INR 75 crores, INR 80 crores and we have

transferred substantial amount - almost 80% of it to the shareholders and it also reflects our
actions.
Raj Mehta: Thank you. The next question is from the line of Savita from Golden Sands. Please go ahead.
Savita: Congratulations on the good performance.
Raju Bista: Thank you.
Savita: Second, I wanted to know what sort of R&D expenses we are doing in electrical and how much
we are likely to get affected with this issue going in China.
Raju Bista: Which issue were you talking about? I did understand about the expenses in innovation, and
what is the second part you are talking about?
Savita: What is your import content in the lighting business from China? Any plans to localize that?
Raju Bista: As far as R&D Innovation Centre is concerned, in Noida, we invest around INR 18 crores, INR
20 crores annually including salary. And as far as lighting is concerned, the import content is
around 30% of the overall revenue.
Savita: We are quite expose to those global vagaries. What is your plan for localizing that?
Raju Bista: There are two, three things. Th e electronic items, the quality and performance and pricing in
import is not available in India, because ther e is a huge involvement of CAPEX. Electronic
manufacturing requires INR 500 crores, INR 600 crores investment. The focus of government
has increased on this and in the future, I think after four, five years, it will might reflect and it might be available in India and there is a lot of involvement of rare earth material. We are
comfortable and we do not have dependency on only one co untry. We import from multiple
sources from multiple countries. We have been doing this for decades, so as suchthere is no
issue. This is the trend for the overall industry. It is not only in our case. We used to import a lot
of products in the form of SKD. We have indigenized that. The light source material items are almost 100% manufactured by us. Because of this, overall, there has been an overall
improvement in the margin. The replacement in average used to be 7%, 9% but today it has reduced to 2% because we started in-house products manufacturing. There is a thrust of the
government because after oil, it is said that a lot of electronic imports come to India. Some
capacity has been installed in Assam and UP, then I think it benefits will accrue later. But today,
immediately I do not think that anything can happen in the next two, five years.

Moderator: Thank you. Thank you very much. Ladies and gentlemen, we take this as last question for today due to ti

me constraints. I now hand over th e conference to Mr. B. B Singhal for closing comments.

B. B Singhal: Thank you everyone. We appreciate your interest in Surya Roshni Limited. I sincerely once again thank our MD sir and the CEOs for sparing their valuable time and addressing queries raised by participants who attended the call. For any further queries you can contact SGA our Investor Relations Advisors . Thanks. Good evening.

Raju Bista: Thank you very much.

Moderator: Thank you very much. On behalf of Surya Roshni Limited that concludes this conference. Thank you and you may now disconnect your lines.

Call: Feb 2026

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SRL/25-26/81
February 17, 2026
The Secretary
The Stock Exchange, Mumbai
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Rotunda Building, P.J.Towers,
Dalal Street, Fort,
MUMBAI -400 001
Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange oflndia Ltd
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Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
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NSE Symbol: SURYAROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter ended 315t December, 2025
Dear Sir,
This is with reference to the Company intimation dated 5th February, 2026 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 regarding the earning conference call (Group meet) to discuss the Unaudited financial results and operational performance for the quarter ended 31st December , 2025 scheduled for Wednesday, 11th February, 2026 at 4:00 P.M (IST).
Further to the audio recording filed with the stock exchanges already on 11th February, 2026, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMPANY SECRETARY
Enclosed: as above.
• Regd. Office : Prakash Nagar, Sankhol, Bahadurgarh, Haryana -124507

“Surya Roshni Limited
Q3FY26 Earnings Conference Call”

Februa ry 11, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th February 2026 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. B. B SINGAL – CFO AND COMPANY SECRETARY
MR. GAURAV JAIN – CEO, STEEL
MR. VASUMITRA PANDEY – CEO, LIGHTING &
CONSUMER -DURABLES
MR. NARESH SINGHAL – ED, STEEL

Moderator : Ladies and gentlemen, good day and welcome to the Surya Roshni Limited Q3 FY 2026 Earnings Conference Call.
This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve ri sks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is now being recorded.
I now hand the conference over to Mr. Raju Bista, Managing Director of Surya Roshni Limited. Thank you and over to you, sir.
Raju Bista : Thank you very much. Good evening, everyone. On behalf of Surya Roshni Limited, I once again extend a very warm welcome to everyone for joining us today.
On this call, we are joined by Mr. B. B. Singhal – CFO and Company Secretary, Mr. Gaurav Jain – CEO (Steel Division), Mr. Vasumitra Pandey – CEO (Lighting and Consumer Durable), Mr. Naresh Singhal – Executive Direct or (Steel Division), and SGA, our Investor Relations Advisor.
I hope everyone had an opportunity to go through the Financial R esults.
Now moving on to the overall Financial P erformance :
In the Q3 FY 2026, our consolidated revenue increased by 3% year -on-year to Rs. 1,927 crores , while EBITDA stood at Rs. 148 crores with m argins of 7.7%. Consolidated PAT for the Quarter is Rs. 80 crores .
For the nine -month period ended December 2025, the company reported consolidated revenue of Rs. 5,377 crores , EBITDA of Rs. 371 crores , and PA T of Rs. 188 crores compared to Rs. 5,290 crores , Rs. 397 crores and Rs. 217 crores respectively in nine -month FY 2025. We are a zero-debt company with a net cash surplus of Rs. 2 45 crores as of December 31, 2025.
Coming to Lighting and Consumer Durable:
During Q3 FY 2026, the Lighting and Consumer Durable segment delivered a stable operating performance despite a challenging of uneven demand condition on Select A ppliances category. Segment revenue for the Quarter stood at Rs. 476 crores , representing a growth of about 6% year-on-year and a strong sequential growth of nearly 10% over Q2 FY 2026. This was largely driven by festival season demand, healthy volume across consumer Lighting categories and the

traditional stronger second -half demand profile for this Lighting business. EBITDA margin stood at approximately 8.8%, while EBITDA margin remained under pressure due to elevat ed input cost and category mix. A bsolute EBITDA improved sequentially over Q2 of FY 2026, driven by higher volumes and better operating leverage.
Category -wise, consumer Lighting contin ued to perform well during the Quarter . We witnessed very strong volume growth across LED bulb, Batten and D own Lighter segments, supported by a sustained retailer engagement, regular product launches and enhanced brand visibility initiatives. Professional Lighting also remained a key growth driver, with consistent traction across infrastru cture -led applications such as Airport, Railway, T unnels , Stadium and F acade Lighting .
Now moving on to t he Steel Pipe and S trip segment:
During FY 2026 Q3, the Steel Pipe and Strip segment delivered a stable operating performance in a challenging environment marked by volatility in Steel prices and u neven demand conditions across select end markets. Revenue stood at Rs 1,451 crores , supported by a dispatch volume of 2.37 lakh tonnes, reflecting steady year -on-year growth and sequential improvement over Q2

FY 2026. Volume momentum remained healthy across most product categories, reinforcing our confidence in achieving full year volume as guided for FY 2026.
On the profitability front:
EBITDA for the Quarter stood Rs 106 crores with margins of approximately 7.3% . Margins were impacted by a one -time inventory loss of around Rs 500 per tonne, arising from the sharp correction in Steel prices during October and November months. Importantly, despite these headwinds, EBITDA i mproved sequentially by about 4% quarter -on-quarter , supported by better operating leverage and partial recovery in realisation as Steel prices stabilised towards the latter part of the quarter .
Hollow section and S tructural pipes continue to be the key growth drivers, aided by a strong

demand from Infrastructure, Industry Fabrication and E ngineering applications. Volume in this segment increased meaningfully and we continue to invest in capacity expansion across our plants at Anjar, Gwalior, Bahadurgarh and Hindupur, along with the installation of new DFT lines to support sustained growth in this particular category.
Export accounted for almost 19% of volume growth in Q3 FY 2026,with export vo lumes growing almost 10% year -on-year.
As of the end of the Quarter , the order book stood at approximately Rs 500 crores for Steel division and almost Rs 150 crores for Lighting , led by Spiral P ipes, E xport and D omestic API orders.

Overall, while near -term volatility persists, particularly on raw material price, exports and government -linked projects, we remain focused on mixed optimisation, discipline execution and capacity augmentation.
I now request our CFO, Mr B. B. Singal, to share his line.
B. B. Singal: Thank you, respected MD, sir, and a very good afternoon to all the participants on the call.
For the Quarter , the revenue was Rs 1,927 crores as compared to Rs 1,868 crores , a growth of 3% y ear-on-year basis. EBITDA and P AT stood at Rs 148 crores and Rs 80 crores as compared to Rs 156 crores and Rs 90 crores , respectively.
For nine months FY 2026, the revenue was Rs 5,377 crores as compared to Rs 5,290 crores , a growth of 2% year -on-year basis. EBITDA and PAT stood at Rs 371 crores and Rs 188 crores as compared t o Rs 397 crores and Rs 217 crores respectively.
In Lighting and Consumer D urables, for the Quarter , the revenue stood at Rs 476 crores as against Rs 451 crores , a growth of 6% year-on-year basis. EBITDA and PB T stood at Rs 42 crores and Rs 31 crores as compared to Rs 45 crores and Rs 35 crores respectively. For nine months Financial Year 20 26, the revenue stood at Rs 1,308 crores as agains t Rs 1,232 crores , a growth of 6% year-on-year basis. EBITDA and PBT stood at Rs 112 crores and Rs 82 crores in nine months Financial Year 2026 as compared to Rs 115 crores and Rs 87 crores respectivel y, in the same period last year.
In the Steel Pipes and S trips, during Q3 FY 2026, the revenue was Rs . 1,451 crores as compared to Rs . 1,417 crores , a growth of around 2% year-on-year basis. Similarly, EBITDA per metric ton stood at Rs . 4,810 compared to Rs . 5,163 in the same period last year. EBITDA and P BT stood at Rs . 106 crores and Rs . 76 crores as against Rs . 111 crores and Rs . 86 crores , respectively.
For nine months FY 2026, the revenue was Rs . 4,069 crores as compared to Rs . 4,061 crores . Similarly , EBITDA per metric ton stood at Rs . 4,320 compared to Rs . 4,840. EBITDA and P BT stood at Rs . 259 crores and Rs . 171 crores in nine months of FY 2026 as compared to Rs . 282 crores and Rs . 260 crores , respectively in the same period last year. Improved capacity utilization, working capital optimization and cost rationalization enabled us to become a zero - debt company and having cash surplus of fund of Rs. 245 crores in nine months FY 2026.
In Q

3 FY 2026, our net working capital cycle was 61 days, with a return on capital employed (ROCE) of 17.57% and a return on equity (ROE) of 12.65%.
With this, I conclude the presentation and we can now open the floor for further questions and answers.
Moderator: Thank you very much. The f irst question is from the line of Dhawal Dhama (Viraj) from Enigma Small Opportunities Fund. Please go ahead.

Viraj : Hi Sir. My first question is that the volume that we were targeting for this quarter 2.6 lakh tonnes - 2.65 lakh ton nes, we could not achieve that much. So, what was the reason behind it, we were short of our ambition by , like the volumes were down by 10 % - 15% from t hat?
Raju Bista : Hello Mr Viraj . So, overall, the volume that we ha d expected was about 6.5 lakh tonnes. We are slightly behind that and this time also we had expected about 2.5 lakh tonnes - 2.6 lakh tonnes in this quarter . So, mainly, in the API segment, the Oil and G as segment, there is a 35% degrowth. That is the main reason in the volume. And secondly, if I go to see in the rest of the things, there is growth in G alvanizing and all others . Like in the Section P ipe, there is a 25% quarter -on-quarter growth. In the Spiral Pipe also, there is a growth of 7%, in the G alvanizing there is a 13% growth, in the Cold Rolling there is a 10% growth. But in the Black Round P ipe, there is a n 8% degrowth in that. So, mainly, when the price falls, then there is no stocking, t hat can be one of the reason s. So, in the API and Domestic B lack Round P ipes, a slight degrowth is seen.
Viraj : So, sir, if we talk from December, th en from December, the S teel price has increased by Rs .

4,500 – Rs. 5,000. And maybe it has increased even more r ecently. So, the de -stocking which had happened then, there should be stocking in it now know ?
Raju Bista : No, that is already going on. The stocking has started from the end of quarter, meaning from end of December itself and we are continuously doing the ever -highest volume. In January and February, we are moving ahead in the same line. So, in Q3, we saw two impacts on EBITDA front also. One is that our stock loss was around Rs . 12 crore s, whose contribution to EBITDA per tonne was almost Rs 500 per ton. And in the API, the re was a drastic 35% degrowth, i ts impact was Rs 8 crores – Rs. 9 crores . So, we have had an impact of Rs . 20 crores – Rs. 21 crore s in EBITDA. But now, the restocking is happening. And in this Quarter particularly , there will be an impact of Rs .40 crores – Rs. 45 crore s in EBITDA with regards to stock gain .. If we look at the revenue, in spite of that, there is a 5% volume growth in the P ipe segment overall. So, I think we have done 6,45,000 ton nes so far a nd we will do around 2,90,000 tonnes - 3,00,000 tonnes in Q4. And I think we will close at 9,35,000 tonnes - 9,40,000 ton nes in the whole year .
Viraj : So, sir, if we take it roughly , you will do 2,90,000 ton nes in this quarter . And if I take Rs. 5,000 per ton EBITDA on that , then Rs . 140 crores – Rs. 145 crore s in EBITDA will come from th ere. And you are saying that this inventory gain of Rs . 40 crores – Rs. 50 crore s is above that.
Raju Bista : The overall EBITDA will be around Rs . 4,800 - Rs. 4,900 per ton ne for overall year . And the stock gain in Q4 will impact our EBITDA will be around Rs . 5,600 - Rs. 5,700 per ton ne.
Viraj : So, if I take it Rs. 5 ,600 per ton, then almost our Rs. 180 crores or Rs . 170 crores EBITDA comes from the S teel division. And from our Lighting EBITDA of Rs . 40 crores – Rs. 45 crores comes every Quarter . So, is it right to assume that we will do Rs . 210 crores – Rs. 215 crores of EBITDA in Q4?

Raju Bista : So, in Q4, our EBITDA will be around Rs . 200 crores – Rs. 210 cror

es including Lighting and Steel division together.
Viraj : I am asking this in two or three different ways , because our EBITDA of the whole year is Rs . 260 crores only. Sorry, this is only for S teel.
Raju Bista : It is around Rs. 371 crores.
Viraj : So, the concern is that we were just probably 2% - 3% short here and there. And we were holding on to it. Now it feels like we are losin g the market share. Do you feel this ? And if this is the case, what should we do to stop our market share loss?
Raju Bista : Look, we are not losing the market share because I have the data of all the peers. And if I compare it with everyone, we are not losing in volume. And in the particular segment where there is growth, we are also increasing the CAPEX . And in this particular quarter , there is a little impact due to API. Otherwise overall, as we did around Rs . 608 crores last year, this year also we will do EBITDA of Rs . 585 crores – Rs. 590 crores for the whole year.
Viraj : Right. And sir, the last thing I wanted to say is that as you had said that if the company will make so much cash, there will be a significant improvement in payout . This is our only request, sir and of course, you are the only medium who can take it to the management is , we have been talking about demerger for many years . And secondly, if our growth is less, at least we can increase the payout at the company level because the company does not need so much money.
Raju Bista : No, you are absolutely right. We will keep both your points in mind. Demerger is also a valid suggestion of yours. And subsequently, whatever CAPEX we need, apart from that, we do not need to run a bank, s o we always s ay this to the management. That i s why we keep giving some thing in the form of interim dividends. So, we will try to give the advantage of this to the shareholders throughout the year.
Viraj : Okay, sir. Best of luck. I will come back in the queue.
Moderator: Thank you. The next question is from the line of Shyam Sampat from MSA Capital. Please go ahead.
Shyam Sampat : Hello, sir. Good evening. First of all, I wanted to ask you about exports. The headwinds that we are seeing in exports because of EU quotas and CBAM a nd because of the price gap. So, I think we have 19% exports in terms of volume. So, do we think that in FY 2027, this volume of exports will contract and then other markets will cover up and offset that export?
Raju Bista : See to counter this, one thing is that two FTAs have recent ly been signed by the country w ith the EU and the US. One thing is that the S teel is kept separate in both the FTAs. Generally, Steel is kept separate b ut there is a problem wi th the quota system in the EU, i t gradually reduce s. So, it has an impact b ut we are already doing two or thr ee things in it. For example, since we have a good volume in the Middle East, we are increasing the quantity over there. We have also added

some new Africa n countries and I this we have seen that the export of Hollow S ections is also reviving from India. So, by investing in some CAPEX , we are increasing it. And there was a growth of 19% in this quarter as well a nd there is a growth of 10% throughout the year till now . So, I do not think there will be any problem in the export operationally.

Shyam Sampat : So, you are saying that the Middle East and Africa markets should be able to cover up for that shortfall?

Raju Bista : Yes.

Shyam Sampat : Sir my next question is about the order book of Professional Lighting . You mentioned Rs . 150 crores, i s there an execution timeline for this? And because these are infrastructure projects, will their margins be better than B2C Consumer Lighting ?

Raju Bista : Look this B2B business, we have an order book of around Rs . 150 crores - Rs. 160 crores . It has an execution time line of 3-4 month s

and there will be some new a dditions in it also - some will go till April. And in this particular segment , the overall margins are also good. And as compared to Consumer Durable, there is more growth in this. Because now even in normal houses, people are going in for a little high-end product category. Secondly, in terms of infrastructure, there is a lot of activity in the country. Like in this budget, there was an announcement of Rs 1 2.25 lakh crore s. And in all the S tates, their budgets have increased. So, I think this will continue to be a good growth segment. And as far as the execution is concerned, we wi ll complete this in 3 -4 months. And one more thing, in the 4th Quarter , the order book is more b ecause everyone has to use their budget. So, in the normal course as well, there is a good demand in the second half.

Shyam Sampat : Okay sir, understood. A nd this API P ipe volume crash that is happening year-on-year, because of the slowdown in Oil and G as tenders as you mentioned, s o do you think this new ONGC order for Casing P ipes, do you think this is the start of some improved tender activity to happen in FY 2027?

Raju Bista : See, for us particularly , for Surya Roshni's case, there is a very big opportunity. Till now, ONGC used t o use a Seamless P ipe only. And Surya Roshni is the first company in India which has approved its ERW. So, this is a silver lining for us. I canno t tell you much in detail about this. But you are right, if this market particularly converts towards S eamless, then it will be ben eficial for the country as well a nd companies like Surya Roshni will also get a big advantage in the future, i n terms of volume and overall margins as well.

Shyam Sampat : Okay got it. Sir one last question from my side. The price gap that we are seeing in Domestic and International S teel prices, j ust to touch on that again, the exports that you discussed, do you think that if Indian exports are uncompetitive, are you looking to shif t your utilisation back to the D omestic market more?

Raju Bista t: No, not so much. First of all , I would like to tell you one more thing that you asked earlier. We have dispatched the first order of 4,500 tonnes. The alternative to Seamless P ipes in ERW, Surya

was the first company and we have dispatched the first order of 4,500 ton nes. Secondly, as you said, Export has its potential and D omestic market has its strength. We are in both the places b ut we want the volume to increase in Domestic and why should we lose in Export ? Because the world is very big a nd we get the options of our products somewhere or the other place . We ha ve also increased our export team a nd our team is working. I do not think there will be much pressure as such .

Shyam Sampat : Okay sir, thank you so m uch and wish you the best.

Moderator: Thank you. The next question is from the line of Kiran D from TableTree Capital. Please go ahead.

Kiran D: Sir this year was very difficult for us. So, this year we had a very tough year. Q1 we had an SAP issue. Now Q3 we are having an API issue. So, this year seems to be probably the most challenging year of Surya Roshni in the past few years that we have seen. Let us say we do 9.3 lakh tonnes - 9.4 lakh tonnes. Next year, are we seeing or do you see t he potential for a 12 lakh tonnes kind of number where we can sell through that volume or is it going to be substantially lesser given the challenges with Jal Jeevan Mission and everything else?

Raju Bista : Look, I will make only those commitment s which we can achieve because there are some headwinds in the market. So, like we will do 9,35, 000 tonnes - 9,40,000 lakh tonnes in the Steel Pipe, then next year we have a minimum budget of 11, 00,000 tonnes for FY 2026 and we will have a growth of approximately 17% - 18% in that also . And I would lik

e to give confidence to our I nvestors and Shareholders that our EBITDA per tonne will be a minimum of Rs 5,000 per ton in FY 2026 next year and we will generate an EBITDA of Rs 540 crores – Rs. 550 crores in the S teel division alone.

Similarly, on the Lighting front, we are making a sale of Rs 1,800 crores plus for the first time.

And next year, we are assuming a growth of 15% and our overall turnover will be around Rs 2,100 crores s. And in the Lighting division alone, we will also touch the figures of an EBITDA of Rs 200 crores s. And we believe that after delivering EBITDA of Rs 580 crores – Rs. 600 crores over 2 -3 years , we will have an EBITDA of Rs 750 crores in next year i.e. FY 2027. We would like to give this assurance to you all. Thank you.

Kiran D: Got it, sir. And sir this confidence, especially on the S teel divi sion, if you can just give, how can it come ? Is it a dependency on the government? Because nowadays government , whatever the Jal Jeevan Mission challenges or whatever it is, is it including some volume from a Jal Jeevan Mission or a government programme standpoint or is it not including that? That can be an optionality. This is what I wanted to know.

Raju Bista : See, w e will consider it as a bonus. Our sales whatever you see in the Lighting and S teel divi sion, B2G is equal to nothing, w e do B2B and in Pipe, we deal with the ONGC , oil sector, etc. We do not supply directly to the government. There are 2 -3 reasons for this.

One is that the government has a budget for spending. And the other is that we already have our internal projects worth Rs 160 crores and we are going to issue a work order of about Rs 100 crore s within the next week or 10 days. So, we have a CAPEX of around Rs 250 crore s in the existing plants. And that is one reason.

Secondly, we launched W ire in the Lighting division. We we re thinking of doing it in Q2 b ut we were able to launch it on August 15 only. And the demand is very good. In fact, we are not able to supply the required material as per the demand, s o we are increasing the capacity in that also. After watching us, some of our peers in the Lighting vertical have also launched the W ire business . The acceptance is very good in the country. And to improve the visibility, we have spent an additional Rs 10 crores -12 crores in this particular quarter , for publicity. So, the volume of the Wire will increase a nd there will be a good growth in L uminaire . Overall , there is a growth in consumer durability in the LED segment. So, including all this, I believe that the confidence we are giving to everyone is easily doable.

Kiran D: Got it, sir. No, thanks for that sir. My last question is...

Raju Bista : Thanks for reminding us. In Q1, there was an impact due to SAP, we had little issue due to the Steel price in Q3 , otherwise we would have reached that level as stated earlier.

Kiran D: Thank you. Sir, my last question is that the degrowth which has come in API P ipe; is this temporary? Will we pick it up in Q4. Or it will be a little difficult for few quarters for API growth, but Spiral P ipe growth will continue to grow? So, it will be good if you could tell us about the API pipe degrowth in detail.

Raju Bista : I have felt that in the API, because tendering does happen , so I do not think that today 's thing will happen tomorrow. T he tender which is under process now, I think its mate rial dispatch will be from Q1 . But there is a very big opportunity in front of us, which I just told you all recently. That if this Seamless segment 's quantity shifts to ERW, then I think it will be a very big silver lining for Surya Roshni . And our entire t hrust is on it, I do not want to share a lot of its data and numbers publicly, b ut in the coming time, you will see its impact positively. So, we are compensating a lot from there. And hopefully from Q1, next year, the API demand will also come because it is natural - API's demand will come because almo st 35 years have been completed for the life of those pipes. So, the government has to work on all of them.

Kiran D: Thank you, sir. I will join back in the queue.

Moderator : Thank you. The next question is from the line of Keshav Garg from Counter Cyclical . Please go ahead.

Keshav Garg: Sir our concern is that for some or the other reason s, we have not been able to meet our previous guidance from a long time . We understand tha t business is dynamic, t hings keep changing and those things are not in our hands but still, if you look at it, our EBITDA has not been able to grow in the last three years, it remains flat. And if you look at our volume guidance, when we

started the year, we had a n expectation of 11,00,000 tonnes , then 10, 50,000 tonnes , then 10,00,000 tonne s and now we are not even able to reach 9, 50,000 tonnes . So, since we do not have the macro s in our hands as to what is the growth in the economy, what is the demand, what is the interest rate? So, at least, what we have in our hands, like you have the demerger and our balance sheet is very good. Now, t he government has re duced the taxation for buybacks a lot in the recent budget. For corporate promoters, the taxation for buybacks is 22% now. So, why do not we think in that direction? If a company does buyback share , then the number of shares will decrease and our earnings per share will increase permanently. And whatever future growth is, it will be divided on a small base. So, it will be very beneficial for the shareholders. So, sir, in this direction, what is your thinking over this?

Raju Bista : No, it is good. You have do ne a lot of homework in detail, after looking at th e balance sheet for three years a nd this is true that we have been keeping the target on a little higher side only. And there have been some hurdles in achieving those target s but now we do not even know what will be Trump's next statement , this is also not under our control. And in the meantime, general election also took place , and the geopolitica l scene continued. And I feel, even in S teel, the price correction kept on continuing, for a long time. That was a big measure. And the improvements we made in SAP and I T over here , I think, in the S teel division, in the S teel segment, we had to bear a loss due to our requirement of 100% accuracy. But see, I think this is the specialty that a strong balance sheet is there and it is a cash surplus company. And in the whole year, we are continuously doing EBITDA of Rs. 585 crores – Rs. 600 crore s. Year -on-year, you will see that EBITDA ma rgin has been improving in the S teel division. We have increased by almost double from what we used to do 5 years ago. Yes, in volume, we restrict ourselves a little b ecause growth is there but at the price of HR Coi l, and even if we do not get our cost price , then we do not deal with that material. But in the higher end product s, such things keep on happening. Rest assured, we will do even better in the coming time. And you said it well about buyback , and we will defin ately place your suggestion in the Board.

Keshav Garg: Sir, thank you very much . And my last question is, the Carbon Border Adjustment M echanism that Europe has implemented, so due to this, will our exports be hit permanently in Europe? Or is there a solution to this? If we use renewable energy and make P ipes, then will that suffice to dodge this duty? Or should the S teel itself be Green S teel?

Raju Bista : As I told you, due to this, there is a restriction in quantity. And to replace it, we have already gone to material testing in new countries. And because of one country, there will not be a big impa c

t in the E xport as such because we are the only company to export from India in a large quantity .

Keshav Garg: Sir, then how much percentage of our E xport is going to Europe?

Raju Bista : See, we export 2,500 tonnes to 3,000 tonnes in a month on an average . So, in that 1500 tonnes will go now, so we will have a disadvantage of 1,000 tonnes. So, annually, there will be a disadvantage of around 10,000 tonnes to 12,000 tonnes but we will compensate it with other Middle East and African countries.

Keshav Garg: And sir , can we import duty -free S teel and make Pipe and export it ? Sir, under the advance authorization scheme?

Raju Bista : No, we do that on a regular basis. It depends on the gap between the domestic price and the imported price. Recently, we saw that there is a lot of gap, s o, we have just booked a consignment yesterday. So, we do it on a regular basis.

Keshav Garg: Okay, sir. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Mr. B. B. Sing al for his closing comments. Over to you, sir.

B. B. Sing al: Thank you everyon e for joining us today on this Earnings C all. We appreciate your interest in Surya Roshni Limited. I sincerely once again thank our MD sir and the CEO for sparing their valuable time and addressing queries raised by par ticipants who attended the call. For any further queries, if any, contact SGA o ur Investor Relation s Advisor. Thanks. Good evening to all.

Raju Bista: Thank you very much.

Moderator: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us and y ou may now disconnect your line s.

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Call: Jun 2026

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& !S: 18001 Company
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SRL/26-27 /10
June 02, 2026
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Rotunda Building, P.J.Towers,
Dalal Street, Fort,
MUMBAI -400 001
Scrip Code: 500336 The Manager (Listing Department)
The National stock Exchange of India Ltd
Exchange Plaza, 5th floor
Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (E)
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NSE Symbol: SURY AROSNI
Sub: Transcript of Earnings Call (Group Meet) for the Quarter and year ended 31st March, 2026.
Dear Sir,
This is with reference to the Company intimation dated 18th May, 2026 filed with the stock exchanges in terms of Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations , 2015 regarding the earning conferenc e call (Group meet) to discuss the Audited financial results and operationa l performance for the quarter and year ended 3pt March, 2026 scheduled for Monday, 25th May, 2026 at 4:00 P.M (1ST).
Further to the audio recording filed with the stock exchanges already on 25th May 2026, we are enclosing the Transcript of the said Earnings Call (Group Meet).
The same is also being uploaded on the website of the Company at www.surya.co.in under Financials in the Investor section.
This is for your information and records.
Thanking you,
Yours faithfully
For Surya Roshni Limited
BBSINGAL
CFO & COMPANY SECRETARY
Enclosed: as above.
• Regd. Office: Prakash Nagar, Sankhol, Bahadurgarh, Haryana -124507

"Surya Roshni L imited
Q4 FY26 Earnings Conference Call"
May 25 , 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th May 2026 will prevail.

MANAGEMENT : MR. RAJU BISTA – MANAGING DIRECTOR
MR. B. B SINGHAL – CFO AND CS
MR. GAURAV JAIN – CEO, STEEL DIVISION
MR. VASUMITRA PANDEY – CEO, LIGHTING DIVISION
MR. NARESH SINGHAL – ED, STEEL OPERATIONS

Surya Roshni Limited
May 25 , 202 6

Moderator: Ladies and gentlemen, good day , and welcome to the Surya Roshni Limited Q4 FY26 Earnings Conference Call. This conference call may contain certain forward -looking statements about the company which are based on beliefs, opinions, and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Raju Bista, Managing Director. Thank you , and over to you, sir.

Raju Bista: Thank you very much and once again, good evening , everyone. On behalf of Surya Roshni Limited, I once again extend a very warm welcome to everyone for joining us today evening.

On this call, we are joined by Mr. B.B. Singal, CFO and Company Secretary; Mr. Gaurav Jain, CEO, Steel Division; and Vasumitra P andey, CEO, Lighting & Consumer Durables. Mr. Naresh Singhal has also joined us, Executive Director, Steel ; and SGA, our Investor Relations Advisor .

I hope everyone had an opportunity to go thro ugh the financial results.

Moving on to the overall financial performance highlights . In Q4 FY26, our consolidated revenue stood at ■2,163 crores, remaining broadly stable year -on-year. EBITDA for the quarter stood at ■170 crores with margins of 7.9%, reflecting sequential improvement driven by better realization and improved product mix. PAT for the quarter stood at ■98 crores.

For the full year FY26, consolidated revenue stood at ■7,540 crores as compared to ■7,436 crores in FY25, reflecting stable growth in a challenging operating environment. EBITDA for the year stood at ■541 crores and PAT at ■286 crores.

We remain a zero -debt company with a net cash surplus of ■337 crores as of March 31, '26.

We have declared a final dividend of ■2.50 per share, demonstrating our ongoing commitment to delivering shareholder value. This is in addition to the interim dividend of ■2.50 per share already distributed and dis bursed . So, a total of ■5.00 dividend for the full year of FY26.

Coming to the Lighting & Consumer Durables . The Lighting & Consumer Durables segment delivered growth during Q4 FY26 with a revenue of ■501 crores. I am particularly pleased to highlight that March 2026 was our ever -highest monthly sales month across every business category in this segment, a milestone that reflects the enduring strength of the Surya brand and depth of our distribution net work.

EBITDA for the quarter stood at ■44 crores with margins of 8.8%, broadly stable despite some input cost pressure.

For FY26 as a whole, segment revenue grew by 7% year -on-year to ■1,809 crores, while EBITDA a t ■156 crores.

The Professional Lighting business achieved double -digit revenue growth at ■473 crores for the full year, being a 26% share in the total revenue of the Lighting segment and ended Q4 FY26 with an order book of ■160 crores, providing healthy near -term execution visibility.

In Wire and Cable, the business closed at ■38 crores in FY26. We are now fully end -to-end manufacturer in this category with our 180 -meter reel packs in the market and our DBT -enabled electrician loyalty program fully operational. Our FY27 revenue target for the Wire and Cable business is ■260 crores, firmly on track with the three -year guidance of ■500 crores to ■600 crores business.

Overall, we are targeting value growth of 22% to 25% annually in Lighting and Consumer Durables segment overall -- over the medium term, supported by deeper distribution penetration, premiumization

and continued investment in brand building.

Coming to the Steel Pipe and Strip segment . The Steel Pipe and Strip segment delivered a resilient sequential performance during Q4 FY26 despite continued geopolitical disruptions and volatility across markets. Revenue for the quarter stood at ■1,662 crores , even as year -on-year performance was impacted by elevated steel price volatility and the complete absence of exports on account of the Middle East current crisis.

Volume for the quarter stood at 2.6 lakh tons, the ever -highest quarter volume for the business so far. EBITDA for the quarter stood at ■126 crores with EBITDA per ton to ■5,121 per ton.

For the full year FY26 for the Steel business, the business reported revenue of ■5,731 crores, reflecting stable year -on-year performance. Overall volume stood at 9.04 lakh tons, a growth of 3% year -on-year on volume terms. The capacity utilization of 78% to 80% was maintained throughout the year, even in a challenging operating environment. And m ost importantly, the value -added products contributed 43% of overall volume during the year FY26.

On exports, our business expanded its footprint into newer geographies during the year, including the UK market for the section pipe, while strengthening order visibility across North America and Europe. Exports stood at 1.36 lakh tons for FY26, and we are targeting to cross 2.5 lakh tons in the coming year.

The current order book of the Steel Division is about ■1,000 crores plus, led by exports, spiral, and some domestic API orders, providing strong visibility for H1 FY27, which is expected to be the highest -ever half year for value -added product sales.

Looking ahead to FY27, we are targeting overall volume of 11 lakh tons, representing growth of nearly 21% to 22% over FY26, supported by improving utilization levels, phased commissioning of new capacities and strong contribution from value -added products.

We remain confident that the current global supply chain realignment presents a structural long - term opportunity for efficient Indian manufacturers with integrated capabilities. Surya Roshni is exceptionally well -positioned to capture that upside.

Now, I would like to request Mr. B.B. Singal, our CFO, to share his viewpoints.

B.B. Singal: Thank you, respected MD sir, and a very good afternoon to all the participants on the call. For the quarter, the revenue was ■2,163 crores as compared to ■2,146 crores, a growth of 1% year - on-year basis. EBITDA and PAT stood at ■170 crores and ■98 crores , respectively, as compared to ■211 crores and ■130 crores , respectively.

For FY26, the revenue was ■7,540 crores as compared to ■7,436 crores, a growth of 1% Y -on- Y basis. EBITDA and PAT stood at ■541 crores and ■286 crores as compared to ■609 crores and ■347 crores, respectively.

In Lighting and Consumer Durables , for the quarter, the revenue stood at ■501 crores as against ■458 crores, a growth of 9% Y -on-Y basis. EBITDA and PBT stood at ■44 crores and ■33 crores as compared to ■47 crores and ■37 crores, respectively. For FY26, the revenue stood at ■1,809 crores as against ■1,690 crores, a growth of 7% Y -on-Y basis. EBITDA and PBT stood at ■156 crores and ■115 crores in FY26 as compared to ■162 crores and ■125 crores respectively in the same period last year.

In the Steel Pipes and Strips, during Q4 FY26, the revenue was ■1,662 crores as compared to ■1,688 crores. Similarly, EBITDA per metric ton stood at ■5,121 compared to ■6,708 in the same period last year. EBITDA and PBT stood at ■126 crores and ■98 crores as against ■164 crores and ■138 crores, respectively. For FY26, the revenue was ■5,731 crores as compared to ■5,749 crores. Similarly, EBITDA per metric ton stood at ■4,553 compared to ■5,392. EBITDA and PBT stood at ■385 crores and ■269 crores in FY26 as against ■446 crores and ■341 crores respectively i

n the same period last year.

Improved capacity utilization, working capital optimization, and cost rationalization enabled us to become a zero -debt company and having cash surplus funds of ■337 crores in FY26. In Q4 FY26, our net working capital cycle was 58 days with a return on capital employed, ROCE of 20.76% and a return on equity, ROE of 15.23%. And on a yearly basis, the net working capital cycle was 66 days with a return on capital emp loyed, ROCE of 15.93% and a return on equity of 11.21%.

With this, I conclude the presentation and we can now open the floor for further questions and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: Hello, am I audible?

Moderator: Yes, sir.

Aditya Pal: Hi, thank you so much for the opportunity. Sir, what happened this quarter? We said our FY26 performance would be good. Last quarter also we said that Q4 would be very strong for us. We will be doing close to ■5,500 to ■6,000 EBITDA per ton in our Steel business. And even when I look at volumes, volume has only grown by 1% to 2%. But then it cannot be the market as well, because all our competitors have actually given a very strong Q4.

It is not even that when we see the difference, it is not like 2% to 3%, there is a vast difference. And I have been asking this question again and again , is there something on the ground where

you are seeing a difference in what the competitors are doing that they are able to grow and we are not able to? Sir, i f you can just talk about this, I have another question I will ask after this.
Raju Bista: Yes, Mr. Pal, thank you very much. Look, mainly whatever targets we had set, but as you all know, the Middle East crisis that occurred in late February caused our exports to immediately become almost nil. So o n the export account, our supply decreased by about 12,000 tons of material that was ready. This was a major setback.
Secondly, overall, as soon as this Middle East crisis happened, there was a raw material crisis in India, which led to a bit of a shortage. Otherwise, if you look at the EBITDA for the whole year for the Steel Division . Our first quarter of FY26 had a setback because of SAP implementation. If we consider that, otherwise throughout the year, we have maintained our EBITDA, profitability and volume.
I can assure you that for FY2 7, whatever the situation with the Middle East crisis, considering all that, it will be the best year in history for Surya Roshni. Almost two months have already passed, and we are growing with extraordinary volume and very good profitability numbers will be visible in the coming time.
But in this, we are moving forward considering what the Middle East crisis could be and to what extent. So, you can assume that this year will see bumper growth on the volume front and an improvement on the EBITDA front as well.
Aditya Pal: Sir, I agree. But you said the same thing two quarters ago and we assumed that what Raju ji is saying must be correct. But you said 12,000 tons were missed because of the Strait of Hormuz crisis. Will we book these 12,000 tons in Q1?
Raju Bista: Yes, I will tell you one more thing. In the meantime, a good thing happened for us . The US market opened up for us. Already 65,000 tons of material is booked, and from this month, 10,000 tons per month is already added. So, you must have heard one thing in my commentary, last year where our exports were about 1.4 lakh tons, we will be exporting more than 2.5 lakh tons this year, almost double the growth in volume.
And this North America order book we have is about ■1,000 crores, including some spiral. Th ese are all value -added products. Already we are doing 43% of total volume in value -added. Otherwise, with this volume, it would be very difficult for any

company to sustain. And in this,
the entire segment that we are exporting , we will have an EBITDA of about ■9,000 to ■10,000 per ton. Because of this, your overall EBITDA per ton will also improve, and the quantity of value -added products will increase, leading to overall company growth. But this time, we are moving forward considering all these things , otherwise you will say Raju ji said it again and it didn't happen. In the whole year, we expect revenue of about ■7,200 crores in the Steel Division.
And w here we did 9 lakh tons this year (FY26) , we are targeting a very reasonable volume growth of about 11 lakh tons from the Pipe segment. And where our EBITDA was ■385 crores this year (FY26) , we will do ■470 crores to ■480 crores this year (FY27) , and it can even cross

■500 crores. So, rest assured, the numbers we have stat ed -- unless something sudden happens for w hich we cannot take a guarantee, but despite all issues and pressures, we have tried to perform well.
Aditya Pal: Okay, Raju ji. My last question is about the new demand we are seeing. Demand is coming in India because of the city gas distribution pipeline expansion. Growth is also coming from the USA, as you highlighted. Are you seeing growth from the Middle East as well because there is talk of increasing pipelines there too? So, can you talk about the overall demand and, more importantly, how we will capture that demand?
Raju Bista: Look, in India, you are right that whether it is the Har Ghar Jal scheme or city gas distribution, overall demand is increasi ng. But somehow, throughout FY 26 and those numbers were visi ble in FY 25 as well . In FY26 w here the government budget for the Jal distribution program is there, Amrut, Har Ghar Jal program, Jal Jeevan Mission program is there and the government budget was about ■55,000 crores, but the government distributed money was only ■3,000 crores.
Because of this, there was an impact throughout the year, particularly for companies like ours. I am not in a position to say much now; demand is there, but at the same time, government spending must increase in India. As for the Middle East, we are mainta ining our volume somehow so far, and because of the USA, a substantial improvement will be seen in the export business.
Aditya Pal: Okay, sir. Wishing you all the very best. We will talk again in quee .
Raju Bista: Yes.
Moderator: Thank you. Next question is from the line of Love Gupta from Countercyclical Investments. Please go ahead.
Love Gupta: Thank you for the opportunity, sir. So, I wanted to understand if there is any update on the

demerger of the Lighting and Consumer Durable business and what is the expected timeline or any progress on that front?
Raju Bista: No, I think once this crisis ends, hopefully by the next board meeting, we will be in a position to talk to the board and tell the shareholders. But overall, the external environment is not that friendly. So, our discussion on this subject happens every ti me. I think both businesses are doing well in their places l ighting as well as steel and the company is cash surplus with no debt.
Despite fluctuations in the business, our position has been very good for the last 5 years , 7 years .
We have also maintained that there should be quality business, it should be export -oriented, value -added and high margin. So, if you compare the EBITDA percentage with peers – despite being in the steel pipe business, it is very good.
I often say our relationship with the bank has ended; now our relationship is only with the shareholders. So even now, we ensure that apart from the corporate actions, one-third of the total profitability goes to the shareholders as dividends, one -third goes into business growth and the remaining one -third goes into our capex. So, one -third capex, one -third working capital &

growth , and one -third to shareholders and we have been maintaining this for the last 2 years, 3 years.
Love Gupta: Okay. And sir, my second question is that we currently have ■340 crores net cash surplus and our stock valuations are also quite reasonable now. So, is there any plan for a buyback? Is there any possibility of a buyback?
Raju Bista: No, we had thought about it earlier, but the government regulations were not favo urable. We have started considering it again; it has been reintroduced. So, we will come to you very soon.
Love Gupta: Okay, sir. Thank you.
Moderator: Thank you. Next question is from the line of Viraj Mehta from Enigma Investment Partners LLP. Please go ahead.
Viraj Mehta: Hi, sir. Sir, the volume target you mentioned after Q3 in the February call, we were not able to achieve that also . This is the third quarter in a row where some issues crop up. So first of all, it is a little disappointing that what we say is not continuously happening. I understand it might not happen for one quarter, but it's not happening every quarter, which is a matter of concern as a shareholder. This is just feedback to you.
Sir, second, you said we will do 11 lakh tons. So, I have two questions there. One, if you are getting 1.1 0 lakh tons of incremental growth from exports, are we expecting only 70,000 to 80,000 tons incremental from the domestic market? Isn't this a very low aspiration as far as growth in the domestic market is concerned ?
Raju Bista: Viraj bhai, first, last time we talked about doing around 2.9 lakh tons, but it was 2.6 lakh tons in Q4. Mainly 10,000 to 12,000 tons of exports didn't happen and there was an issue with steel availability in the domestic market for that quantity. That's w hy we couldn't do the volume. But we are making up for it in this quarter (Q1FY27) . Our Q1 will have the highest -ever volume, around 2.65 lakh tons in Q1 itself and we will grow by about 27% to 28%. Secondly, what were you asking? There was som e disturbance on the line.
Viraj Mehta: Sir, I was asking that if you are talking about going from 9.2 lakh tons to 11 lakh tons this year, while your incremental growth from exports alone is 1.1 lakh tons, are you expecting only 70,000 tons incremental from the domestic market? Isn't this a ver y low ambition for growth?
Raju Bista: Viraj bhai, if I say 12 lakhs, then you will ask why I said 12 when it was 11.25. So, it's better if I say less and do more . I have learned this much in these last three quarters. The second issue, Viraj bhai, is the government spending, mainly in oil and gas. We are assuming that spending will remain a bit low this year as well , because of the pressure built up on gas and fuel and the overall environment. The government might delay or hold some projects. Considering all these things, we are keeping our volume and targets minimum, on the lower side . But rest assured, we will try as you said, if exports are increasing by 1.25 lak h tons, then according to you, the total volume for FY27 should be 13 to 13.5 lakh tons. But we will still try . 11 lakh tons is on the minimum side. We might do better than this , because we are achieving 2.6 0 lakh to 2.65 lakh tons in Q1 itself.

Viraj Mehta: Okay, sir. And sir, you said we will do ■475 crores to ■500 crores EBITDA this year in the Steel Division. But sir, if I calculate on 11 lakh tons, at ■500 crores, our EBITDA per ton comes to ■4,600 or ■4,700. And that is in spite of higher exports, which is a higher -margin business, and

API, which is a higher -margin business. So how is this happening?
Raju Bista: We are assuming there will be some pressure in oil and gas. The oil and gas segment is a very substantially high -margin business domestically. So, we are assuming there will be some pressure there. That's why we expect the EBITDA per t

on to be around ■4,700 for the whole
year. T hat's why we will do around 480 to 470 crore in the Steel Division and around ■200 crores EBITDA in the Lighting Division. So, combined, the EBITDA for the whole year will be ■680 crores to ■700 crores.
Viraj Mehta: Sir, this is a substantial decrease in EBITDA per ton because this year also for the full year we have done higher than that. In fact, in Q4 we did 5,100. So, you are saying EBITDA per ton wil l fall significantly from there? But no other steel or pipe producer is talking like this. Your commentary is different in that way. Whether you talk to Hariom or APL Apollo, no one is talking abou t EBITDA per ton falling by ■400.
Raju Bista: No, first of all, if you look at it in comparison to the full year, it's not less; it's somewhat more than the full -year, number one. Number two, look, input costs have increased everywhere. And the impact of gratuity and the new labo ur law is about ■30 crores to ■40 crores for every company, not just Surya Roshni.
Fuel and power costs have increased, which also has an impact on every company. So, considering all these things, the numbers we told you are not based on some thumb -rule calculation; we have told you after consider ing all these things. On a lesser side, our minimum commitmen t is that we will do around ■680 crores to ■700 crores EBIT DA for the full year.
And if you look at the full year, there is some improvement. Don't compare Q4 and Q1 .
Generally, Q4 is the highest EBITDA quarter in both businesses for many reasons, maybe festivals or the closing year quart er. I just want to say, Viraj , that in t he history of Surya Roshni, FY26 (to be read as FY27) will be the best year in our 50 -year journey.
Viraj Mehta: You mean FY 27, right?
Raju Bista: Yes, FY 27.
Viraj Mehta: Sir, last question. You said we will definitely do 2.65 lakh tons in Q1. So, even if I count ■4,700 to ■4,800, we will do at least ■125 crores EBITDA from Steel this quarter?
Raju Bista: Yes, we will do ■120 crores to ■125 crores. And compared to last year, there will be almost 100% growth.
Viraj Mehta: But sir, last year our whole month was ruined because of SAP, so that's not a fair comparison in my opinion.
Raju Bista: Okay, be happy with full year's numbers.

Viraj Mehta: Thank you, sir.
Moderator: Thank you. Next question is from the line of Pratik Singhania from Sage One Investments. Please go ahead.
Pratik Singhania: Sir, hi. Sir, if we look at our history of the last 5 years, our cumulative growth , I'm not talking about year -on-year, but cumulative growth , in our steel segment has been around 25% in 4 years, which means about 6% to 6.5% volume growth every year. So, India is growing so well, all other competitor companies are growing so well. What is the problem with us that something or the other happens only to us, and we are able to grow at only 6% CAGR in the last 4 years?
Raju Bista: No, what happened is, mainly during COVID and after that, for two years we didn't do any major capex. We have been doing it only for the last one and a half to two years. So that was one thing.
And second, we didn't focus much on many of our non -profitable segments. Our focus was more on high -margin and more value -added products.
So, we did all that. And the capex that has already been done or the ongoing capex in the pipeline this year, considering all that, we expect to see substantial volume growth from this year.
Otherwise, you are right that compared to the double -digit growth of the industry, our growth has been less. But in the meantime, our initial strategy in these 5 years was also to make the company debt -free, which we successfully did.
Pratik Singhania: Sir, but when you say we were focusing on high -value margin products, if I see the data in your presentation, and I see the division of API and Spi

ral pipes, and FY21 to FY 26 data, we have
done the weakest EBITDA per ton in FY26 . We did 7,500 in FY21, then ■9,000 per ton in FY22, ■12,000 in FY23, ■10,500 in FY24, ■9,300 in FY25, and now ■5,600 in FY 26. So, our value -added segment, which ideally should grow EBITDA per ton, has been going down every year since FY 23, and no w it has come down a lot to ■5,600?
Raju Bista: No, you are right. If you see the EBITDA per ton of API Spiral in this quarter , it has become even less than GI pipes.

Pratik Singhania: I am talking about yearly numbers.
Raju Bista: Yes, I agree with you. Where it used to be almost double, it has remained half. One big reason is that this is a tendering business, which is not in our control. And competition has also increased in this in recent years. And on top of that, there is press ure from government spending in volume as well. Even though it has decreased substantially , we have been able to maintain it somehow because the contribution of value -added in volume has increased. And as I just mentioned, because of the America export market, a lot of improvement will be seen in the coming year. The loss from API will be compensated from there.
Pratik Singhania: Where will the API loss be compensated from, sir?
Raju Bista: From the exports I mentioned, North America, where we already have an order book of almost 65,000 tons, and I think in a year, it will be around 1, 20,000 tons. This is an altogether new

market for us that has opened from this year. And the EBITDA per ton in that is also abo ve ■9,000 to around ■10,000.
Pratik Singhania: So domestically , out of our total volume sales, how much of our volume is dependent on government spending? Or how much of our business goes to the government or the company that has taken a contract from the government and is doing construction? How much of our volume g oes into government -related spending?
Raju Bista: Overall, in the total Steel Pipe segment, it is about 15% to 16%.
Pratik Singhania: No, sir, I am talking about your company.
Raju Bista: Yes, I am talking about our company. In our overall product segment, the contribution of government or API or tender business is around 15% to 16%.
Pratik Singhania: Sir, if 15% to 16% is so low, then ?
Moderator: Pratik, Sorry to interfere.
Pratik Singhania: No, I just have to conclude a point. Sir, if 15% to 16% is so low, then the reason you are giving again and again that government spending is low, because of which volume growth is low, that reaso n doesn't seem justified to me. I think you should have some acceptance as to why we are not able to grow so much while others are able to grow - in FY 26 as well, and our guidance. If you have acceptance, you will be able to work accordingly in the future. This is my belief, sir.
Raju Bista: No, I understood your point. What I was saying about government API spiral pipes having high margins, contributes 15% to 16%. Otherwise, if you add water pipes and spiral, it becomes around 28% to 30%.
Pratik Singhania : Okay, sir. I'll come back in the queue, sir.
Moderator: Next question is from the line of Kiran from TableTree Capital . Please go ahead.
Kiran: Thank you for the opportunity. Sir, two questions. First question, the opportunity we had with ONGC or other oil companies in terms of Seamless to ERW, right? It's supposed to be a large opportunity. We did 4,500 tons in Q3. There is just too much focus on oil and oil pipes and exploration because of high er oil prices.
So, this Seamless to ERW, which was going to happen even without any new capex, which is a very large opportunity and there is just tremendous value for us , is there any traction happening ? In FY27 , will we be able to gain substantial volumes? Is that low pricing or high pricing? It would be good if you could tell us about this in detail, sir.

Raju Bista: This is a good opportunity, and regarding what you said about ONGC, basically compared to seamless , the welded pipe and in this, we have already supplied 5,000 tons. And to upgrade this, R&D is already going on for upgradeable 5CT. But its major impact will come in FY28. It's taking a little more time.

Kiran: Got it, sir. So, the 11 lakh tons doesn't include any volumes from this opportunity ?
Raju Bista: No, it hasn't been considered in this because the capex we have done will take almost 9 -10 months. So, its impact will come in FY28.
Kiran: Okay, sir. Understood. Sir, the second question is from a growth perspective. If I see the EBITDA and I'm sure the feedback from all the other previous participants is also well taken - in terms of EBITDA, we have stagnated for 4 - 5 years now, sir, right?
So, we did 440 crore in March '22, steel prices fell, they are rising, so we are now again at ■535 crores, ■540 crores. So, we are saying we will jump from ■540 crores to ■700 crores in FY27. So, hope that happens, sir. How much confidence do you have that we will jump to ■700 crores? What is the risk in this? That is question number one.

Question number two, we are hearing that getting steel from steel companies these days has become very difficult across the industry because there is just too much steel demand or steel prices are very high and so on and so forth . So, because we are one of the largest buyers of HR coil, is there any impact on us in Q1, Q2 in terms of steel buying?
So, these two questions, sir : one, EBITDA stagnation to ■700 crores, what are the risks and how confident you are? Point number two, steel buying, is there any constraint in the market because multiple industrial companies are talking about this constraint that they are not getting steel as much as they require?
Raju Bista: Look, two things. One, as far as risk is concerned, the numbers we have just told you are telling these numbers after considering all these risk factors. And this year, like FY27, the EBITDA of Steel and Lighting combined will be around ■680 crores to ■700 crores, which will be seen as a substantial improvement in the balance sheet. All risk factors that could be there are considered in this. If it goes beyond this, it will be a bonus, the chances of which are more likely.
Number two, as far as the issue of steel availability was concerned, it had an impact for the last 3-4 months, mainly because there was a substantial surge in steel after a long time, and because of that, demand had increased everywhere. And second, at the same time, because of this Middle East crisis, there was also an issue with gas availability. And many plants are gas based, so because of that, if some large plants face difficulty, so its impact is felt in the overall market. So now it is almost sorted out for the last month, and I don't think any crisis will come in the future; it was temporary. And second, overall, in India, the availability of steel HR coil is increasing every year; in fact, a lot of capex and a lot of inves tment is already happening in this, which is also in the pipeline, and every year some quantity by millions is also increasing.
Kiran: Got it. Thank you so much. Join back in the queue.
Moderator: Thank you. Participants, please limit your question to only two questions per participant. Should you have a follow -up question, we request you to rejoin the queue. Next question is from the line of Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor: Yes, Namaskar Raju ji. Is my voice reaching you?
Raju Bista: It's reaching.
Saket Kapoor: Yes sir, in the conversation going on now, if we want to understand in short, you have mentioned that for the current financial year, we expect a combined EBITDA of ■680 cror

es to ■700 crores,
in which you are giving a volume trend of 11 lakhs for pipes, for our steel pipes. And in that too, you expect an EBITDA of ■470 to ■480 crores. Are these numbers correct, sir?
Raju Bista: Right, right. Yes.
Saket Kapoor: So, the remaining EBITDA number of ■200 crores will come from our Lighting segment.
Raju Bista: Let me tell you the projection for this year (FY27) once again. Overall, in Lighting and Steel, the revenue will be around ■7,200 crores from the Steel Division and around ■2,200 crores from the Lighting Division. So, the overall revenue will be ■9,400 crores to ■9,500 crores this year. And as a company as a whole, we will grow by about 24% to 25%. Similarly, in EBITDA, it will be around ■480 crores in the Steel Division and around ■200 crores in Lighting. So, this will be around ■680 crores. In this also, there will be a growth of 25 -26%.
In this too, we have already considered some things because new labo ur law that has come, because of which there is an impact of ■40 crores - ■50 crores on every company. So, considering that, we are giving the numbers, otherwise, we could have done ■750 crores as well.
Saket Kapoor: And sir, regarding the EBITDA per ton, you gave two data points. The first data point you gave is that we have substantial orders for high -value products in which our per -ton EBITDA will be significantly higher. But overall, you are telling the per -ton EBI TDA at ■4,700 per ton. So, we are not able to understand these numbers, sir ?
I mean, in value -added, you shared some number of ■9,000 something. So, if you can explain why this is lower, sir, if we see the number of the last quarter or the number of the last financial year, the EBITDA per ton for steel pipes in comparison is on the lower side. So, if you can tell the reason for this ?
Raju Bista: In this, look, mainly what is happening is that our export business is around 20%, in that we will see a substantial improvement in EBITDA. In the rest of the business, we assume that in a tough market, there will be a negative impact.
So, considering both things, we assume ■4,700 per ton EBITDA for the whole year. Because, I mean, FY27 will not that easy for any industry. The crisis that is there, the costs that have increased because of labor, fuel, electricity . We haven't talked about the Lighting Division yet . The impact in our input raw material imported is around 30% to 35%.
It's good that somehow it got passed on in the market, but it takes one or two months for it to be passed on, which reflects in the balance sheet. So, a lot has happened in the industry in every

industry in these last three months.

Saket Kapoor: Yes, sir. Okay, sir. I'll come back in the queue.
Moderator: Thank you. Next question is from the line of Yogesh from Magnus. Please go ahead.
Yogesh: Hello, thank you so much for taking my question, Sir, as you mentioned to a previous participant that we have done a lot of capacity addition over the last one, one and a half years, and before that, our focus was not so much on capacity addition and our f ocus was more on cash generation and being debt -free.
So, if you can elaborate if we are entering that capacity addition cycle again in the next one to two years where we can see massive capacity addition from the business, given that we have very good cash flow now and the balance sheet position is quite str ong?
And over the last two years, how much capacity addition has happened? If you can share these details, it would be very good ?
Raju Bista: In the last one and a half years, our capacity has improved by about 2 lakh tons. And in the next one year, we will reach around 1.6 million from 1.4. And after that, our capacity will increase by about 3 lakh tons. So, in FY28 - FY29, our capacity will be around 1.9 million.
Yogesh: So right now, it is 1.2, our capacity, a

nd it will become 1.9 in two years.
Raju Bista: We have already reached 1.4 million. It was 1.2 something; now our capacity has already been enhanced to about 1.4and w hich will become around 1.6 million tons in the next one year, in FY27.
Yogesh: So, it will go from 1.2 to 1.6.
Raju Bista: Right.
Yogesh: Okay. And okay, thank you. That was my question. Thank you.
Moderator: Thank you. Ladies and gentlemen, we'll take that as our last question for today. I now hand the conference over to Mr. B.B. Singal for his closing comments. Thank you and over to you, sir.
B.B. Singal: Thank you for joining us today on this earnings call. We appreciate your interest in Surya Roshni Limited. I sincerely once again thank our MD sir and the CEOs for sparing their valuable time and addressing queries raised by participants who attended the c all. For any further queries, if any, you can contact SGA, our investor relation advisor. Thank you, good evening once again.
Raju Bista : Don't thank the MD; they are saying increase the profit. Say thank you to the shareholders.
Moderator: Thank you. On behalf of Surya Roshni Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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